

) No. CIV 98-1232(TPJ)
Plaintiff,)
) VOLUME II
vs.) (Afternoon Session)
)
)
Defendant.)
)

CONTINUATION OF THE DEPOSITION OF BILL
GATES, a witness herein, taken on behalf of the
plaintiffs at 12:35 p.m., Friday, August 28, 1998, at
One Microsoft Way, Redmond, Washington, before
Katherine Gale, CSR, pursuant to Subpoena.

Katherine Gale

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get Intuit not to support or advertise Netscape's browser?

A It's kind of a strange question because Intuit never would have specifically advertised someone's browser. So I don't know what -- what do you mean by promotion when you give that example?

Q Well, I'm really just asking for what Microsoft did. And if you don't understand the question, Mr. Gates, you can tell me and I will rephrase the question.

A Isn't that what I just did?

Q Saying that you didn't understand the question?

A Uh-huh.

Q Okay. Let me put another question to you.

Did Microsoft, insofar as you are aware, try to get Intuit to agree not to enter into any kind of marketing or promotion agreements with Netscape?

A I don't know.

Q Did you have discussions with anyone concerning what Microsoft was trying to get from Intuit?

A I might have sent e-mail about it at

some point.

Q Do you remember the content of that e-mail?

A No.

Q Do you remember anything at all about the content of that e-mail?

A Well, I don't know that it's an e-mail either. I said I might have sent e-mail. It may have been many e-mails. So no, I don't remember anything beyond the fact that there may have been e-mail about this, and I may have made my views about the subject known.

Q Let me ask you to look at a document that has been previously marked as Government Exhibit 376.

This purports to be an e-mail dated April 17, 1997 from Brad Chase to you and some other people which is forwarding on an e-mail of earlier in the day on April 17 from Mr. Will Poole to Brad Chase. The subject of both e-mails is Intuit Terms Agreed.

(The document referred to was marked as Government Exhibit 376 for identification and is attached hereto.)

Q BY MR. BOIES: Do you see that?

A Well, it's just a forward, yeah.

Q Do you recall receiving this e-mail?

A No.

Q Do you have any doubt that you received a copy of this e-mail?

A No.

Q There are --

A I don't have any reason to doubt. I don't know that I received the e-mail. I don't have any reason to doubt it. But since I don't remember it --

Q Did you ever see this e-mail before?

A I don't remember ever seeing it.

Q Under the heading "Intuit obligations" it says, "Bundle IE3 (Quicken) and IE4 (other products)."

Do you see that?

A Uh-huh.

Q Were you told in April 1997 that Intuit had agreed to bundle IE3 and IE4 with its products?

A I don't remember that specifically.

Q Farther down on under "Intuit obligations," there is an obligation that reads, quote,

"Not enter into marketing or

promotion agreements with Other
Browser manufacturers for
distribution or promotion of Intuit
content."

Do you see that?

A Uh-huh.

Q Were you told in words or in substance
in or about April of 1997 that Intuit had agreed not
to enter into marketing or promotion agreements with
other browser manufacturers for distribution or
promotion of Intuit content?

A I don't remember being told that.

Q Do you have any reason to doubt that
you were told that?

A In the sense that one of the e-mails
that may have come into my mailbox might have related
to that, I don't -- I don't doubt it. Certainly
wasn't something that could have been very
significant to me because I don't have a recollection
of it.

Q The last Intuit obligation that is
listed here is, quote,
"Create 'differentiated
content' area for Intuit Channel that
is available only to IE users," close

quote.

Do you see that?

A Uh-huh.

Q Were you told in words or in substance in or about April of 1997 that Intuit had agreed with Microsoft that Intuit would create a differentiated content area for Intuit's channel that would be available only to IE users?

A I don't remember being told that nor do I understand what it means.

Q Have you ever had any discussions with anyone within Microsoft about the possibility of content providers creating content area that would only be available to IE users?

A I don't -- no. I don't understand that. I mean, it -- if the URL was there, you can get to it.

Q So what you're saying is that this obligation that Intuit said to have taken on is an obligation that you don't understand at all what it means; is that what you're telling me?

A No. I'm saying these words that are on this piece of paper, I don't understand what they mean.

Q Do you understand the concept?

A I don't know what it means.

Q Okay.

Did you ever ask Mr. Poole what it meant?

A Nope.

Q Did you ever ask Mr. Chase what it meant?

A No.

Q Did you ever ask anybody what it meant?

A Those words, no.

Q Or the concept that is described by those words?

A I don't understand those words. So it's hard for me to relate to the concept. I don't understand the words.

Q Let me be sure that I understand what you don't understand.

Are you telling me that you don't understand what it would mean for Intuit to create a differentiated content area?

A That's in quotes.

Q Yes. For the Intuit Channel that would be available only to IE users?

A I'm not sure what they mean by that.

Q Do you have any idea what they mean by

that?

A No. It's confusing to me.

Q All right, sir.

When did Microsoft enter into an agreement with Intuit to make IE Intuit's default browser?

A I don't know the date of our agreement with Intuit.

Q Do you know approximately?

A Well, before you showed me this e-mail, I would have said, no. Looking in this e-mail it suggests that it was sometime before April 17, 1997.

Q Just so you're not misled by the e-mail the e-mail talks about when the terms are agreed, it doesn't say that the agreement has yet been signed; is that correct?

A I hadn't thought about that distinction.

Q I think the first line you may want to look at it where it says,

"We have agreed on all salient terms in our term sheet and are going to contract."

A Oh, you're right. You're right. I guess I'd have to get a copy of it to know what date

it has. I think there was an agreement reached, though.

Q Are you aware of any terms in that agreement other than terms that are identified here?

A No.

Q Let me ask you to look at a document that has been previously marked as Government Exhibit 372.

This is an e-mail to you from Ben Slivka dated April 14, 1997. And the subject is, quote, "Java review with you," close quote. (The document referred to was marked as Government Exhibit 372 for identification and is attached hereto.)

Q BY MR. BOIES: Did you receive this e-mail in or about April of 1997, Mr. Gates?

A I don't remember.

Q The e-mail begins that the author is working with Paul Maritz to set up a two -- to three-hour review for you on your Java efforts. Do you see that?

A On our Java efforts.

Q On Microsoft's Java efforts?

A No. I think it's Ben Slivka's group.

Q And he is a Microsoft group; right?

A Yes. He's part of Microsoft but not all of Microsoft.

Q So you would interpret this that he is working with Paul Maritz to set up a two- to three-hour review for you of part of Microsoft's Java efforts but not all of Microsoft's Java efforts; is that what you're saying?

A Yeah. The work his group is doing.

Q The work his group is doing on Java; right?

A Right.

Q Okay.

And he lists what he describes as some pretty pointed questions that you, Mr. Gates, had about Java.

Do you see that?

A Well, I'm not sure those are the pointed questions. It says, "I want to make sure I understand your issues/concerns."

Q Well, that's actually the last part of a sentence that begins, quote:

"When I met with you last, you had a lot of pretty pointed questions about Java, so I want to make sure I understand your

issues/concerns."

That's what the sentence says; correct, sir?

A Right.

Q And when Mr. Slivka says "I met with you last," he's talking about you, Mr. Gates; correct sir?

A Yes.

Q And when he says, "You had a lot of pretty pointed questions about Java," he's again talking about you, Mr. Gates; correct?

A Right.

Q And then he lists what he refers to as a start:

"1. What is our business model for Java?

"2. How do we wrest control of Java away from Sun?"

Do you see that?

A Uh-huh.

Q Sometime prior to April 14, 1997, had you conveyed to Mr. Slivka that one of your pointed questions about Java was, quote, "How do we wrest control of Java away from Sun?"

A I don't think I would have put it that

way. Certainly was an issue about the popularity of Sun's runtime APIs versus our runtime APIs.

Q Is it your testimony that you didn't raise the question of "How do we wrest control of Java away from Sun?" with Mr. Slivka?

A I'll say again, I doubt I used words like that. But there certainly was an issue of the popularity of our runtime APIs versus runtime APIs.

Q Just so that the record's clear. I'm not asking you about whether there was a question about the popularity of your runtime APIs or their runtime APIs. What I'm asking is whether you told him in words or in substance that you wanted to know how Microsoft could wrest control or get control of Java away from Sun.

MR. HEINER: Objection. Asked and answered twice.

MR. BOIES: I think he said he didn't remember using those words. What I now want to try to find out is whether he used those words or conveyed that substance.

MR. HEINER: And he doesn't remember using those words.

MR. BOIES: And I'm asking him whether he conveyed that in words or in substance.

MR. HEINER: He testified as to substance.

MR. BOIES: I don't believe he did. But I'm in any event putting the question to the witness.

THE WITNESS: I don't remember anything about "control" as a word or in substance. But there was an issue about the popularity of our runtime APIs versus Sun's runtime APIs.

Q BY MR. BOIES: I take it you know Mr. Slivka?

A Uh-huh.

Q You've got to answer "yes" or "no" audibly so the reporter can take it down.

A Yes.

Q And you believe him to be a person of competence and integrity?

A Yes.

Q Do you have any reason to believe that he would have misstated what you told him when you met with him last before April 14, 1997?

MR. HEINER: Objection.

THE WITNESS: In no way does this purport to be a restatement of things I said to Ben Slivka.

Q BY MR. BOIES: Well, Mr. Gates, what this memorandum says is, quote, "When I met with you last, you had a lot of pretty pointed questions about Java, so I want to make sure I understand your issues and concerns."

"Here's a start, can you please add any that I'm missing?" And then he lists six, the second of which is, "How do we wrest control of Java away from Sun?"

You see that in the exhibit, do you not, sir?

A Uh-huh, yes.

Q Let me ask you to look at a document that has been previously marked as Government Exhibit 373. It's a one-page exhibit and the second item on the page is a message from you to Paul Maritz dated June 16, 1997, on the subject of, quote, "Java schism," close quote.

(The document referred to was marked as Government Exhibit 373 for identification and is attached hereto.)

Q BY MR. BOIES: Did you send this

message, Mr. Gates?

A I don't remember it. But I don't have any reason to doubt that I did.

Q What did you mean by, quote, "Java schism," close quote?

A I think the e-mail speaks for itself.

Q The e-mail may very well speak for itself. But what I want to know is --

A I could have written a mail that says, "A point that is important to me is to have PURE JAVA applications that do a lot HAVE to ship a full runtime instead of being able to count on the runtime being shipped with the operating system," and so on.

Q Maybe my question wasn't clear. What I'm trying to get you to do is to tell me what you meant by the term "Java schism."

A It's a heading for this piece of e-mail. The e-mail is the communication, not the heading.

Q I understand that, sir. But what I'm asking is: You chose the heading, did you not, sir?

A It appears I typed that.

Q Right. And why did you choose this heading for this memo? What were you meaning to convey by the term "Java schism"?

A Exactly what I put into the message.

Q Well, sir, what did you mean by "schism"?

A It explains that in the message.

Q I'm asking you to explain it in your words what you mean by the word "schism."

A I'm drawing a distinction between pure Java apps and where they get their runtime bits.

Q And is that the schism that you're referring to?

A That's what this e-mail is about, and that's -- and I titled it "Java schism" when I wrote that e-mail. And the question is: "How do pure Java applications get their runtime bits?"

Q Could you read that answer back, please?

(Answer read.)

Q BY MR. BOIES: What is on the two sides of the schism, Mr. --

A The bits you get from the browser, the bits you get elsewhere. And the mail couldn't be clearer. It's asking about two sources of the bits.

You can get bits from the browser, you can get bits somewhere else.

Q Okay.

Now, where else can you get the bits?

A They can ship with the application.

Q And why was it important to you to have pure Java applications that have the characteristics that you described in here?

A I didn't want to have to have the browser get so large that it would have all the runtime bits for all the applications.

Q And so where would the bits be?

A With the application.

Q And what you're saying is that it's important to you that Microsoft develop pure Java applications that have a lot of bits in them so that those bits don't have to be in the browser. Is that the case?

A No. It doesn't say anything about Microsoft developing pure Java applications.

Q You're right, it doesn't.

A And it's clearly not about that.

Q What is it about then, sir?

A It's about pure Java applications in general.

Q Did you believe that it was desirable to have as many pure Java applications as possible?

A It has nothing to do with this e-mail.

The answer is no. But if you think it has something to do with this e-mail, you're -- that's incorrect.

Q Okay. I think that it may or may not be productive for you to speculate as to what I think. What I am trying to do is I'm trying to get your testimony about this e-mail and about your views of Java more generally.

A I thought so.

Q And first let me ask a general question, and that is: Did you believe that from Microsoft's standpoint it was desirable to have as many pure Java applications as possible?

A We weren't focused on that as a goal, no.

Q In fact, is it fair to say that you preferred fewer pure Java applications to more pure Java applications?

A We preferred more applications that took advantage of our APIs, and so we worked with ISVs to maximize the number that took advantage of our APIs.

Q And your APIs were not pure Java APIs;

correct?

A No. Some were, and some weren't.

Q Yes, sir, some were, and some weren't.

But the APIs that you wanted people to use were APIs that were not pure Java APIs; correct, sir?

A No. We were glad to have people use both.

Q Were you indifferent as to whether they used your pure Java APIs or your proprietary APIs?

MR. HEINER: Objection.

THE WITNESS: You've introduced the word proprietary, and that completely changes the question. So help me out, what do you want to know?

Q BY MR. BOIES: Is the term "proprietary API" a term that you're familiar with, sir?

A I don't know what you mean by it.

Q Is it a term you're familiar with in your business?

A I really don't know what you mean. You mean an API that you have a patent on?

Q Mr. Gates, is the term "proprietary API" a term that is commonly used in your business?

A Let me give you --

Q All I'm trying to do --

A -- the common meanings that those words could have. And then you can pick one of them, and ask me a question about it.

Q No. All I need --

A Just -- you want me to define "proprietary API" or not?

Q No, I don't want you to define "proprietary API." I didn't ask you to define proprietary API. I asked you a simple question whether the term "proprietary API" was commonly used in your business.

Now, I'm prepared to sit here as long as you want to to answer questions that I haven't asked. But I have a certain number of questions that I'm going to ask at the end of these other answers. Now, this is a simple question. You can say "yes," "no," or "It is used in lots of different ways." But then I can choose what to follow up on. Or you can simply make whatever statements you want, and I'll go back to my question afterwards.

MR. HEINER: The witness is simply trying to help you through a difficult subject matter. That's all that's happening. It's not offensive.

MR. BOIES: It is not offensive. But

all I am saying is with due respect, this witness's efforts do not help me clarify difficult subjects.

MR. HEINER: They could help. But go ahead and read the question one more time, or state it again and he can answer it.

MR. BOIES: Okay.

Q Is the term "proprietary API" a term that is commonly used in your business?

A I don't know how common it is. It has many different meanings.

Q Is it a term that you have used in your business?

A Sometimes.

Q Okay. Now, is it fair to say that when you use the term "proprietary APIs" sometimes you mean one thing and sometimes you mean something else?

A That's right.

Q Would you give me the different meanings that you sometimes ascribe to the term "proprietary APIs" when you use that term?

A It can mean an API that only happens to be available from one company. It can mean an API that for some reason related to intellectual property can only be available from one company, and, of course, that's never a black and white thing. It can

mean an API that somebody's chosen not to take to a standards body. Those are three different things you might mean by it.

Q I just want to be sure that the answer is clear.

I'm not asking what I might mean by it or what a person might mean by it. What I'm trying to do is get you to tell me meanings that you ascribe to that term when you use it.

A I've used all three of those.

Q Okay.

Are there other meanings that you have ascribed to the term "proprietary API" in your use of that term?

A Not that I can think of right now.

Q Okay.

Now, with respect to the API in Windows, there are both Java APIs and non-Java APIs; is that fair?

A I hate to tell you this, but what you mean by "Java" there is subject to massive ambiguity.

Q Let me try to put the question this way: In Windows there are pure Java APIs, there are impure Java APIs, and there are APIs that have nothing to do with Java; is that fair?

MR. HEINER: Objection. I guess at this point I'll have to say that if we're going to talk about pure Java APIs, you'll have to take the time to go down that path as well, which I know you're happy to do of defining what that term means.

MR. BOIES: I mean what the witness meant when he wrote this e-mail on June 16, 1997.

MR. HEINER: Fine.

THE WITNESS: I don't see anything about APIs.

Q BY MR. BOIES: Do you see "PURE JAVA" --

A Yeah. But I don't see APIs.

Q -- in capital letters?

And I can spend as much time as we have to on this. I think it shouldn't be necessary, but if we have to, we will.

MR. HEINER: Mr. Boies, the difficulty is -- I don't mean to be at all rude, but it's partly -- you know, it's partly the complexity of the subject matter and the difficulty you're having in posing these questions. Java is a complex subject.

MR. BOIES: Java is a complex subject. But when somebody talks about pure Java APIs, I don't think that that is something that the witness can't

answer.

THE WITNESS: But you said that the e-mail talks about pure Java API. And it doesn't.

MR. BOIES: No. I said pure Java.

THE WITNESS: No. You said APIs.

Q BY MR. BOIES: Mr. Gates, let me ask a question. If you can't answer the question, you can't answer the question.

Does Windows include pure Java APIs?

A There's a -- in some versions of Windows there are some Java runtime APIs which at one time Sun labeled as pure Java APIs. Subsequently they changed in a way that was not upwards compatible, so it's actually kind of confusing.

Q Does Windows have any APIs that you would consider to be pure Java APIs?

A Today?

Q Yes.

A Yeah. I guess the AWT 1.1 stuff you might think of that way.

Q Anything else?

A I don't know what you mean "anything else." Are we enumerating?

Q Any other API in Windows that you would

consider to be pure Java APIs, Mr. Gates?

A I know there's more. I don't know the technical names for them.

Q And does Microsoft have a version of Java that is not what you refer to in your memo as pure Java?

A I have no idea what you mean by that question.

Q Okay.

Does Windows include APIs that are written in what is described as a form or version of Java but not pure Java?

A Are you talking about the language?

Q If you don't understand the question, Mr. Gates, you can simply say you don't understand the question.

A Okay. I'm sorry. I don't understand the question.

Q Good. Okay. That's what I'm trying to do. What I'm trying to do is get on the record what you say you understand and what you say you don't understand.

MR. HEINER: Any time that the witness clearly indicates he doesn't understand the question but doesn't preface it with the words "I don't

understand the question." If you want that convention --

MR. BOIES: I do, because I don't want speeches as to what the witness does think if he simply doesn't understand the question.

THE WITNESS: No. But I was pointing out to you the part of the question that I didn't understand because it was ambiguous.

MR. BOIES: Would you read the answer back, please, or the statement.

(The following answer was read:

"A Are you talking about the language?")

MR. BOIES: No. I'm not talking about the language if by "the language," you mean all the things that you said about the Java language when we were talking about Java yesterday. Now, let me go back to me asking the questions, if I can.

Q As part of an effort to take control of Java away from Sun in the terms used by Mr. Slivka in his memo with Mr. Gates -- to you dated April 14, 1997, did Microsoft make an effort to get people to use a version of Java APIs that was not pure Java APIs?

MR. HEINER: Objection.

THE WITNESS: That's a very compound --

I don't understand the question.

Q BY MR. BOIES: Okay.

In an attempt to, in Mr. Slivka's words, wrest control of Java away from Sun, did Microsoft make an effort to get programmers to write to APIs that could be used to run applications on Windows but not on all other operating systems to which a pure Java written program could be run?

A I wouldn't say that was part of anything to do with controlling Java. But we do promote the use of the unique Windows APIs.

Q And with respect to the unique Windows APIs, are some of those APIs APIs that Microsoft describes as Java APIs or has in the past?

A All of our APIs can be called from Java. So now I don't know what you mean by a Java API. Usually somebody would mean something that you can only call from Java or something you can call from Java whether you can call it from other languages or not.

Our APIs we make available to a broad set of languages including Java but others as well.

Q Mr. Gates, you've been sued by Sun Microsystems over Java, have you not?

A There's a lawsuit with Sun.

Q Well, there's a lawsuit with Sun, and it's a lawsuit with Sun relating to the use of Java; right?

A It relates to a very specific contract that we have with Sun.

Q And does that very specific contract with Sun relate to Java?

A It's a license to various Sun technologies related to Java.

Q Now, you're familiar with that lawsuit, are you not, sir?

A Not very.

Q Not very?

Do you know what the contentions in that lawsuit are?

A No.

Q Never tried to find out? Is that your testimony?

A I haven't read the complaint, if that's your question.

Q That's not my question.

My question is whether you've ever tried to find out the substance of the allegations about Java that Sun is making in its lawsuit against Microsoft.

A My understanding of their allegations is very limited.

Q What is your understanding of their allegations?

A I haven't read the contract between Microsoft and Sun.

Q I'm asking you about the allegations in the complaint, not whether you've read the contract. I'm asking you for your understanding, which I know you've already said is very limited. But I'm asking for your understanding of what allegations Sun makes in its claim against Microsoft.

A I think there's some dispute about they were supposed to make the test cases public and upwards compatible, and they didn't make them public, and they weren't upwards compatible. And that relates to the contract that I haven't read.

Q And that's what you think they allege in the complaint?

A Well, that -- those are certain things that they were required to do, I believe.

Q My question is not about what you believe they were required to do, Mr. Gates. My question is: What is your understanding about the complaint that they make about what you did, about

what Microsoft did?

Do you understand the question?

A You're asking me to summarize their lawsuit?

Q I'm asking you to tell me what you know about the claims they make in that lawsuit. You said you know something about it, but it's very limited.

All I'm trying to do is get you to tell me what it is you know about the claims they make in their lawsuit.

A I think they want us to ship JNI.

Q Is that all you know about their claims?

A I think there was something about a trademark.

Q What about the trademark?

A Whether we could use the trademark. I'm not sure.

Q Don't you know, Mr. Gates, one of the allegations that they make is that you're taking their trademark and applying it to things that it shouldn't be applied to?

A Yeah. I think there's a trademark issue. I'm not sure what they're saying about the trademark.

Q Do you know anything that they're

saying about the trademark according to your present testimony?

A I know there's a dispute about the trademark.

Q Well, don't you know that one of the things they're alleging is that Microsoft is taking their trademark and applying it to things that shouldn't be applied to according to them?

A I'm not sure that's right.

Q You're not sure?

A Because I don't think we used their trademark, I'm not sure. I'm kind of confused about that. I've never seen us using their trademark, so I'm a little confused about how that relates to any dispute with Sun.

Q Did you ever try to find that out?

A What?

Q What the claims were more than your present knowledge.

A I read something that was on our web site about four days ago.

Q About the Sun lawsuit?

A Yeah. Bob Muglia had some statements.

Q Other than that, did you ever try to find out what Microsoft is being charged with, what

they're alleged to have done wrong?

A I've had discussions with Maritz saying: Do I need to learn about this lawsuit? Do I need to spend a lot of time on it?

Q What did he say?

A He said, no, he's focused on that and I can focus on other things.

Q Is one of the things that you're focused on trying, in Mr. Slivka's words, to wrest control or get control, if wrest is a word that you don't like, of Java away from Sun?

A No.

Q How did you think Microsoft could get control of Java away from Sun?

MR. HEINER: Objection.

THE WITNESS: I honestly don't know what you mean by "control of Java." I know those words are in that e-mail from Mr. Slivka. But when you're asking me the question, I don't know what you mean "control of Java."

Q BY MR. BOIES: Is it your testimony, Mr. Gates, that as you sit here today under oath you have no idea what Mr. Slivka meant when he said that one of the pointed questions that you had raised with him was how to get control of Java away from Sun?

A I told you, I think it related to our attempt to make our runtime APIs the most popular runtime APIs.

Q And not the Java APIs from Sun; is that what you're saying?

A Well, let's not label the APIs, not the unique ones that Sun was promoting.

Q When you say the unique ones that Sun was promoting, what were the unique ones that Sun was promoting called?

A I'm not sure what they're called. I think AWT 1.2 maybe or JDK 1.2.

Q And is it your best testimony that that's what you think this would have meant back in April of 1997, sir?

A That what meant?

Q Getting control of Java away from Sun. The thing we've been talking about here.

A Is that the same as "wrest control"?

You keep reading me these words from the e-mail.

Q Well, I'm trying to get away from the word "rest" because you say you don't remember that exact word. So I'm trying to use a word that's more neutral like get or obtain control.

A And I've told you, I can't understand

what's meant by "control" there. I know that we're trying to make our APIs popular with developers.

Q How does making your APIs popular with developers relate to obtaining control of Java, if at all?

A I don't know what it means to control Java. How can somebody control Java? What does that mean?

Q Is it your testimony that you have no idea what that means?

A To control Java? I don't think anyone can control Java. It's like saying controlling Basic or COBOL.

Q Do you really mean that, sir?

A Yes.

Q And I'm going to press this just another 30 seconds and then I will stop. But I really do want to be sure that I have given you a full and fair opportunity.

Is it your testimony that as you sit here today under oath that you have no idea what is meant by control of Java as used in this e-mail to you by Mr. Slivka?

A I've said several times I think he must be referring to our effort to make our APIs the most

popular APIs. But that wouldn't give us control of Java. So I'm having a hard time relating it to these specific words.

Q Well, without relating it to the specific words, how would getting people to use your APIs get control of Java? Why do you relate those two in your mind?

A Because he probably means the Java runtime, not Java.

Q Let's say he means the Java runtime.

A Then he's talking about the competition of APIs.

Q Is it fair to say, Mr. Gates, that you interpret this as how does Microsoft get, obtain, control of Java runtime? Is that what you're saying?

A I think that's the most likely explanation of what he meant. I still don't understand the word "control" there because it's not the word I'd use.

Q Well, according to Mr. Slivka it is the word you used, is it not, sir?

MR. HEINER: Objection.

THE WITNESS: We've already been through that.

Q BY MR. BOIES: But looking at this

doesn't refresh your recollection about having used that word?

A It does not.

Q Have you ever said in words or in substance to anyone that you wanted to obtain control over Java or under -- over Java runtimes?

A I don't remember using those words.

Q Do you remember conveying that concept or conveying that substance?

A If by "that concept" you mean conveying the idea that we wanted our runtime APIs to be the most popular, then the answer is yes.

Q Why did you want your runtime APIs to be the most popular?

A By having our runtime APIs be the most popular it means that people are more likely to license Windows because there's applications that take advantage of the unique innovations that are in the Windows product.

Q Why does the fact that their applications that take advantage of the unique APIs that are in the Windows product make people more likely to license Windows?

A Because it shows off the unique innovations of Windows.

Q How does it show off the unique innovations of Windows?

A Well, let's say, for example, they call our tasking APIs, then it shows off the unique way that we've done tasking. Let's say they call our clipboard APIs, then it shows off the advances we've made in data exchange which are very advanced.

Q Is it your testimony that trying to get applications writers to write to Windows' own APIs was something that you were trying to do only for the reason that you've identified?

MR. HEINER: May I have that read back, please?

(Question read.)

THE WITNESS: I think there's additional reasons as well.

Q BY MR. BOIES: Isn't it a fact, Mr. Gates, that one of the reasons that you were trying -- that Microsoft was trying to get control over the Java runtimes or Java, as it's described in Mr. Slivka's memorandum, was to prevent Java or Java runtimes from supporting competition with Windows?

MR. HEINER: Objection.

THE WITNESS: I don't know what you mean by "control." That means I don't understand the

question.

Q BY MR. BOIES: Okay.

Did you ever participate in any discussions within Microsoft as to the extent of which Java or Java runtimes posed a threat to Microsoft's position with respect to the Windows platform?

A Yeah. I've already told you that there came a point where we viewed Sun's unique Java runtime APIs as a -- as a part of the competitive environment, a competitor.

Q Okay.

Now, why were the Java APIs from Sun a competitor?

A Well, if people just used the least common denominator APIs, then they don't show off the innovations that we're doing in Windows, and it makes it less attractive to people to license Windows or update Windows.

Q Now, what I'm trying to do -- and you may think you've answered this question, but I don't think the record makes it clear in any event.

What I'm trying to do is distinguish between that reason which you've given me a couple times and any other reason that may exist.

Do you understand what I'm asking?

A No.

Q Okay. Let me try it again.

Isn't it true, Mr. Gates, that in addition to whatever desire you may have had to show off your Windows capabilities that you say you had, that one of the things that was going on here was your trying, Microsoft's trying, to prevent Java from getting wide enough distribution so that it could support applications programming for platforms other than Windows?

A No.

Q Not at all, sir?

A There's no limitation of distribution.

Q Didn't ask whether there was any limitation of distribution. I asked you whether in any way the desire to prevent Java from developing applications that could be used on platforms other than Windows motivated what Microsoft was doing in connection with Java.

MR. HEINER: Objection. That's a distinctly different question.

THE WITNESS: What does it mean Java developing applications?

Q BY MR. BOIES: I actually didn't recall

that I used that phrase.

THE WITNESS: Can you read me the question?

(The following question was read:

"Q I asked you whether in any way the desire to prevent Java from developing applications that could be used on platforms other than Windows motivated what Microsoft was doing in connection with Java.")

MR. BOIES: Can you answer that question, Mr. Gates. If you can't, I'll rephrase it. But if you can answer, I'd like an answer.

THE WITNESS: I don't know what you mean "Java developing applications."

Q BY MR. BOIES: Isn't it a fact, Mr. Gates, that in addition to whatever other reasons you say you had for what you did with Java and Windows APIs, part of what you were trying to do was to prevent Java from having a wide enough distribution so that it could support programs that could be used on platforms other than Windows?

A We had no way of preventing Java from being used on other platforms. It is used on other platforms.

Q That wasn't my question, sir. My question is whether or not part of what you and Microsoft was trying to do was to limit the distribution of Java sufficiently so that you could thereby limit or reduce the extent to which applications were written that could be used on platforms other than Windows.

A No. In fact, we sell the most popular Java tools in the market.

Q It is your testimony, then, sitting here, that Microsoft was not at all motivated by a desire to limit the extent to which Java could be used to develop applications programming that could be used on platforms other than Microsoft's Windows? Is that your testimony?

A Yes.

Q All right, sir.

Was your concern over Netscape's browser at all related to the fact that Netscape's browser was viewed within Microsoft as a method of distributing Java?

MR. HEINER: Objection. At the risk of belaboring the record.

Would you care to state the question more precisely and perhaps develop a better record?

Or do you want to stick with the question you have?

MR. BOIES: If the witness tells me he can't understand that question, that's an answer. If he can understand the question, I'd like to have an answer.

MR. HEINER: In addition to that there's an objection based on that, so that's a second consideration.

THE WITNESS: Well, you have to read the question again. Sorry.

(The following question was read:

"Q Was your concern over Netscape's browser at all related to the fact that Netscape's browser was viewed within Microsoft as a method of distributing Java?")

MR. HEINER: Another objection. Foundation.

MR. BOIES: Okay. I think the foundation objection may be well-taken. Let me ask the foundation question.

Q Did Microsoft believe that Netscape's browser was a means of distributing Java APIs?

A Well, Netscape had some APIs in its browser. I'm not sure if you would refer to them as

Java APIs or not.

Q It's not a question whether I would refer to them that way or not, Mr. Gates. What I'm asking you is what you and Microsoft believe.

And my question is: Did you and others at Microsoft believe that Netscape's browser was a method for distributing Java APIs?

A There were APIs in the Netscape browser. I don't think they were strictly Java APIs or even in a direct sense specifically.

Q Have you completed your answer, sir?

A Uh-huh.

MR. BOIES: Can I have the question read back again?

(The following question was read:

"Q It's not a question whether I would refer to them that way or not, Mr. Gates. What I'm asking you is what you and Microsoft believe.

"And my question is: Did you and others at Microsoft believe that Netscape's browser was a method for distributing Java APIs?")

Q BY MR. BOIES: Can you tell me that,

sir?

A There were APIs in Netscape browser
some of which under some definition of Java APIs
you'd call Java APIs.

Q And was there concern within Microsoft
that the distribution of these things that you say
could be called Java APIs would adversely affect
Microsoft?

A Our concern is always to get people to
develop Windows applications. And to the degree that
there's other APIs people to develop to, there's some
competition for the attention of developers and
focusing on those APIs. But that doesn't relate to
distribution.

MR. BOIES: Can I have my question read
back again, please?

(The following question was read:

"Q And was there concern
within Microsoft that the
distribution of these things that you
say could be called Java APIs would
adversely affect Microsoft?")

Q BY MR. BOIES: Could I have an answer
to that question, please, sir?

A No, not the distribution.

Q Let me ask you to look at a document that has been previously marked as Government Exhibit 349. The first message in this exhibit is an e-mail from Paul Maritz to you and a number of other people dated July 14, 1997; correct, sir?

A That's what it appears to be, yes.

Q Did you receive this e-mail, sir?

A I don't remember it. But I don't have any reason to doubt that I did.

Q Mr. Maritz writes to you in the third sentence, quote,

"If we look further at Java/JFC being our major threat, then Netscape is the major distribution vehicle."

Do you see that, sir?

A Uh-huh.

Q Do you recall Mr. Maritz telling you in words or in substance that Netscape was the major distribution vehicle for the Java/JFC threat to Microsoft?

A No.

Q Did you believe in July of 1997 that Java/JFC was a major threat to Microsoft as Mr. Maritz writes here?

A It was a significant issue for his group in terms of how ISVs would choose to focus their development in the future.

Q Did you believe in July of 1997 that Java/JFC was a major threat to Microsoft?

A In the form that it existed as of that day, maybe not. But if we looked at how it might be evolved in the future, we did think of it as something that competed with us for the attention of ISVs in terms of whether or not they would take advantage of the advanced features of Windows.

Q Do you have any understanding as to what Mr. Maritz meant when he wrote to you about Java/JFC being a major threat to Microsoft?

A Yeah. I just answered that.

Q What did you understand Mr. Maritz to mean when he says Java/JFC was Microsoft's major threat?

A I just answered that.

Q You'll have to give me an answer, Mr. Gates, because if you did answer it, it's not an answer that I can understand how it applies to the particular question I'm asking.

A I said we looked at how the various runtime APIs which was always confusing, you know,

where they were going or what they were doing. And "JFC" is just a term for some of those, how they might evolve in a way that would take away the focus of developers in terms of writing applications that would take unique advantage of Windows features.

Q I understand that you say that that was an issue for you. Why was that a major threat to Microsoft, if you have any understanding?

A Well, if people stopped writing applications that took advantage of Windows runtime APIs, that would mean that users wouldn't have access to the innovative features that we were putting into Windows.

Q Why was that a major threat to Microsoft?

A If ISVs weren't writing applications to take unique advantage of Windows, then it wouldn't show off the Windows innovation and so users wouldn't have much reason to update Windows or to license any new versions of Windows.

Q You referred to JFC in a couple answers ago and, of course, that's here in the memo. What does "JFC" stand for as you understand it?

A I was always a little confused about that, and it changed over time. It stands for Java

Foundation Classes.

Q Mr. Maritz writes here that Netscape is the major distribution vehicle for Java and Java Foundation Classes.

Do you see that?

A That's at the end of that sentence?

Q Yes.

A Uh-huh.

Q Do you see that?

A Yes.

Q Now, in a prior answer you said you didn't understand how the browser was a distribution vehicle. Does this refresh your recollection that at least within Microsoft in July of 1997 Netscape was viewed as the major distribution vehicle for Java?

A Not for Java. And in my view, the browser wasn't a key distribution channel. Maritz may or may not have agreed with that. But you can always ship the runtime with the applications.

Q Mr. Maritz here says, "Netscape is the major distribution vehicle."

Now, it's clear to you, is it not, sir, that he means the major distribution vehicle for Java and Java Foundation Classes?

A He doesn't mean for Java.

Q Well, sir, he says --

A I told you many times about the use of the word "Java." And I'm not sure you heard me. When people use the word "Java," they don't mean just Java.

Q So when Mr. Maritz here used the word "Java," in this e-mail that you say you don't recall receiving, you're telling me that he meant something other than just Java?

A He -- I bet he meant some runtime APIs, not Java.

Q Okay.

Let's assume that you're right, let's assume that when he talks about Java he means Java runtime APIs. Would you then agree that what he is saying here is that Netscape is the major distribution vehicle for Java runtime APIs and Java Foundation Classes?

A That appears to be what he's saying in this e-mail.

Q And what was Mr. Maritz's position in July of 1997?

MR. HEINER: Asked and answered too many times.

THE WITNESS: Yeah. I've answered this

three times.

MR. BOIES: I'm not sure you did as to this particular point in time. And one of the things that you have told me is that the titles changed. And so one of the things I want to be sure the record is clear on is what Mr. Maritz's position was as of the time of this key document.

MR. HEINER: You can cut and paste the transcript any way you want in your briefs and in your opening and closing argument. The witness has testified as to his title many times.

Q BY MR. BOIES: Mr. Gates, what was Mr. Maritz's title on July 14, 1997?

A I think group vice president.

Q What was he group vice president of?

A I don't know what the title would have said after that. But he managed the group that contained all of our Windows activities.

Q Was he group vice president for Platforms?

A I'm not sure. I'm sure if it contained the word "Platforms," it didn't just say Platforms, because he's got Office and some other things also.

Q But within his responsibilities would have been Windows?

A That's right.

Q Let me ask you to look at a document that has been marked as Government Exhibit 374. This is an e-mail to you from Tod Nielsen dated August 25, 1997, with copies to Brad Chase.

(The document referred to was marked as Government Exhibit 374 for identification and is attached hereto.)

Q BY MR. BOIES: Did you receive this e-mail, sir?

A I don't remember receiving it. But I don't have any reason to doubt that I did.

Q Let me ask you to look at the seventh paragraph down. That's the third paragraph from the bottom, the last sentence. That says, quote, "So, we are just proactively trying to put obstacles in Sun's path and get anyone that wants to write in Java to use J/Direct and target Windows directly," close quote. Do you see that, sir?

A Uh-huh.

Q Do you recall being told in or about August of 1997 that Microsoft was trying to put obstacles in Sun's path and get anyone that wants to

write in Java to use J/Direct and target Windows directly?

A No.

Q Do you know why Microsoft was trying to put, quote, "obstacles in Sun's path," close quote?

A I don't know what that means.

Q Do you know why Microsoft was trying to get anyone that wants to write in Java to use J/Direct?

A Yes.

Q Why was that?

A Because J/Direct allows you to make calls that show off unique innovations in Windows and make -- therefore, make Windows more attractive.

Q Was there any reason other than that that Microsoft wanted to get anyone that wants to write in Java to use J/Direct?

A Yes.

Q What?

A Well, there's a benefit to us if people are showing off Windows, and it increases Windows popularity. That helps us with the other applications we write for Windows as well including Microsoft Office.

Q How is that so?

A Because Microsoft Office is targeted to Windows, we get a benefit that goes even beyond increased sales of Windows if we manage to popularize Windows.

Q Why is that?

A Because they can buy Office.

Q They can buy Office and use it on the Mac, too, can't they, since you didn't cancel Mac Office?

A We have a much wider set of applications available for the Windows platform than any other platform. And we have more frequent updates of products like Office on the Windows platform. It's a more powerful version, the Windows version, and it -- therefore, our revenue per unit is somewhat higher.

Q You mean the version of Office for Windows is more powerful than the version of Office for Mac? Is that what you're saying?

A Yes. We have Office Pro.

Q What is J/Direct?

A J/Direct is a way of allowing Java language code to call native OS functionality. It's a fairly clever thing that we have done. And others now use that term to refer to it when they let their

OS functionality show through as well.

Q You have referred to Java runtimes.

Are there J/Direct runtimes?

A There's a thunk, but it's -- I don't know if you would call it a runtime or not. It's a thunk.

Q Would you define for me what the difference is, in your mind, between a thunk and a runtime?

A A thunk is a small piece of runtime that remaps parameters and calling conventions in such a way to be able to pass along an API call to another piece of runtime.

Q Does -- or I should say, when was J/Direct developed by Microsoft?

A I'm not sure.

Q Approximately?

A I don't -- I don't know. I mean --

Q Why was J/Direct developed by Microsoft?

A To make it easy for people who choose the Java language to call the unique runtime features in various operating systems including Windows.

Q Why do you want people to write in J/Direct as opposed to Java?

A They are writing in Java. You only use J/Direct if you write in Java.

Q Well, what Mr. Nielsen says is that Microsoft is trying to get anyone that wants to write in Java to use J/Direct.

Do you see that?

A That's right. And that means writing in Java.

Q And why do you want to get anyone who wants to write in Java to use J/Direct?

A Because that gives them a way of calling unique Windows APIs that allow us to show off the innovative features in Windows.

Q Couldn't you do that by having them simply write in Java and you providing the thunk separately?

A The name of the thunk is J/Direct. I guess we could have another thunk and call it something other than J/Direct, and that would be another way that they could do it. But we didn't choose to do it twice.

Q No, you didn't choose to do it twice.

That's not my question, Mr. Gates.

My question is why you were trying to get program developers, independent programming

people, to use J/Direct. Why were you trying to get them to do that?

MR. HEINER: Certainly asked and answered.

THE WITNESS: Because it allows them to get at the unique API functionality that's in the Windows product and show off the innovations that we do there.

Q BY MR. BOIES: But you didn't have to?

A Tell me some other way.

Q Well, I'm asking you. If you tell me that that's what you say is the only way that you could think of for them to do it, that's your testimony. I don't get to testify here. If I did, there would have been a lot of things I would have said along the way. But since I don't get to testify, all I get to do is ask you questions. And my question to you is whether there was a way, that you were aware of at the time, to let people see all of what you refer to as the functionality of Windows without getting people to write to what you refer to here to use J/Direct if they wanted to write in Java.

A J/Direct is exactly the work we did to make it possible and reasonable for people writing in

Java to call the unique Windows APIs.

Q Have you finished your answer?

A Yes.

Q Okay.

Now, were you aware of other ways of accomplishing the same result that you considered and rejected at the time?

A What time is that?

Q The time that you developed J/Direct.

A We don't know what that time is.

Q Well, you may not know the exact year.

But do you know that when -- were you aware when J/Direct was being developed within Microsoft? Were you aware of it at the time?

A I'm not sure.

Q Did you know it was being developed?

A I'm not sure.

Q Did you have any discussions about the development of J/Direct?

A I was not involved in the design of J/Direct.

Q I'm not asking you whether you were involved in the design of J/Direct. I'm asking you whether you were aware at the time that J/Direct was being developed that it was being developed?

A I'm not sure.

Q Did you ever have any discussions with anyone about the development of J/Direct at or about the time it was being developed?

A I don't think so.

Q At the time that J/Direct was being developed, did you know that people were trying to develop J/Direct?

A It's just a thunk.

Q My question is: Did you know that they were trying to develop this thunk?

A I doubt it.

Q Did you participate at all in any discussions as to what alternatives there were to the development of J/Direct?

A Before it was developed?

Q Let's start with before it was developed.

A No, I don't think so.

Q What about during the time it was being developed?

A I don't think so.

Q How about after it was developed?

A I don't think so.

MR. HEINER: We should take a break

soon.

MR. BOIES: Okay.

MR. HEINER: Okay.

THE VIDEOGRAPHER: The time is 2:02 P.M. We're going off the record. This is the end of Tape 3 of the videotaped deposition of Bill Gates.

(Recess.)

THE VIDEOGRAPHER: The time is 2:16.

We're going back on the record. This is Tape 4 of the videotaped deposition of Bill Gates on August 28.

Q BY MR. BOIES: Let me show you a document that has been previously marked as Government Exhibit 378.

(The document referred to was marked as Government Exhibit 378 for identification and is attached hereto.)

Q BY MR. BOIES: In the middle of the first page there is a message dated May 14, 1997, from Ben Slivka to you and others.

Did you receive this e-mail on or about May 14, 1997?

A I'm not sure. But I have no reason to doubt that I did.

Q When Mr. Slivka writes as he does in

the second paragraph, "This summer we're going to totally divorce Sun," do you know what he's referring to?

A I'm not sure.

Q Did you ever ask him what he was referring to?

A No.

Q In the next to last -- or in the last sentence, actually, in the last sentence of the second paragraph, Mr. Slivka writes that "JDK 1.2 has JFC." And is the JFC there the Java Foundation Classes that you referred to earlier?

A It's one of the many JFCs.

Q What is one of the many JFCs?

A The one in JDK 1.2.

Q Is the JFC in JDK 1.2 part of what was described as a major threat to Microsoft?

A I have no idea which JFC that sentence written by somebody other than me referred to.

Q Well, the sentence written by somebody other than you was written to you; right, sir?

A It was sent to me.

Q Yes. And it was sent to you by one of your chief -- one of your top executives; correct, sir?

A In an e-mail.

Q Yes.

And that's a frequent way that your top executives communicate with you; correct, sir?

A Yes.

Q Now, Mr. Slivka here says that Microsoft is going to be saying uncomplimentary things about JDK 1.2 at every opportunity.

Do you see that?

A Where's that?

Q That is, "JDK 1.2 has JFC, which we're going to be pissing on at every opportunity."

A I don't know if he's referring to pissing on JFC or pissing on JDK 1.2 nor do I know what he specifically means by "pissing on."

Q Well, do you know that generally he means by pissing on he's going to be saying and Microsoft is going to be saying uncomplimentary things.

A He might mean that we're going to be clear that we're not involved with it, that we think there's a better approach.

Q Well, as you understand it, when Mr. Slivka says he's going to be pissing on JDK 1.2, as you seem to interpret it, at every opportunity, do

you interpret that as meaning that Microsoft is going to be saying uncomplimentary things about JDK 1.2?

A I told you I don't know whether pissing applies to JFC or JDK.

Q Well, he's going to be pissing on or Microsoft is going to be pissing on either JDK 1.2 or JFC or both according to Mr. Slivka.

Is that at least fair?

A That's appears to be what the sentence says.

Q Yeah. And as the chief executive officer of Microsoft, when you get these kind of e-mails, would it be fair for me to assume that "pissing on" is not some code word that means saying nice things about you, that has the usual meaning that it would in the vernacular?

A I don't know what you mean in this kind of e-mail.

Q The kind of e-mail that is sent to you by executives in the course of your business, Mr. Gates.

A So all e-mails I get? Ben Slivka's not an executive.

Q All the e-mails you get from people telling you that they're going to piss on competitive

products, that's what I'm talking about.

A I don't remember mail like that. It looks like I got one. But believe me, it's not a term that's commonly used.

Q But you have no reason to think that he means it in any way other than the normal meaning of that term, do you, sir?

A I think it's a term of multiple meanings. In this case I think it means what you've suggested it means.

Q I thought it did too, and I hope to avoid asking you going through the actual language.

And, Mr. Gates, let me show you a document that has been previously marked as Government Exhibit 377.

The second e-mail here refers to what is attached as a final copy of the memo that was sent to you for Think Week in November 1995.

(The document referred to was marked as Government Exhibit 377 for identification and is attached hereto.)

Q BY MR. BOIES: Do you recall receiving this document, sir?

A No. What I recall about this document is that it's already been marked as an exhibit and

that I spoke with Mr. Houck about it yesterday.

Q That may be so. My question to you is:

Do you recall receiving this -- let me make it simple.

Did you receive this memo in or about November of 1995?

A As I said before, for my Think Weeks I get about three cardboard boxes of materials that people put together for me. And in looking at this memo, it's not a memo that I had seen before Mr. Houck's deposition questions put to me yesterday.

Q So it's your testimony the first time you saw this document was when Mr. Houck showed it to you yesterday?

A That's right. It had a different exhibit number then.

Q Let me ask you to go to page 5 of the document which bears in the bottom right-hand corner the Microsoft document production number ending 4683.

A Okay.

Q Do you see the heading "Shell Integration"?

A Yes.

Q Do you see the second sentence where it says, "We will bind the shell to the Internet

Explorer, so that running any other browser is a jolting experience"?

A I see that.

Q Do you have any understanding as to what was meant by that?

A I can guess.

Q Well, first, this is in a memo that is entitled "How to Get 30 percent share in 12 Months"; correct?

A Let's take a look. Yeah, that's on the first page.

Q And is it clear to you that that is referring to getting a 30 percent share of the browser market?

A I haven't read the document, but it seems likely that's what it is.

Q Okay.

Now, do you have an understanding --

I'm not asking you to guess. But do you have an understanding as to what is meant by the statement, "We will bind the shell to the Internet Explorer, so that running any other browser is a jolting experience"?

A I don't know what he meant by it, but I can tell you what it likely means.

Q Okay. I take it this is really how you would have interpreted this when you received it; is that fair?

A I didn't read it, so --

Q I said if you had received it, this is how you would interpret it?

A I said I didn't read it. I actually --

I would have read the whole memo if I had received it. I wouldn't have turned to that one page and just looked at that one sentence. I would have read the memo from the beginning page by page, and then I probably would have understood it better than I do at this moment.

Q If you do not have an understanding of what is meant by it, you can tell me. If you do have an understanding of what is meant by it, I would like to have it.

A I don't know what he meant by it, but I'd be glad to guess as to what it might mean.

Q I don't want you to guess. But if you as the chief executive officer of Microsoft can tell me how you would, in the ordinary course of your business, interpret this statement, I would like to have you do so.

MR. HEINER: Mr. Gates was prepared to

do that quite a while ago. That was an unnecessary exchange.

Go ahead. You may answer.

THE WITNESS: He may be referring to the fact that when you get a separate frame coming up on the win -- on the screen, it's different than having something take place in frame. And part of our shell integration strategy going back all the way to 1990 included the idea that as you navigated or browsed through different media types, you didn't have to have another frame come up because that -- that's sort of an artifact of having to think about applications instead of objects.

And so as he looked at integrating the browser and the shell together, we were going to create a form of navigation optionally but as the default where you don't switch frames as you navigate the links from the shell to what's out on the Internet back to what's in the local store.

Q BY MR. BOIES: Did anyone ever tell you independent of this document in words or in substance that Microsoft intended to bind the shell to the Internet Explorer so that running any other browser is a jolting experience?

A Well, certainly the idea of integrating

in a way that made a better browsing experience was something we were talking about quite a bit. Those words, no, I never heard anything along the lines of those words.

Q The words that are in this document; is what you're saying?

A That's right.

Q Okay.

Did Microsoft make any effort to discourage Apple from writing in a JDK 1.2?

A That never would have come up. Apple is not an application developer.

Q Let me -- let me back up.

Did Microsoft ever make an effort to get Apple to discourage applications writers for Apple's machines from writing in what you have referred to as Sun's Java or using the Sun Java runtimes?

A I'm sure there was discussion with Apple about the fact that their unique operating system capabilities wouldn't show through with the least common denominator pure approach. Whether that related specifically to JDK 1.2 or not, I can't say.

Q When you say you're sure there were discussions, are you talking about discussions

between Microsoft representatives and Apple representatives?

A Yes.

Q What was Microsoft's interest in having Apple discourage applications writers for Apple's operating system from using Java runtimes or JDK 1.2?

A We thought they might share the view that applications showing off unique operating system features was a good thing. But --

MR. BOIES: Could I have that answer read back?

(Answer read.)

Q BY MR. BOIES: Was there any other reason, sir?

A No.

Q Did you have personally any discussions with Apple with regard to trying to agree with Apple as to the extent to which Apple and Microsoft would compete with respect to Apple's QuickTime software?

A No.

Q Do you know if anyone from Microsoft had such discussions with anyone at Apple?

A I know over a course of years we've talked to them about what their plans are for QuickTime, but that's all.

Q Does Microsoft have software that competes with QuickTime?

A Since QuickTime's a free runtime, you could answer that either "yes" or "no." It's not a revenue source for Apple. But there is an Apple technology that has some common things with some Microsoft technologies.

Q Do you believe that QuickTime software competes with any software distributed by Microsoft?

MR. HEINER: Objection.

THE WITNESS: Depends on what you mean "compete."

Q BY MR. BOIES: Using that in the way that you would ordinarily understand it in the operation of your business, sir.

A No.

Q Did you make any effort or did Microsoft make any effort to get Apple to agree not to market QuickTime in any respect or to limit the marketing of QuickTime in any respect?

A There were discussions about whether we could help them with their QuickTime goals at various points in time. And, in fact, they encouraged us to do something where we'd actually by working with them make QuickTime even more popular than it is.

MR. BOIES: Would you read back my question, please?

(Question read.)

Q BY MR. BOIES: Can you answer that question, sir?

MR. HEINER: Objection.

THE WITNESS: I'm not aware of anything that was directly aimed at those things, no.

Q BY MR. BOIES: Are you aware of anything that was indirectly aimed at those things?

A No.

Q Did, to your knowledge, any representative of Microsoft try to convince Apple not to sell or promote QuickTime for uses for which Microsoft promotes the use of NetShow?

A There was some discussion about the future development of the runtime code and whether we could work together on the Windows side of that runtime code that would enhance their goal and our goals.

Q And was there a discussion in that context about Apple agreeing not to sell or promote QuickTime for uses that Microsoft was promoting NetShow to fulfill?

A Not that I'm aware of.

Q Insofar as you're aware, did Microsoft representatives tell Apple representatives that if Apple would agree not to sell or promote QuickTime for uses for which Microsoft offered NetShow, that Microsoft would help Apple in other areas?

A Well, the Quick -- as far as I know, the QuickTime runtime is free. So when you say "sell," I don't -- I'm not sure what you mean there.

Q I think I said sell or promote, I certainly meant to. But I will use the word "distribute," if that will help.

A I think there was a technical discussion about whether a common runtime was achievable which would have enhanced their QuickTime goals.

Q When you say "a common runtime," would you explain what you mean by that?

A I mean that the Windows media player runtime would combine technology from them and from us that met all of their goals for QuickTime.

Q And so there would be a Windows media player that would be distributed, and Apple would stop distributing QuickTime for purposes for which the Windows media player was distributed; is that what you're saying?

A No. They wouldn't have to stop anything. There would just be a new runtime that might incorporate some of their technology and help them with their QuickTime goals.

Q Well, when you say there would be a new program that would incorporate or might incorporate some of their technology, would that result in them stopping the distribution of their existing QuickTime technology?

A There's no reason it would need to.

Q Was that part of the discussions?

A I don't think so. But as I told you, I wasn't part of any of those discussions.

Q Were you aware of those discussions while they were going on?

A I knew that Apple had a -- had the QuickTime runtime for Windows. And there was always a question of whether we could create a Windows runtime that combined what their goals were there and what they had done well there for the work we were doing. And I know we talked to Apple about whether we could help each other in an effort like that.

Q When you talk about helping each other, would that result in a single product that would then be distributed in place of both QuickTime and

NetShow?

A No. People could still distribute their old things. But if you create a new thing that's better, some people might use it.

Q Well, was the purpose of creating the new Windows media player that you referred to to obsolete QuickTime?

A Whatever functionality QuickTime had previously would be unaffected by any such effort.

Q That really wasn't my question, Mr. Gates. Maybe I can state it more clearly. Did Microsoft try to convince Apple to take actions which would have resulted in Apple no longer distributing QuickTime to people to whom Microsoft was distributing NetShow or a successor Microsoft product?

A I'm not aware of anything that would have stopped them from distributing the QuickTime they had. But it was possible we could come up with something that would be helpful to both companies in terms of a product that took some of their technology and ours and was better for users.

Q Did Microsoft offer to have Apple continue to offer a multimedia player for the Mac platform and to assist Apple in that if Apple would

agree not to distribute that multimedia player for the Windows platform?

A As I said, I don't think there was any discussions about not distributing some old thing, but rather a question that was could something new be created which would be better for both companies.

Q Was the idea that once this new thing was created, the old thing that Apple was distributing would no longer be distributed by Apple?

A As I said, I don't think that was part of the discussion.

Q Have you ever been told anything or have you ever read anything about any contentions that Apple may or may not make concerning these discussions?

A No.

Q Are you aware of any assertions by Apple representatives that Microsoft representatives tried to get them to agree to divide the market?

A No.

Q No one's ever told you that; is that your testimony?

A That's right.

Q And you've never heard that from any source?

A That's right.

Q Do I take it from what you said yesterday that if, in fact, Microsoft representatives had attempted to get Apple representatives to participate in a market division, that would be contrary to Microsoft policy?

MR. HEINER: Objection.

THE WITNESS: That's right.

Q BY MR. BOIES: And I take it that if you found out that people had done that contrary to Microsoft's policy, they would be appropriately dealt with?

A Yes.

Q Are you a regular reader of the Wall Street Journal?

A Some days I read the Wall Street Journal.

Q Are you aware of a Wall Street Journal article that discusses assertions by Apple concerning alleged efforts by Microsoft to get Apple to agree to divide markets?

A No.

MR. HEINER: Mr. Boies?

MR. BOIES: Yes.

MR. HEINER: Is the antitrust division

contemplating filing an amended complaint in this action?

MR. BOIES: No.

MR. HEINER: Are these questions being asked pursuant to the complaint that was filed in this action?

MR. BOIES: Yes.

MR. HEINER: I think they're outside the scope of that complaint.

MR. BOIES: I do not. I think that the pattern of Microsoft in terms of attempts to divide markets and the effect of those attempts on Microsoft's monopoly power and the evidence of Microsoft's monopoly power that comes out of those attempts are all directly relevant to the case.

MR. HEINER: You could plead a complaint like that. You haven't yet.

MR. BOIES: I think that complaint is clearly so pled. I think this is clearly within the scope of the complaint.

MR. HEINER: Let me ask you a different question.

Have you prioritized your questions today so that you've asked the ones that are most important to you?

MR. BOIES: I think that I'm going through the examination in a logical way. It has not been possible to prioritize things completely without simply jumping from topic to topic because of the length of time that it has taken to deal with certain topics. But I do think that the pattern and practice of attempts of market division is a matter of priority.

MR. HEINER: I won't cut off the questioning. But note the objection.

Q BY MR. BOIES: Let me ask you to go to a different issue of market division or alleged market division. But before I do, let me just refer you to a Wall Street Journal article of July 23, 1998, entitled "U.S. Probing Microsoft's Multimedia Role."

Does that refresh your recollection as to whether you ever saw a -- a Wall Street Journal article about alleged market division attempts between Microsoft and Apple?

MR. HEINER: Do you want to show us the article?

MR. BOIES: I have no objection to showing it. And I have no objection to marking it.

MR. HEINER: I don't care if it's

marked or not.

MR. BOIES: My purpose is just to try to refresh his recollection, to see whether he recalls having ever seen this.

THE WITNESS: No.

MR. BOIES: Okay.

Q In that case, let me show you a document marked as Government Exhibit 375.

The second item on the first page is an e-mail message from you to Jim Allchin and others dated October 12, 1997.

(The document referred to was marked as Government Exhibit 375 for identification and is attached hereto.)

Q BY MR. BOIES: Did you send this e-mail October 12, 1997?

A I don't remember it. But I have no reason to doubt that I did.

Q In the first paragraph you say, quote,

"I have a critical meeting with Intel a week from Wednesday. I want to convince them that they need to stay away from Oracle NCs and work more closely with Microsoft," close

quote.

Do you see that?

A Uh-huh.

Q Did you have that meeting?

A I had a meeting.

Q Do you recall having that meeting?

A I don't know what you mean "that meeting."

Q You say, "I have a critical meeting with Intel a week from Wednesday." Did you have that meeting?

A I feel sure I had a meeting with Intel after this piece of e-mail was sent.

Q In October of 1997?

A Could have been November. You'd have to -- let's see. No. October.

Q Let me ask you to look at the last paragraph under the heading "Sun byte codes are bad for them." And you say, quote,

"I want them to understand that helping NCs and JAVA will push us to do Windows and other software in SUN byte codes even if we don't rewrite them in JAVA," close quote.

Do you see that?

A Uh-huh.

Q When you say "I want them to understand," are you referring to Intel?

A I think so.

Q Did Microsoft make any effort to convince Intel not to help Sun and Java?

A Not that I know of.

Q Did you or anyone at Microsoft attempt to convince Intel not to engage in any software activity?

MR. HEINER: Objection.

THE WITNESS: No.

Q BY MR. BOIES: Did you or, to your knowledge, anyone at Microsoft try to convince Intel that it should not engage in any software activity unless Microsoft was involved in that activity?

A I'm sure we pointed out sometimes how sometimes a lack of communications between the two companies on various subjects including software development led to unfortunate unreliability and mismatch which led to bad customer experiences.

Q And what did that lead you to ask Intel to do?

A Oh, in general, to see if we couldn't do a better job communicating with each other so that

people would have better experiences using the PC.

Q Did you tell or did anyone, insofar as you are aware, from Microsoft tell Intel representatives that you did not want Intel's software engineers interfering with Microsoft's existing domination of the software side of the PC industry?

A No.

Q Are you aware of an Intel operation referred to as the Intel architecture labs?

A Yes.

Q Did you tell Intel chief executive officer Andy Grove that you believed that Intel should shut down its Intel architecture labs?

A No.

Q What did you understand the Intel architecture labs to be doing?

A I can't claim to have a lot of expertise on the broad set of things the Intel architecture labs was doing.

Q What did you know the Intel architecture labs was doing?

A Well, they were doing some plumbing software to try to get some things to run on Windows 3.1 at one point. That's one thing I know they were

doing. But in terms of their breadth of activities, I'm -- the most of it I wouldn't have any familiarity with.

Q Did you believe that there was anything about what Intel was doing in the Intel architecture labs that was inconsistent with Microsoft's interests?

A Well, the fact that their software didn't run with Windows 95 and would break if the user wanted to move up to Windows 95 was a subject of concern and discussion for us related to an overall set of projects that were sometimes called NSP, although that term had many meanings.

Q What does NSP stand for?

A Sometimes it means native signal processing.

Q And how did what the Intel architecture labs was doing relate to NSP?

A That was the plumbing.

Q For NSP?

A I believe so.

Q Did you tell Intel CEO, Mr. Grove, that you believed that what Intel was doing in the Intel architecture labs was contrary to Microsoft's interests?

A In a broad sense, no. In terms of some specific things that broke software for users I did evidence that concern.

Q And you did so personally?

A Personally and impersonally.

Q Did you ask Mr. Grove to cancel the Intel architecture labs' work?

A No.

Q Did you or, insofar as you're aware, anyone else at Microsoft tell people at Intel that they should leave the software side of the PC business entirely to Microsoft?

A We were having a hard time coordinating our work with Intel, and we thought the quality of some of their work was very low as well as not working with any of our new Windows work. We may have suggested at some point that the net contribution of their software activities could even be viewed to be negative.

Q Did you or insofar as you are aware or anyone else at Microsoft tell representatives of Intel that their software activities were inconsistent with cooperation between Intel and Microsoft?

A The specific work they did that

completely broke our work I'm sure I indicated I didn't think that was a good idea for either company.

Q Other than the specific software that would not work on Windows 95 that Intel was working on, did you or, insofar as you are aware, anyone else at Microsoft tell Intel representatives that the software work that Intel was doing was inconsistent with cooperation between Intel and Microsoft?

A Well, there's some other things that they did that created incompatibilities.

Q Incompatibilities between what and what?

A Between their software and Windows, that was intended to run on Windows, that created incompatibilities.

Q And did you tell them that that software also was not consistent with cooperation between Microsoft and Intel?

A I doubt I used those words. I suggested that it wasn't helpful to any of their goals or our goals to have software that had incompatibilities and was low quality and broke.

Q Did you tell Intel representatives or did, insofar as you're aware, any Microsoft employee tell Intel representatives that you were concerned

about Intel support for Netscape?

A I don't remember that.

Q Do you remember telling Intel representatives that you were concerned that Intel support for Netscape could allow Netscape to grow into a de facto standard?

A No.

Q Did you tell representatives of Intel that you were concerned that Intel's use of Netscape could set up a positive feedback loop for Netscape that would allow it to grow into a de facto standard?

A What do you mean Intel's use of Netscape?

Q I'm asking whether you told this to Intel. If you didn't --

A Given that I don't know what you mean by Intel use of Netscape, if you're not going to clarify what you mean by that --

Q All I'm asking is whether you told them something, Mr. Gates. And if you tell me, "I didn't tell them that. Not only would I not tell them that because I don't understand what it could be," that's an answer.

But what I'm asking you is whether you told them that in words or in substance. And if you

didn't, you didn't. Or if you say you didn't, you say you didn't. But all I want to do is get your answer.

MR. HEINER: And the witness's plea for clarification of the question is that when you add the "in substance" part, then you would need to define the terms.

MR. BOIES: Well, let me try to approach it this way. I wouldn't have thought the term used is quite so ambiguous.

Q But, Mr. Gates, did you tell representatives of Intel that Intel using Netscape in a Windows environment would not be a problem so long as Intel did not assist in setting up a positive feedback loop for Netscape that allowed it to grow into a de facto standard? Did you say that or write that or communicate that, those words or words that you recognize to mean the same thing?

MR. HEINER: Objection.

THE WITNESS: I'm still confused about what you mean Intel's using something. Are you talking about like in their internal IT systems? What's this about?

Q BY MR. BOIES: Mr. Gates, either you told that to Netscape or you didn't. If you tell me

you didn't tell that to Netscape, I'll go on to the next question.

A I did not.

Q Okay.

MR. HEINER: Let's get one point clear.

When the witness has some confusion on a question, should he or should he not bring that to your attention?

MR. BOIES: I think the witness should tell me that "I don't understand your question."

MR. HEINER: That's what he did, and you seemed annoyed.

MR. BOIES: I don't think I seemed annoyed. I think that there is, perhaps, given the amount of time that we've spent on defining words that I think have ordinary and clear meanings, I may be anxious to move that along as much as possible. But if the witness simply says "I don't understand the question," I will rephrase it. There may be times when I do become a little annoyed when the witness instead of doing that decides to rephrase the question and answer an entirely different question from the one I've asked. But if the witness simply says --

MR. HEINER: Which is what just

happened.

MR. BOIES: I don't want to debate it with you, the record will show what happened. But if the witness simply says in response to a question "I don't understand that question," I'll take that for an answer and I'll rephrase it.

Q Did you, Mr. Gates, personally ever express concern to Mr. Grove that Intel's software work was beginning to overlap with Microsoft's software work?

A Only in the sense that the low quality and incompatibilities were inconsistent with any goals that Intel might have had in doing that work.

Q Why was that a concern?

A Because Intel was wasting its money by writing low quality software that created incompatibilities for users, and those negative experiences weren't helpful for any goal that Intel had.

Q Were they harmful to any goal that Microsoft had?

A Only in the sense of hurting PC popularity by creating negative user experiences.

Q Is it your testimony that your only concern with what Intel was doing in the software

area was a concern to avoid negative user experiences?

A That's right. Low quality and incompatibilities.

Q Which, according to you, would lead to negative user experiences; correct?

A That's right.

Q Did you or, insofar as you are aware, anybody at Microsoft ever tell Intel representatives in words or in substance that they should stick to hardware and leave the software to Microsoft?

MR. HEINER: Objection.

THE WITNESS: I'm sure there were times when we were frustrated about the quality and incompatibility problems created about their software where someone might have expressed that sentiment in an extreme feeling about how tough it had been for Intel to do quality work that would have advanced any Intel goal.

Q BY MR. BOIES: Were you aware of any work that Intel was doing relating to Internet software development?

A I can't think of any.

Q Did you ever express any concern to anyone at Intel, or to your knowledge, did anyone at

Microsoft ever express any concern to anyone at Intel concerning Intel's Internet software work, if any?

A I don't think Intel ever did any Internet software work.

Q And if they did, I take it it's your testimony no one ever told you about it?

A That's right.

Q Did you or, to your knowledge, anyone at Microsoft express concern to Intel about the success of Java or what you have referred to in this deposition as Java runtimes?

A From time to time we'd have general discussions with Intel about things going on in the industry. And I'm sure our views of the Java runtime competition may have come up in some of those discussions.

MR. BOIES: Could I have the question and answer read back please?

(The following record was read:

"Q Did you or, to your knowledge, anyone at Microsoft express concern to Intel about the success of Java or what you have referred to in this deposition as Java runtimes?

"A From time to time we'd have general discussions with Intel about things going on in the industry. And I'm sure our views of the Java runtime competition may have come up in some of those discussions.")

Q BY MR. BOIES: In those discussions, did you or others from Microsoft express concern about Java and Java runtime's popularity to Intel representatives?

A I think it's likely in those general discussions. We talked about some of the opportunities and competitive things going on including our view of what was going on in Java runtime.

Q Did you tell representatives of Intel or, to your knowledge, anyone from Microsoft tell representatives of Intel that in Microsoft's opinion the wide distribution of Java and Java runtimes were incompatible with interests of both Intel and Microsoft?

A Actually, there -- there's one aspect of Java that could have an effect on Intel and would have no effect on Microsoft. So it's completely

orthogonal. And I pointed out to them what that was. And so I did think there was one thing they ought to think about in terms of where the world of software development was going. But it wasn't an issue that related to Microsoft.

Q Irrespective of what you said about that particular issue, did you or others from Microsoft tell Intel in words or in substance that is as a general matter, a general conclusion, the popularity of Java and Java runtimes was not in your joint interest? And joint interest, I mean Microsoft and Intel.

A No. There was nothing about it that related to any joint interest. There was one thing about it that related to some of Intel's interests and there were other things about it that related to some of Microsoft's interests. But there's no overlap between those two.

Q Let me put the question this way: Did you or, to your knowledge, others from Microsoft tell Intel that for whatever reasons you believed that the widespread distribution of Java and Java runtimes was inconsistent with both interests of Intel and interests of Microsoft?

A Well, it's like you're trying to

rephrase what I said in a more inaccurate way. I told you there's an aspect of it that I thought they should think about that related to them only, that's the byte code piece. And then there's an aspect of it that relates to us only. So there's no end there, there's just a piece that might have been of interest to them that I articulated, and then there's the part that relates strictly to us.

Q Let me take it in two pieces. Did you tell Intel representatives that you believed that there were reasons why the widespread distribution of Java and Java runtimes were not in Intel's interests?

A Not in that general sense. I pointed out the very specific aspect of it, the byte code aspect, that I thought they ought to think about that had no effect on us.

Q Did you tell Intel representatives that there were things about the wide distribution of Java and Java runtimes that Microsoft believed was not in Microsoft's interest?

A It's likely that in the general discussion the notion of some of the new competitive activities including the Java runtime issues would have come up in some discussions with Intel but not -- not related to anything they were doing.

Q Did you ask Intel to keep you apprised of what software work Intel was doing?

A I think I made that request in vein on several occasions, nothing ever came of it.

Q Is it your testimony that they refused to keep you apprised of the software work they were doing?

A No. I just said to them that if they would -- whatever software work they were doing that was intended to help Windows, they should talk to us about it early on if they wanted to have the highest probability that it would, in fact, achieve that goal.

And unfortunately, we never achieved that result; that is, they would do things related to Windows that without talking to us in advance, and then once they had done the work, there would be some incompatibilities between what they had done and Windows itself.

Q When is the last time that you asked Intel to keep you apprised of what software work they were doing?

A I'm not sure.

Q Approximately when?

A I don't know.

Q Was it within the last year?

A I don't know.

Q Was it within the last two years?

A I honestly don't know.

Q Was it within the last three years?

A There's probably one instance where I asked them to tell us about things they were doing related to Windows.

Q Did you or others, to your knowledge, from Microsoft tell Intel that if Intel began to compete with Microsoft, Microsoft would be forced to begin to compete with Intel?

A No.

Q Not at all, sir; never said that in words or in substance?

A No.

Q To your knowledge did anyone else from Microsoft ever say that?

A I'm not aware of anybody saying that.

Q If anybody had said that, would you consider that to be inconsistent with company policy?

MR. HEINER: Objection.

THE WITNESS: I'm confused. Intel and Microsoft are not in the same businesses, so there's no policy about one of our people suggesting that

we're going to go into the chip business.

Q BY MR. BOIES: Was it part of what you wanted to accomplish, Mr. Gates, to be to keep Intel and Microsoft in separate businesses?

A No.

Q Did you ever take any action intended to accomplish that?

A No.

Q Did you or, to your knowledge, anyone from Microsoft ever tell people at Intel that Microsoft would hold up support for Intel's microprocessors if Intel didn't cooperate with Microsoft in areas that Microsoft wanted Intel's cooperation in?

A When we saw Intel doing the low quality work that was creating incompatibilities in Windows that served absolutely no Intel goal, we suggested to Intel that that should change. And it became frustrating to us because it was a long period of time where they kept doing work that we thought, although it was intended to be positive in the Windows environment, it was actually negative. And we did point out the irony of how while we seemed to communicate with them on microprocessor issues and yet they seemed on the areas where they were trying

to enhance Windows that the communication worked very poorly.

Q Did you or others on behalf of Microsoft tell Intel that Microsoft would hold up support for Intel's microprocessors if Intel did not cooperate with Microsoft?

A No.

Q No one ever told Intel that, to your knowledge?

A That's right.

Q Let me see if I can refresh your recollection.

Did you or anyone from Microsoft ever tell Intel representatives that Microsoft would hold up support for Intel's microprocessors if Intel didn't cooperate with Microsoft on the Internet?

A No.

Q Did you or anyone from Microsoft ever tell representatives of Intel that Intel would not cooperate -- that if Intel would not cooperate with Microsoft on communications programs, Microsoft would hold up support for Intel's microprocessors?

A No.

Q Did you or to your knowledge anyone from Microsoft ever tell Intel that you wanted Intel

to reduce its support of Netscape?

MR. HEINER: Objection.

THE WITNESS: It's very likely that our sales force that calls on Intel as a software customer talked to them about their web site and their browsers. And they may have tried to convince them to use our browser in terms of their internal efforts. It's kind of a knit, but I think it's possible.

Q Did you, Mr. Gates, ever yourself try to get Intel to reduce its support of Netscape?

A I'm not aware of any work that Intel did in supporting Netscape. They may have used their browser internally or one of their server things, but that's -- that's not really support. So I'm not sure of any support they were giving to Netscape.

Q You may mean that to answer my question, but I want to be clear.

It is your testimony that you're not aware of any instance where you asked anybody at Intel to reduce the support that Intel was providing to Netscape; is that your testimony?

A No. I may have asked -- I may -- and I don't remember it -- but I may have talked to them about their internal browser use. I don't think so,

but I may have. And I may have talked to them about their web servers and what they were using, but I don't think so.

MR. HEINER: We would like to take one last break here at some point, and we'll go through until 4:00.

MR. BOIES: Okay.

MR. HEINER: Okay.

THE VIDEOGRAPHER: The time is 3:26.
We're going off the record.

(Recess.)

THE VIDEOGRAPHER: The time is 3:36.
We're going back on the record.

Q BY MR. BOIES: Mr. Gates, you're familiar with a company called RealNetworks, are you not?

A Yes.

Q Did you ever have any discussions with any representative of RealNetworks concerning what products RealNetworks should or should not offer or distribute?

A No.

Q Microsoft signed two contracts with RealNetworks, did it not, sir?

A I have no idea. I thought it was one.

Q RealNetworks was previously called Progressive Networks; correct, sir?

A Right.

Q In the contract or contracts, if there was more than one, between Microsoft and RealNetworks, was there any restriction on what services RealNetworks could provide to competitors of Microsoft?

A I've never looked at those contracts.

Q Did you participate at all in those contracts either the negotiation of those contracts or discussions concerning those contracts prior to the time they were entered into?

A I knew that Muglia and Maritz were talking with Progressive about some kind of deal, but I didn't know what was in the deal.

Q Did you know anything about what was in the deal?

A I knew there was an investment piece.

I knew there was some code licensing in it. That's about all.

Q At the time that Microsoft was negotiating the contract or contracts with RealNetworks -- and I'll refer to it as RealNetworks even though at the time it was referred to as

Progressive Networks -- did you consider that company to be a competitor of Microsoft?

A Not -- I think I was confused about what RealNetworks -- what their plans were, and I wasn't sure if they were a competitor or not.

Q Was there a time when you did become convinced that they were a competitor?

A Yes.

Q When was that?

A When Rob Glaser appeared in Washington, D.C.

Q To testify before a Congressional committee?

A Senate, yes.

Q What led you to conclude from Mr. Glaser's testimony that RealNetworks was a competitor of Microsoft?

A It was nothing in his testimony.

Q Why did you become convinced at the time of his testimony that RealNetworks was a competitor of Microsoft?

A Well, because he went out of his way to lie about us, I sort of thought, "Hum, he must be a competitor."

Q When you say he went out of his way to

lie about you, when was that?

A That was at the press interview surrounding the testimony -- maybe the testimony itself, I'm not sure. I've never seen a transcript.

Q Did you ever personally have a conversation with Mr. Glaser about his business?

A A long, long time ago when Rob was just getting started I think there was one meeting that I had with Rob. I haven't met with him since then.

Q Was that meeting before or after the contract between RealNetworks and Microsoft that you say that you know about?

A If you mean the contract where we invested in Progressive, it was years before it and not at all related to it.

Q When was the contract in which you invested in Progressive Networks or RealNetworks?

A I'm not sure. I'd guess it's about a year ago.

Q Did you have a conversation with Mr. Glaser a few days after that agreement was signed?

A Now that you ask me that, maybe I did. Maybe I did. I think we may have had a short meeting.

Q And did you in that meeting tell Mr. Glaser in words or in substance how you thought he should limit his business?

A Absolutely not.

Q Not in any way, sir?

A Not in any way.

Q Did you tell him he ought to get out of the base streaming media platform business?

A No.

Q Did anyone ever tell you that Mr. Glaser had said he would get out of the base streaming media platform business?

A No.

Q Did Mr. Maritz ever tell you that Mr. Glaser's stated plan was that he would get out of the base streaming media platform business?

A As far as I know, we didn't know what Rob's plans were.

Q Did you ever try to find out what those plans were, sir?

A No.

Q Were those plans important to you?

A To me personally? No.

Q Were they important to Microsoft?

A On a relative basis, I'd say no.

Q Well, I suppose on a relative basis a business as big as Microsoft, I don't know what would be important, but --

A I can tell you.

Q -- but on a non-relative basis?

A I can tell --

Q Yes. Tell me what would be important to Microsoft on a relative basis.

A Improvements in Windows, improvements in Office, breakthroughs in research, breakthroughs in Back Office.

Q How about browsers? On a relative basis would that be important -- was that important to Microsoft?

A To the degree it relates to Windows, yes.

Q What about Java or Java runtime? Was that on a relative basis important to Microsoft?

A To the degree it related to Windows, yes.

Q Let me ask you to look at a document that we have marked Government Exhibit 379. This purports to be an e-mail from Paul Maritz. You are not shown on this as receiving a copy. The portion I'm particularly interested in is the last full

paragraph that says, quote,
"Rob's stated plan is that
he will get out of the base streaming
media platform business, and focus on
higher level solutions, hosting, and
content aggregation, and says that
his goal is now to get us to get his
base technology as widespread as
possible," close quote.

Do you see that?

A Uh-huh.

(The document referred to was marked as
Government Exhibit 379 for identification and is
attached hereto.)

Q BY MR. BOIES: Did anyone ever tell
you, as Mr. Maritz writes here, that Mr. Glaser had
said that his stated plan was that he would get out
of the base streaming media platform business?

A No.

Q Did you or, to your knowledge, anyone
from Microsoft ever tell Mr. Glaser that he should
get out of the base streaming media platform
business?

A No.

Q Okay.

You are aware, are you not, sir, that one of the issues in this case is the extent to which operating systems and browsers are or are not separate products?

MR. HEINER: Objection.

Mischaracterizes the allegations of the complaint, I believe.

MR. BOIES: Well, if the witness tells me that he doesn't think that's an issue in the case, he can so tell me.

THE WITNESS: I'm not a lawyer, so I think it's very strange for me to opine on what's an issue in the case. As far as I know, the issues in the case are not -- are something that you decide, and I don't claim to have any expertise at all.

Q BY MR. BOIES: And if you don't know, that's okay. But one of the things that I want to understand from you is whether your understanding, which is important to my next line of questions, is that the issue of whether or not browsers are or are not a separate product from the operating system is in this case.

MR. HEINER: Objection. What operating system? What browsers? You referred to "the operating system."

MR. BOIES: You want me to stop. All right. I --

MR. HEINER: No. I want you to ask the question but with specific specificity.

MR. BOIES: I've asked the question. If he says he doesn't understand this question, again, we put it down and then it's there for people to look at later.

MR. HEINER: That's fine. You can do that. And I, as his counsel, can pose an objection.

MR. BOIES: Yeah. But you can't pose questions to me particularly when you're trying to get the witness out at 4:00.

MR. HEINER: I can.

MR. BOIES: Not questions to me.

Q Mr. Gates -- you can put in an objection, I'm not trying to keep you from putting in an objection.

Mr. Gates, do you understand that the issue of whether or not browsers are a separate product or are not a separate product from the operating system is an issue in this case?

A I don't consider myself someone who could say if that's an issue in this case or not.

Q Have you participated in any way in

trying to get Microsoft personnel to use language that would suggest that browsers and operating systems are not separate products?

A I have no idea what you mean by that.

Q Well, have you seen e-mails that urge people within Microsoft not to talk about browsers as if they were separate from the operating system?

A I don't recall seeing any such e-mail.

Q Are you aware of any anybody within Microsoft who has asserted, either in an e-mail or otherwise, that people ought to not talk about browsers as if they were separate from the operating system?

A I don't remember any such e-mail.

Q Has Microsoft tried to get companies to agree to statements that Internet Explorer comprises part of the operating system of Windows 95 and Windows 98?

A I know it's a true statement, but I'm not aware of us doing anything to try to get anyone else to endorse the statement.

Q You're not aware of any effort by Microsoft to get non-Microsoft companies to endorse the statement that Internet Explorer comprises part of the operating system of Windows; is that what

you're saying?

A I'm not aware of such efforts.

Q Do you know whether Microsoft has made any efforts to include language like that in any of its license agreements?

A No, I don't.

Q Do you know why Microsoft might do that?

MR. HEINER: Objection.

THE WITNESS: I'm not sure.

Q BY MR. BOIES: Do you recognize that OEMs have a need to acquire the Windows operating system that Microsoft licenses?

A What do you mean by OEM? Is it a tautology because of the way you're defining it?

Q Well, if you take IBM and Compaq and Dell, Gateway and some other companies, those are commonly referred to as OEMs or PC manufacturers; correct, sir?

A No. The term "OEM" would be quite a bit broader than that. OEMs used means original equipment manufacturer.

Q I see.

And does OEM have a specialized meaning in your business to refer to people that supply

personal computers?

A No. It usually means our licensees.

Q And do your licensees, in part, supply personal computers, sir?

A Some of our licensees.

Q The licensees to whom you license

Windows are suppliers of personal computers, are they not, sir?

A If you exclude Windows CE and depending on how you talk about workstations and servers.

Q So that if we can get on common ground, the licensees for Windows 95 and Windows 98 would be companies that you would recognize as personal computer manufacturers; is that correct?

A Yeah. Almost all the licensees of Windows 95 and Windows 98 are personal computer manufacturers. Some are not, but the overwhelming majority are.

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MR. HEINER: Okay. We'll step out and
then come back in and talk about next steps.

MR. BOIES: Okay.

THE VIDEOGRAPHER: Okay. The time is
4:03 P.M. We're going off the record.

* * *

I hereby declare, under penalty of
perjury, that the foregoing answers are true and
correct to the best of my knowledge and belief.
EXECUTED AT _____, WASHINGTON,
this _____day of _____, 1998.

William Gates

401 E-mail dated 8/15/97 674

402 E-mail dated 8/5/97 676

403 E-mail dated 2/16/98 677

404 E-mail dated 3/23/94 678

BILL GATES,

a witness herein, having been duly sworn, was deposed
and testified further as follows:

EXAMINATION

BY MR. BOIES:

Q. Good morning, Mr. Gates. Do you
understand that you are still under oath?

A. Yes.

Q. Since the deposition session last
Friday, have you talked to anyone, other than your
counsel, about your deposition or about this case?

A. There were people who knew I'd been
deposed who said, "Were you deposed?" and "Are you
done being deposed?" And I simply told them I had
been deposed and I thought I had one more day of
being deposed.

Q. Other than simply telling them that you
had been deposed and you had one more day to be
deposed, did you have any discussions at all with
anyone, other than your counsel, either about your
deposition or any matters relating to your deposition
or about this case since last Friday?

A. Oh, I think someone mentioned they'd
read in the paper various things about the

deposition.

Q. Who was that?

A. I don't remember who. I was at an event where there were like 500 people, some of whom I wasn't introduced to, but I think some people came up and said they read about it in the newspaper.

Q. And one of the people that said that was somebody who you didn't know; is that your testimony?

A. I remember some people saying that. I don't recall exactly who said it.

Q. What is this event that you're talking about?

A. Oh, it's a get-together that Paul Allen had of a number of people.

Q. You attended this get-together?

A. Yes.

Q. When did this get-together take place?

A. Friday night through Monday morning, although I only -- actually, it started Friday morning, but I was there from Friday night until Sunday night.

Q. I'd like you to tell me everything that you can recall that you said to anyone since last Friday afternoon about the deposition or this case or

anything relating to this deposition or this case.

A. Other than my lawyers?

Q. Other than your lawyers, yes.

A. Do you include my wife in that?

Q. Did you talk to your wife about this deposition?

A. Yes.

Q. Did you talk to your wife about this case?

A. Well, I talked to her about the deposition, which relates to the case. I didn't talk to her about the case in any sense beyond talking about the deposition.

Q. Was anyone else present when you did this?

A. No.

Q. Let's leave your wife aside, too.

A. I can recall some people saying, "Must have been rough," and my saying, "Well, it's like depositions I've been in before." I think a lot of people came up and said they were rooting for us. A number of people asked if I was done with my deposition.

Some people suggested that they were surprised I'd been able to make it given that I'd

been in a deposition. I explained that I had to come late because of the deposition. But that's all I can remember about anything about the deposition.

Q. Or about the case or anything related to the deposition or the case?

A. Other than my wife and my lawyers, yes.

Q. Yes.

I asked you last week whether you were going to be a witness at the trial of this case and you said you didn't know. Do you know now whether you're going to be a witness at the trial of this case?

A. I don't know -- no, I don't. I don't know whether our side will make me a witness or whether your side will make me a witness.

Q. Do you intend to be a witness at the trial of this case if we do not call you?

A. I don't know.

Q. Have you spoken to anyone, other than your counsel, about whether or not you intend to be a witness at trial in this case?

A. I haven't spoken to anyone else about an intention to be a witness. I have told my wife that there's a time we're on vacation that may overlap this trial and if either side does choose to

call me, looking at what kind every disruption in our schedule that might cause.

Q. Other than conversations which you have had with your wife or your counsel, have you had any conversations with anyone about the possibility of your being a witness at the trial of this case?

A. No.

Q. Other than conversations that you have had with your counsel, have you had any conversations with anyone about the possibility of someone other than yourself being a witness at the trial of this case?

A. Yes.

Q. With whom have you had those conversations?

A. I spoke to an MIT professor, Professor Dertouzos, about his possibly being a witness in the case, an expert witness.

Q. When did you do that?

A. A few weeks ago. I -- I don't remember the date. I can go back and try to establish it, but it's more than two weeks ago.

Q. Was that a conversation that you had in person or by telephone?

A. By telephone.

Q. Were you asking him if he would be a witness; is that what you were doing?

A. I was inquiring whether he would be willing to be a witness, yes.

Q. What did he say?

A. He wasn't sure when I talked to him and he said he would think about it.

Q. Other than that one telephone conversation, have you had any conversations with anyone concerning the possibility that someone other than yourself might be a witness at the trial of this case?

A. Other than with my lawyers, no.

Q. Other than with your lawyers.

Have you made any efforts or to your knowledge has anyone at Microsoft, other than counsel, made any efforts to determine whether people would be willing to be trial witnesses in this case?

A. The only thing I know about along those lines is there was an economist who came out and met with me and some other Microsoft people, and that may have been in connection with whether or not that economist would be an expert witness in this trial.

Q. When did that happen?

A. A few weeks ago.

Q. Do you know the economist's name?

A. Yes, Dick Schmalensee. I don't know how to spell it.

Q. I don't either, but I know who you mean.

Other than Professor Schmalensee and that meeting you had with him, and of course the telephone conversation with the MIT professor, have there been any other people that you're aware of that either you or other people at Microsoft have talked to about the possibility of being a witness?

A. No.

Q. Insofar as you are aware, has anyone at Microsoft, other than your counsel, called up any companies with whom Microsoft does business to discuss the possibility of a representative of those companies being a witness in this case?

A. If so, I'm not aware of it.

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Q. Well, sir, the term browser is a term that is widely used within Microsoft, or at least was until this year; correct, sir?

MR. HEINER: Objection.

THE WITNESS: We use the term browser, yes.

Q. BY MR. BOIES: And you personally used the term browser, did you not, sir?

A. Yes, that term is used in quite a variety of ways.

Q. Including by you; correct, sir?

A. Yes.

Q. You've written e-mails about browsers; correct, sir?

A. I've written e-mails where the term browser was used. I wouldn't say it was necessarily an e-mail about browsers.

Q. Have you ever written an e-mail that you considered to be about browsers, sir?

A. I'll bet there's e-mail where the primary subject relates to browsers. I don't remember a specific piece of e-mail.

Q. And when you wrote e-mails using the

term browsers, you believed that people would understand what you meant by browsers; correct, sir?

A. I'm sure there was enough context in the e-mail that I felt I could communicate something of meaning.

Q. And you've used the term browser in dealing with people outside of Microsoft, have you not, sir?

A. Yes. It's a term that I've used both internally and externally.

Q. And there are a lot of people outside Microsoft that have written articles about browsers; correct, sir?

A. There's been articles about browsing and the technology people use for browsing and comparing the different -- how different companies do that, and they used the term browser.

Q. Yes. The industry and Microsoft tracks what is referred to as browser market share; correct, sir?

A. No.

Q. No? Does Microsoft track browser market share?

A. I've seen usage share.

Q. You've seen usage share?

A. Uh-huh. But not -- market share usually refers to something related to -- not to usage. And with browsers, I've seen mostly usage. Now, some people might refer to that as a market share, but it's not a market share.

Q. What is a market share?

A. Well, when I think of a market share, I think of where you're comparing the revenue of one company to the revenue of another company.

Q. The total revenue of a company?

A. No, the revenue related to one company's product to the revenue of another company's product.

Q. And that's what you think of when you use the term market share; is that your testimony?

A. Usually.

Q. Are you aware of documents within Microsoft that describe browser share as the company's number one goal?

A. No. I'm aware of documents within Paul Maritz's group that may have stated that.

Q. Is Paul Maritz's group within Microsoft?

A. Yes, but his -- he doesn't set the company-wide goals.

Q. Mr. Maritz you identified last week as being a group vice-president; is that correct?

A. Uh-huh. Several times.

Q. And he is the group vice-president with responsibility for Windows; is that correct?

A. That's among his responsibilities.

Q. And included in his responsibilities was Internet Explorer; is that correct?

A. Our browsing technology was part of that group.

Q. Was Internet Explorer part of that group?

A. Yes.

Q. Now, did you ever tell Mr. Maritz that browser share was not the company's number one goal?

A. No.

Q. You knew Mr. Maritz was telling people that browser share was the company's number one goal, did you not, sir?

A. I knew that Mr. Maritz was saying to people that the -- that a top goal and perhaps number one goal for his group was browser usage share.

Q. Now, you've put in the words "usage share" there. When Mr. Maritz was telling people that browser share was the number one goal, was

Mr. Maritz saying browser usage share or just browser share, sir?

A. You'd have to ask him. I think he meant usage share.

Q. I'm not asking what he meant. And perhaps my question was unclear. I'm asking what he said or wrote.

MR. HEINER: Object to the question.

Q. BY MR. BOIES: Do you understand the question?

A. What writings are we talking about?

Q. Let me ask you the question, Mr. Gates, since you're the witness. Are you aware of any time that Mr. Maritz wrote in an e-mail or said or otherwise communicated to people that browser share was the number one goal?

A. The number one goal for what?

Q. Just the number one goal for the company, let's start with that. Are you aware of any time when Mr. Maritz said that?

A. Where he said it was the number one goal for the whole company?

Q. I didn't say the whole company. I didn't put in the word "whole," Mr. Gates. And I know you're very precise with words, so I want to

make sure the questions and answers meet.

The question is, are you aware of any instance in which Mr. Maritz, in words or in substance, communicated that browser share was the number one goal for the company? And by "the company," I mean Microsoft.

A. I don't remember any such case.

Q. Are you aware of any instance in which Mr. Maritz communicated in words or in substance that browser share was the number one goal for his group?

A. I think there was a point where he did that. I don't remember the document, but I think there was a point.

Q. Do you know why Mr. Maritz came to the view that browser share was the number one goal?

A. For his group?

Q. Did he say for his group in the communications --

A. Well --

Q. -- that you're talking about?

A. It's not his position to set goals for the entire company, so when he says something that's a goal, it's certainly implied it's a goal for his group.

Q. Interpreting what Mr. Maritz has

communicated in light of that, do you know how Mr. Maritz came to the view that browser share was the number one goal?

A. Well, I think he was aware of the increasing popularity of the Internet and the growing usage of the Internet and felt that all the many many innovations we were doing in Windows, that a particular focus had to be doing the best job on the Internet and Internet browsing features of the operating system and seeing if we could innovate enough to make people prefer to use that technology from us.

Q. Mr. Gates, isn't it the case that you told Mr. Maritz that browser share was a very very important goal and that's why he believed it?

A. I guess now we're delving into the inner workings of Paul Maritz's mind and how he comes to conclusions?

Q. Well, let me try to ask you a question that won't require you to delve into anybody else's mind.

Did you tell Mr. Maritz that browser share was a very very important goal?

A. I know we talked about browser share being important.

Q. I'm not asking you what he said to you.
I'm not asking what topic you talked about. I'm asking you whether you told Mr. Maritz that browser share was a very very important goal?

A. I remember that we agreed that it was an important goal. I'm not sure which one of us reached that feeling before the other.

Q. Have you communicated to people other than Mr. Maritz within Microsoft that browser share was a very very important goal?

A. Well, you've used several times the "very very" and I don't know if you're asking me specifically about sometime where I used the words "very very," is that the question?

Q. Let me begin with that question. Have you communicated to people within Microsoft, other than Mr. Maritz, that browser share was a very very important goal, using those words?

A. I don't remember using those words.

Q. Have you communicated the substance of that to people within Microsoft?

A. Help me understand. If you communicate to people that something is important, is the substance of that identical to communicating to them it's very very important?

Q. Would it be, in your view, Mr. Gates, if you were using those terms, would important be the same as very very important?

A. Not identical.

Q. What would be the difference?

A. The two very's.

Q. And what significance in terms of substance would those two very's have?

A. A speaker's tendency towards hyperbole.

Q. Other than your tendency, if you have one, to hyperbole, would there be anything different that you would be communicating to people if you were to say browser share is an important goal or browser share is a very very important goal?

A. You'd have to look at the context to see.

Q. As you sit here now, what you've told me is that you recall communicating that browser share was an important goal, but not a very very important goal, and all I'm trying to do is find out whether you draw a distinction in terms of the substance of those communications?

A. And I said, it would depend on the context.

Q. Let me ask you to look at at least one

context and that would be Exhibit 358 that we marked during your deposition last week. And it is in the stack of exhibits that you have in front of you.

Did you write Exhibit 358, Mr. Gates, on or about January 5, 1996?

A. I don't remember doing so specifically, but it appears that I did.

Q. And the first line of this is, "Winning Internet browser share is a very very important goal for us."

Do you see that?

A. I do.

Q. Do you remember writing that, sir?

A. Not specifically.

Q. Now, when you were referring there to Internet browser share, what were the companies who were included in that?

A. There's no companies included in that.

Q. Well, if you're winning browser share, that must mean that some other company is producing browsers and you're comparing your share of browsers with somebody else's share of browsers; is that not so, sir?

A. You asked me if there are any companies included in that and now -- I'm very confused about

what you're asking.

Q. All right, sir, let me see if I can try to clarify. You say here "Winning Internet browser share is a very very important goal for us." What companies were supplying browsers whose share you were talking about?

A. It doesn't appear I'm talking about any other companies in that sentence.

Q. Well, sir, is a market share something that is compiled only for one company? I understand if a company has a monopoly, that may be so, but in a usual situation where a company does not have a monopoly, share ordinarily implies comparing how much of a product one company has with how much of a product another company has; correct?

A. Yes.

Q. Now, when you were talking about Internet browser share here, what companies were you talking about?

A. You're trying -- you seem to be suggesting that just because share involves comparing multiple companies, that when I wrote that sentence, I was talking about other companies. It doesn't appear that I'm talking about other companies in that sentence. I've really read it very carefully and I

don't notice any other companies in there.

Q. Oh, you mean you don't see any other company mentioned in that sentence; is that what you're saying?

A. The sentence doesn't appear to directly or indirectly refer to any other companies.

Q. When you refer to an Internet browser share here, sir, what is the share of?

A. Browser usage.

Q. Of course, you don't say "browser usage" here, do you, sir?

A. No, it says "share."

Q. Now, let's say that you meant browser usage because that's what your testimony is. What browser usage were you talking about in terms of what your share of browser usage was? What browsers?

A. I'm not getting your question. Are you trying to ask what I was thinking when I wrote this sentence?

Q. Let me begin with that. What were you thinking when you --

A. I don't remember specifically writing this sentence.

Q. Does that mean you can't answer what you were thinking when you wrote the sentence?

A. That's correct.

Q. So since you don't have an answer to that question, let me put a different question.

A. I have an answer. The answer is I don't remember.

Q. You don't remember what you meant. Let me try to ask you --

A. I don't remember what I was thinking.

Q. Is there a difference between remembering what you were thinking and remembering what you meant?

A. If the question is what I meant when I wrote it, no.

Q. So you don't remember what you were thinking when you wrote it and you don't remember what you meant when you wrote it; is that fair?

A. As well as not remember writing it.

Q. Okay. Now, let me go on to another paragraph and see whether you remember writing that or not. And that is the second paragraph, which reads, "Apparently a lot of OEMs are bundling non-Microsoft browsers and coming up with offerings together with Internet Service providers that get displayed on their machines in a FAR" -- and you've capitalized each of the letters in far -- "more

prominent way than MSN or our Internet browser."

Do you see that?

A. Uh-huh.

Q. Did you write that sentence, Mr. Gates?

A. I don't remember, but I have no reason to doubt that I did.

Q. Do you remember what you were thinking when you wrote that sentence or what you meant when you wrote that sentence?

A. No.

Q. Do you remember that in January, 1996, a lot of OEMs were bundling non-Microsoft browsers?

A. I'm not sure.

Q. What were the non-Microsoft browsers that you were concerned about in January of 1996?

A. What's the question? You're trying to get me to recall what other browsers I was thinking about when I wrote that sentence?

Q. No, because you've told me that you don't know what you were thinking about when you wrote that sentence.

A. Right.

Q. What I'm trying to do is get you to tell me what non-Microsoft browsers you were concerned about in January of 1996.

A. If it had been only one, I probably would have used the name of it. Instead I seem to be using the term non-Microsoft browsers.

Q. My question is what non-Microsoft browsers were you concerned about in January of 1996?

A. I'm sure -- what's the question? Is it -- are you asking me about when I wrote this e-mail or what are you asking me about?

Q. I'm asking you about January of 1996.

A. That month?

Q. Yes, sir.

A. And what about it?

Q. What non-Microsoft browsers were you concerned about in January of 1996?

A. I don't know what you mean "concerned."

Q. What is it about the word "concerned" that you don't understand?

A. I'm not sure what you mean by it.

Q. Is --

A. Is there a document where I use that term?

Q. Is the term "concerned" a term that you're familiar with in the English language?

A. Yes.

Q. Does it have a meaning that you're

familiar with?

A. Yes.

Q. Using the word "concerned" consistent with the normal meaning that it has in the English language, what Microsoft -- or what non-Microsoft browsers were you concerned about in January of 1996?

A. Well, I think I would have been concerned about Internet Explorer, what was going on with it. We would have been looking at other browsers that were in use at the time. Certainly Navigator was one of those. And I don't know which browser AOL was using at the time, but it was another browser.

Q. What I'm asking, Mr. Gates, is what other browsers or what non-Microsoft browsers were you concerned about in January of 1996? I'm not asking what you were looking at, although that may be part of the answer, and I don't mean to exclude it, but what non-Microsoft browsers were you concerned about in January of 1996?

A. Well, our concern was to provide the best Internet support, among other things, in Windows. And in dealing with that concern, I'm sure we looked at competitive products, including the ones I mentioned.

Q. Let me try to use your words and see if we can move this along. What competitive products did you look at in January of 1996 in terms of browsers?

A. I don't remember looking at any specific products during that month.

Q. Were there specific competitive products that in January of 1996 you wanted to increase Microsoft's share with respect to those products?

MR. HEINER: Objection.

Q. BY MR. BOIES: Do you understand the question, Mr. Gates?

A. I'm pausing to see if I can understand it.

Q. If you don't understand it, I'd be happy to rephrase it.

A. Go ahead and rephrase it. I probably could have understood it if I thought about it, but go ahead.

Q. In January, 1996, you were aware that there were non-Microsoft browsers that were being marketed; is that correct?

A. I can't really confine it to that month, but I'm sure in that time period I was aware

of other browsers being out.

Q. And were those non-Microsoft browsers, or at least some of them, being marketed in competition with Microsoft's browser?

A. Users were making choices about which browser to select.

Q. Is the term "competition" a term that you're familiar with, Mr. Gates?

A. Yes.

Q. And does it have a meaning in the English language that you're familiar with?

A. Any lack of understanding of the question doesn't stem from the use of that word.

Q. And you understand what is meant by non-Microsoft browsers, do you not, sir?

A. No.

Q. You don't? Is that what you're telling me? You don't understand what that means?

A. You'll have to be more specific.

What --

Q. Do you understand what is meant by non-Microsoft browsers?

A. In the right context, I'd understand that.

Q. Is the term non-Microsoft browser a

term that you think has a reasonably common and understandable meaning in the industry?

A. Yes. It's only the scope of what you'd include in it that would vary according to the context.

Q. Okay. That is, in some contexts you'd include more and in some contexts you'd include less?

A. That's right.

Q. When you refer to non-Microsoft browsers generally, are there particular browsers that you have in mind?

A. There are many that I would include in that. And as I said, it would be broader depending on the context.

Q. Do all of the non-Microsoft browsers that you're aware of compete with Internet Explorer?

A. In the sense that users select which browsers they want to use, yes.

Q. Let's focus on January of 1996. What were the non-Microsoft browsers that, in your view, were competing with Internet Explorer in January of 1996?

A. Well, users could choose from a number of browsers, including the original Mosaic browser, the Netscape Navigator, and I don't know what version

they had out at the time. The AOL browser. And some others that were in the market.

Q. And using the term as you used the term, were all of those three browsers competing with Internet Explorer in January of 1996?

A. In the sense that users could choose to use them or use Internet Explorer, yes.

Q. I want to use it the way you use it, not the way somebody else might use it, Mr. Gates.

What I want to know is in January, 1996, did you consider Mosaic, Navigator and AOL's browser as all competing with Internet Explorer?

A. In the sense that users could select one of those others to choose, yes.

Q. Is that the only sense that you use the term competition?

A. No.

Q. What I want to do is I want to focus on competition the way you use it in the ordinary operation of your business.

A. And one of the senses is whether people choose to use our way of providing a feature or if they choose to get additional software to provide them with that feature.

Q. And was that the choice that users were

making between Internet Explorer and the AOL browser in January of 1996, Mr. Gates?

A. Users can choose between those two.

Q. Were they making that choice, Mr. Gates, so far as you're aware?

A. Some were, yes.

Q. And some were choosing the AOL browser instead of Internet Explorer, that's your testimony?

A. Well, people can switch at any time and they can intermix their usage. Some people choose to primarily use the AOL browser.

Q. Instead of Internet Explorer is your testimony?

A. When I say primarily, that means it got most of their usage share and it means nothing else does. Let's take somebody who exclusively would have used the AOL browser. I can't name anybody like that, but I'm sure there were people like that. That would mean they weren't using the Internet Explorer technologies in Windows.

Q. And because of that, as you use the term competition, you would consider that a competitive alternative? That's what you said; is that correct?

A. In terms of competing for usage share,

yes.

Q. And what you've testified is that when you use browser share, you meant usage share; correct?

A. That's right.

Q. So that as you use the term browser share, it is your testimony that in January of 1996 Microsoft was competing for browser share with Mosaic, Navigator and AOL's browser; correct?

A. In the sense that users would choose to use one of those in varying degrees, yes.

Q. But in terms of what you meant by browser share, that was what you considered to be competition in January of 1996; correct?

A. That we were competing to see who could make the better browser that users would choose to take advantage of, yes.

Q. And you were competing with the supplier of Mosaic and the supplier of Navigator and the supplier of AOL's browser to do that; is that your testimony?

A. I know we were interested in making our browser attractive so that we'd gain higher usage share.

Q. Higher usage share compared to --

A. All the other browsers, including particularly those browsers.

Q. Okay. Now, in January of 1996, did you consider any one of those three browsers to be a stronger or more important competitor than any of the others?

A. It's hard for me to pin it down to January, 1996. At some point we definitely thought of the Netscape browser as the number one in terms of how our Windows browsing would be compared by users and which they would select.

Q. Have you finished your answer?

A. Uh-huh.

Q. When did you first consider Netscape's browser to be your primary or most important non-Microsoft browser with which Internet Explorer was competing?

A. I think by late 1995 we thought of Navigator as competing both with -- well, competing with Windows broadly, including the Internet capabilities of Windows.

Q. Prior to late 1995, did you think of the Netscape browser as competing either broadly with Windows or with Internet Explorer?

A. No. I think prior to that we were

unclear about whether that was the case.

Q. Let me try to go back now to the first sentence in your memo of January 5, 1996 that has been marked as Exhibit 358 where it says, "Winning Internet browser share is a very very important goal for us." Does the prior discussion that we've just had refresh your recollection that you would have been referring primarily there to the goal of gaining market share versus Netscape?

A. You keep trying to read Netscape into that sentence and I don't see how you can do that.

Q. I just really want to get your testimony, Mr. Gates.

A. Okay.

Q. And that is, when you wrote, "Winning Internet browser share is a very very important goal for us," in January, 1996, were you referring primarily to gaining market share compared to Netscape?

A. I've testified I don't remember what I was thinking when I wrote that sentence.

Q. If you can't remember what you meant when you wrote that sentence, do you at least remember that in January, 1996, winning Internet browser share was an important goal for Microsoft?

A. Yes.

Q. And with respect to the goal of winning Internet browser share in 1996, was that goal primarily to gain share compared to Netscape?

A. Not necessarily.

Q. When you talk about winning browser share, not necessarily just in this document but generally, you're referring to gaining market share compared to other competitors; correct?

A. Or any new products that come along.

Q. That are competitive; correct?

A. That people use for that function.

Q. In January of 1996, was it the case that the most important competitive product to Internet Explorer was Netscape's browser?

A. I think by this time the browser that had the highest usage share was Netscape's Navigator.

MR. BOIES: Would you read the question back, please.

(Record read.)

Q. BY MR. BOIES: Can you answer that question, sir?

A. In terms of users picking browsers, the product that was on the market that competed for usage the most in this time period was probably

Netscape's Navigator.

Q. Okay. Was the fact that you've just described a fact that caused you and Microsoft to want to study Netscape and determine how you could reduce Netscape's ability to compete?

MR. HEINER: Objection.

THE WITNESS: I don't know what you mean by that.

Q. BY MR. BOIES: In or about January of 1996 or thereafter, did Microsoft try to study Netscape to determine how you could reduce Netscape's ability to compete?

MR. HEINER: Objection.

THE WITNESS: I don't know what you mean by that.

Q. BY MR. BOIES: Let me try to break it up into as small a pieces as I can. In or about January, 1996 or thereafter, did Microsoft, to your knowledge, undertake to try to study Netscape as a company, including where its revenues came from, what its dependencies were, what it needed to remain viable?

A. I'm sure we looked at their revenue. And I'm sure we looked at their products and their organizational structure.

Q. Was that in whole or in part a result of an attempt to find out what their vulnerabilities were, Mr. Gates?

MR. HEINER: Objection.

THE WITNESS: Did you end the question?

Q. BY MR. BOIES: Both your counsel and I thought so.

A. Okay.

Q. But if you don't understand it, I'll rephrase it.

A. We were interested in learning what users liked about their products and what kind of response customers had.

Q. For my present question I'm not asking about learning about their products just for the sake of learning about their products. What I'm asking about is whether you were trying to figure out where Netscape's dependencies were so that you could attack Netscape and render Netscape a less effective competitor?

MR. HEINER: Objection.

THE WITNESS: We were interested in building a product that users would prefer over them.

Q. BY MR. BOIES: My question, sir, is whether in addition to whatever you did to improve

your product, were you also attempting to ascertain what Netscape's dependencies were so that you could attempt to render Netscape less viable, less able to compete with Microsoft?

MR. HEINER: Objection.

THE WITNESS: We gathered information about Netscape like we do a number of companies we compete with, including IBM, Sun, Novell and many others.

Q. BY MR. BOIES: Have you finished your answer?

A. I have.

Q. I'm now asking you about Netscape in particular and I'm asking you whether you gathered information about Netscape for the purpose, in whole or in part, to determine what Netscape's dependencies were so that you could then try to attack those dependencies and render Netscape a less viable competitor?

MR. HEINER: Objection.

THE WITNESS: It's the compoundness of the question that makes it so confusing.

Q. BY MR. BOIES: Is the question so confusing that you really think you can't answer it?

A. It's the compoundness that makes it so

confusing that I don't think I can give you a good answer.

Q. You gathered information about Netscape; correct?

A. People in the company did. I didn't personally.

Q. Well, you asked them to gather information about Netscape; correct, sir?

A. I didn't initiate any particular gathering of information. I may have asked questions once I was presented some information.

Q. You told people that you wanted them to gather information concerning such things as Netscape's revenues and head count and how much revenues they got from various sources, things like that, did you not, sir?

A. No. I already -- we already talked about the fact that there was a normal competitive review done of a number of companies, and I didn't initiate that particular review.

MR. BOIES: Let me mark as the next exhibit, which will be Government Exhibit 380, a document that I will give you a copy of and give your counsel copies of.

The first page of Exhibit 380 contains

what purports to be a message from you dated December 1, 1996. Do you see that, sir?

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 380 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you write that message?

A. We've already discussed this particular message. As I said when we discussed it before, I don't remember specifically sending that message, but I don't have any reason to doubt that I did.

Q. Do you see the first paragraph of this message that says, "What kind of data do we have about how much software companies pay Netscape?"

A. It's weird that you're repeating this exhibit without the enclosures to the e-mail. I think it's very misleading to have the version of the document -- you had the real exhibit earlier. Did you lose it?

Q. Mr. Gates, I am prepared to sit here just as long as you want to have whatever debate you want to have. I think you understand that I put questions and you give answers and if your counsel has an objection, he makes an objection. And that's

the way the deposition will get over with. If we proceed this way, the deposition is never going to get over with. If you need to see something else, we'll take whatever time you need to try to put it in front of you.

What I'm asking you about is a document that bears Microsoft's document production numbers MS6 6013069 with two additional pages, MS6 6013070 and 3071. The last two pages of this have stamps that say "Privileged Material Redacted," which I will represent to you means that your counsel has whited out what was there. Now, I don't have any objection to being given that privileged material that has been redacted and I can ask you about that, too, but what I'm asking you about right now is this document that was produced to us by your counsel.

A. And I've told you it appears to be incomplete.

MR. HEINER: If I can cut through this a little bit, Mr. Gates is simply referring to the fact that there was another version of this produced where the material was not redacted because the redaction in this case was in error. It's a simple matter.

MR. BOIES: But I also think that the

previous exhibit, if I'm thinking about the one that you have, has a different document production number, it has a different number of pages. It was something marked by the states.

MR. HEINER: I think all of that is probably true.

MR. BOIES: And I'm happy to have that other document in front of the witness if he thinks he needs it. What I want to do, though, is just talk about his e-mail. And I don't think his e-mail is in any way incomplete.

THE WITNESS: Yes, sir, it is certainly incomplete.

Q. BY MR. BOIES: Okay, sir. Then tell me how it is incomplete.

A. Do you see where it says "RE:"?

Q. Yes.

A. That means there is an enclosure.

Q. You mean your e-mail is missing the enclosure, is that what you're saying?

A. Right. So the thing I'm referring to in my e-mail is completely missing here, which it wasn't earlier in this deposition.

Q. It was not missing earlier in the deposition?

A. That's right.

Q. All right, sir. Let's see if we can find the earlier exhibit that you're referring to. Let me see if what you mean to be referring to is Government Exhibit 353.

A. I didn't see it when I flipped through these. Do you have 353 in this pile (indicating)?

Q. If the reporter did her job, which she almost always has, when you started the deposition today you would have had all of the exhibits in numerical order.

A. Okay, great. Here is 353.

Q. Now, first of all, let's see if we can reach some agreement. Is Exhibit 353 the other exhibit that you were referring to?

A. Yes.

Q. All right. And Exhibit 353, the e-mail from you, is the same as the e-mail on Exhibit 380, but Exhibit 353 has an additional e-mail; is that correct?

A. No.

Q. Okay. Let me try to go through Exhibit 353. The first e-mail on Exhibit 353 is an e-mail from Mr. Ballmer to you and others; correct?

A. Right.

Q. The second e-mail is an e-mail from you dated December 1, 1996 at 9:24 p.m.; correct?

A. Yes.

Q. And there is a third e-mail from Mr. Nehru dated November 27, 1996, at 11:54 a.m.; correct?

A. Well, it's not a separate e-mail. It's part of my e-mail.

Q. Well, sir, let me try to see if we can get this straight. And we'll read this whole thing into the record if we have to.

A. I can explain what you're confused about.

Q. I'm not confused, Mr. --

MR. HEINER: Gates.

Q. BY MR. BOIES: -- Gates. Indeed I think I stated it accurately, if you want to start talking about what I think. But my function is to ask you questions and your function is to give me answers to the questions and neither of our functions are to debate the other at this point.

Exhibit 353 starts with an e-mail dated December 1, 1996 from Mr. Ballmer to you; correct?

A. There's only one e-mail in here, which is the one from Steve, which has two e-mails enclosed

in it.

Q. Well, what is enclosed here are two additional e-mails; correct, sir?

A. They're part of Steve's e-mail.

Q. That is, Steve -- and by Steve you mean Mr. Ballmer; correct?

A. Yes.

Q. -- is sending around with his e-mail two earlier e-mails; correct?

A. They're part of his e-mail.

Q. When you say they're part of his e-mail, he didn't write them, did he, sir?

A. No, but they're part of his e-mail.

Q. That is, he is sending them around?

That's what I said three times. He is sending them around with his e-mail. He wrote something and in addition to what he wrote, he is sending around what two other people wrote earlier; correct, sir?

A. It's part of his communication. It's not separate.

Q. I don't know what you mean by part or separate and neither one of those were in my question, Mr. Gates. My question is, Mr. Ballmer wrote an e-mail that he sent around and with that e-mail he sent around two earlier e-mails; that's

clearly what's going on here; right, sir?

A. He only sent one thing.

Q. All right, sir. The first line on Exhibit 353 says "Leslie Halverson (LCA)"; correct, Mr. Gates?

A. Yes.

Q. Okay. The next line says "From: Steve Ballmer." The next line says, "Sent: Sunday, December 1, 1996, 9:25 p.m." and then "To: Bill Gates, Amar Nehru."

A. Does yours say 9:25?

Q. Well, on 353 it looks like 9:26.

A. Right. And you said 9:25.

Q. Okay, then I misspoke. With that amendment, it is correct, though; correct?

A. That's right.

Q. And it then goes down six more lines and then there is a line that says "Original Message;" correct?

A. Right.

Q. And that says "From: Bill Gates," correct?

A. That's right.

Q. And it says you sent it Sunday, December 1, 1996 at 9:24 p.m.; correct?

A. That's right.

Q. And then it goes down one, two, three, four, five, six, seven, eight, nine, ten lines and then there is another line that says "Original Message;" correct, sir?

A. That's right.

Q. And that says it is from Mr. Nehru; correct?

A. Yes.

Q. And it says it was sent on Wednesday, November 27, 1996 at 11:54 a.m.; correct, sir?

A. Right.

Q. Now, the portion that follows your line that says, "I don't think this analysis needed to be sent to so many people," that's the last line before the line that says "Original Message" from Mr. Nehru; correct?

A. That's right.

Q. Everything after your line saying "I don't think this analysis needed to be sent to so many people" has been blocked out on Exhibit 380, correct, and replaced with a stamp that says "Privileged Material Redacted"?

A. Do I still have 380?

Q. Unless you have eaten it. It was the

one we just marked a few moments ago, a few minutes ago.

MR. HEINER: It's gone.

Q. BY MR. BOIES: In any event, your counsel has in front of him another copy of it.

A. Yes.

Q. And we'll use that copy.

A. Yeah, it looks like they're the same except that they deleted the part of my message where I enclosed the information from Amar.

Q. When you say you enclosed the information from Amar, you mean where you enclosed Mr. Amar's e-mail?

A. As part of my e-mail.

Q. In haec verba?

MR. HEINER: Don't use that.

Q. BY MR. BOIES: Word for word?

A. Yes, it appears to be his e-mail word for word.

Q. Okay. I was just trying to make sure the record is clear.

MR. HEINER: I'm ready for a break if you're about to get into the more interesting part.

MR. BOIES: We can take a break.

VIDEOTAPE OPERATOR: The time is 10:38.

We're going off the record.

(Recess.)

VIDEOTAPE OPERATOR: The time is 10:59.

We're going back on the record.

Q. BY MR. BOIES: The November 27, 1996 Nehru e-mail that you sent around is headed "Netscape Revenues;" correct, sir? And it is a discussion of an analysis of Netscape's revenues?

A. I didn't send it around. Amar sent it around. I enclosed it.

Q. I thought we established that you then sent it around.

A. I enclosed it, yes.

Q. When you say you enclosed it, that means it's enclosed with what you have written so that it goes around to everybody that your e-mail is directed to; correct?

A. Well, Amar had already sent it to quite a large superset of the people I copied on my e-mail, so he sent it to them.

Q. He sent it to them and then you sent it to everybody that is on the addressee or copy list of your e-mail; correct?

A. I enclosed it to those people who had already all gotten it from Amar.

Q. And by enclosing it means you sent it around?

A. That's not the word I would use, but it was enclosed in the e-mail I sent to those people who had already received it directly from Amar.

Q. So when people got your e-mail -- all I'm trying to do is -- I don't think this is obscure. All I'm trying to do is establish that when you sent your e-mail to the five people that you sent it to, with your e-mail they got Mr. Nehru's e-mail?

A. Which they had already gotten.

Q. And they got it again?

A. As an enclosure, yes.

Q. As an enclosure to your e-mail?

A. Right.

Q. And that e-mail from Mr. Nehru that you enclosed with your e-mail is a discussion of Netscape's revenues; correct, sir?

A. That's the subject line of his e-mail.

Q. Not only is it the subject line, that's what the substance of the e-mail is?

A. Do you want me to look at it?

Q. If you need to to answer the question.

A. It appears to be a discussion of Netscape's revenue, or what he was able to find out

about it at a 70 percent confidence.

Q. And the first line of your memo that you send to the five people indicated here, including Mr. Maritz and Mr. Ballmer, is "What kind of data do we have on how much software companies pay Netscape?" correct, sir?

A. Yes.

Q. And did they furnish you with that information?

A. I don't think so.

Q. You say in the next line, "In particular I am curious about their deals with Corel, Lotus and Intuit." Do you see that?

A. Uh-huh.

Q. You've got to say yes or no for the --

A. Yes.

Q. Did you ever receive information about what revenues Netscape was getting from any of those companies?

A. I'm quite sure I didn't.

Q. Netscape was getting revenues from Intuit. You knew that in December of '96; correct, sir?

A. I still don't know that.

Q. You still don't know that? You tried

to find that out in December of 1996; correct?

A. I did not myself try and find that out.

Q. You tried to find it out by raising it with people who worked for Microsoft, didn't you? That's what this message is?

A. It says I'm curious about it.

Q. Well, the first line says, "What kind of data do we have about how much software companies pay Netscape? In particular I am curious about their deals with Corel, Lotus and Intuit." That's what you wrote to Mr. Nehru, Mr. Silverberg, Mr. Chase, Mr. Ballmer and Mr. Maritz; correct, sir?

A. Right, because Amar's mail didn't seem to have any data about that.

Q. And is it your testimony that you never got any data about that?

A. That's right. I don't remember getting any data. I'm quite sure that I didn't.

Q. Did you follow up to try to get an answer to those questions?

A. No.

Q. After December of 1996, Microsoft entered into an agreement with Intuit that would limit how much money Intuit paid Netscape; correct, sir?

A. I'm not aware of that.

Q. Are you aware of an agreement that Intuit entered into with Microsoft?

A. I know there was some kind of an agreement. I wasn't part of negotiating it, nor do I know what was in it.

Q. Do you know anything that was in the Intuit agreement?

A. I'm quite sure that Intuit had a plan to use our componentized browser. And I think in the agreement they agreed to make that their default browser.

Q. Do you know anything else about the Intuit agreement?

A. Well, Mr. Houck, when he --

Q. Do you know anything else about the Intuit agreement?

A. I was going to answer.

Q. Well, okay. I just want to be clear that what I'm asking about has nothing to do with what Mr. Houck knows or what Mr. Houck suggested. It's what you know. Now, if Mr. Houck refreshed your recollection about it, that's fine.

A. Let me say the sentence and then we'll see what you say.

Q. Okay.

A. Mr. Houck showed me an e-mail which appeared to be written by Will Poole talking about his discussions with Intuit, and I could tell you what I remember from that e-mail that Mr. Houck showed me.

Q. No, because that's in the record already. What I need to know is whether, based on anything that Mr. Houck did or that I did -- I think I actually may have showed you the e-mail you're talking about, but whether it was Mr. Houck or me, based on whatever happened before, do you now have a recollection of the Intuit agreement other than about the default browser?

MR. HEINER: Objection.

THE WITNESS: I'm confused.

Q. BY MR. BOIES: Okay. Let me distinguish two things. I'm not asking you to try to remember the e-mail that you were shown before. What I'm asking is whether, as you sit here now, you have a memory or recollection of the Intuit deal other than that it made IE the default browser?

A. No.

Q. Now, let me go back to where I was before we entered into our discussion of Mr. Nehru's

e-mail.

Other than the e-mail that you sent on December 1, 1996, do you recall any other instances in which you were personally asking for data about Netscape?

A. I think I was in a meeting, a normal review-type meeting, where some data on Netscape was presented by Amar, and it's likely that I asked at least one question during the meeting.

Q. Any other instances?

A. I think there was e-mail about a specific deal that Netscape did with Citicorp in the last couple months where I was curious about how much Citicorp had paid. Either that or the mail just included that information.

Q. Any other instance in which you personally asked for information concerning Netscape's revenues, head count, business, plans or dependencies?

A. I remember once saying to Brad Silverberg how many developers does Netscape have, and being curious about that.

Q. Any other instances?

A. I think when we did geographic reviews one time, I asked someone if Netscape had an office

in their country.

I think once when I was in Japan --
this is another instance -- I asked what the browser
usage share was in Japan, in particular what
Netscape's usage share was.

Q. Have you completed your answer?

A. Yes.

Q. Have you now given me all of the
instances that you can recall in which you have
personally asked for information concerning
Netscape's revenues or head count or dependencies?

A. Yes.

Q. Let me ask you to look at a document
that we will mark as Exhibit 381. The third item on
the first page is an e-mail from Paul Maritz to you
dated January 16, 1996. It is to you and a number of
other people, but you are the first there. Do you
see that?

A. Yes.

(The document referred to was marked
by the court reporter as Government Exhibit 381 for
identification and is attached hereto.)

Q. BY MR. BOIES: Did you receive this
e-mail in January, 1996?

A. I don't remember receiving it, but I

have no reason to doubt that I did.

Q. The second sentence of Mr. Maritz's e-mail to you says, "We need to look carefully at any significant opportunity to gain share versus Netscape." Do you see that?

A. That's part of the sentence that I see.

Q. The rest of the sentence says, "and think carefully before AOL goes off and partners with Netscape." Do you see that?

A. Yes.

Q. That's the rest of the sentence; right?

A. Right.

Q. Even though you don't recall receiving this particular e-mail, do you recall Mr. Maritz telling you in or about January of 1996 that he believed that Microsoft had to look carefully at any significant opportunity to gain share versus Netscape?

A. No.

Q. Do you recall Mr. Maritz telling you in or about January of 1996 that there was a possibility that AOL was going to go off and partner with Netscape?

A. I don't know the time frame, but I know there was -- there came a time where AOL was

considering whether to keep doing their own browser technology or work with someone else on that.

Q. And is that your understanding of what Mr. Maritz was referring to when he talks about AOL going off and partnering with Netscape?

A. It appears to be a mail about -- let me take a look at it.

It appears to be a mail about OEMs prominently featuring the AOL client in such a strong way that anything we would do for AOL in that regard would be of no impact and, therefore, that maybe we should work with AOL on the browser.

MR. BOIES: Could I have that answer read back.

(Record read.)

MR. BOIES: And would you read my question back, please.

(Record read.)

THE WITNESS: Well, having read the mail, my best guess is that he is talking about the browser, but it's just a guess reading the e-mail.

Q. BY MR. BOIES: Well, when you say that your best guess is he is talking about the browser, you mean in his e-mail that this is about a browser?

A. About working with AOL on browsing

technology.

Q. Well, do you have any doubt that this is related to browsers, sir?

A. It's certainly part of what it's about.

Q. When Mr. Maritz says, "We need to look carefully at any significant opportunity to gain share versus Netscape," he is talking about browser share, is he not?

A. Almost certainly.

Q. And as you've previously pointed out, part of the same sentence is that he says that it's important to "think carefully before AOL goes off and partners with Netscape." Do you see that?

A. I see it.

Q. And when he is talking about going off and partnering with Netscape, he is talking about AOL partnering with Netscape relating to browsers; correct?

A. As I said, I'm not certain what he means, but from reading the e-mail, certainly browsers is part of what he is talking about, it appears.

Q. And in response to this issue, did Microsoft go off and partner with AOL with respect to browsers?

A. In response to what?

Q. In response to the thing that

Mr. Maritz writes to you in January of 1996, that he wants to look carefully at any significant opportunity to gain share versus Netscape and AOL is thinking about going off and partnering with Netscape.

MR. HEINER: Objection.

THE WITNESS: The reason we did enter into some partnership activities with AOL is in order to let them take advantage of some of the innovations we'd done in browsers and get broader exposure of the work that we'd done there.

Q. BY MR. BOIES: And did you enter into partnership relationships with AOL concerning browsers?

A. We entered into a partnership, a primary element of which was working together to make the Windows browsing technology meet AOL's needs.

Q. And was one of the reasons that you did that to try to gain share versus Netscape?

A. Our goal was certainly to improve the exposure of our innovation and therefore the usage share of IE.

Q. Now, when Mr. Maritz writes to you, he

is not writing about gaining exposure for your innovations, he is writing about gaining share versus Netscape; correct, sir?

A. Are we back to focusing on this piece of e-mail here?

Q. I don't know what you mean by "back to," but in January of 1996, Mr. Maritz writes to you about pursuing any significant opportunity "to gain share versus Netscape." Do you see that sir? You said you didn't have any doubt that you'd read this; correct?

A. I have no reason to doubt that I received it.

Q. Do you doubt that you received it?

A. No.

Q. Okay. So you accept you received this e-mail?

A. I said I had no reason to doubt that I received it.

Q. And you also said you don't doubt it?

A. I don't know for sure that I received it because I don't remember specifically receiving it.

Q. Let me put it this way. As you sit here now, you believe you received it, don't you,

Mr. Gates?

A. I believe it's more likely than not that I received this e-mail.

Q. As you've described previously in the deposition, can you give me any probability greater than that?

A. I think it's very likely.

Q. Okay. Now, in this e-mail that it is very likely that you received in January of 1996, Mr. Maritz writes that you need to look carefully at any significant opportunity to gain share versus Netscape and you need to think carefully before AOL goes off and partners with Netscape.

Was the desire to gain share versus Netscape part of what led Microsoft to itself partner with AOL with respect to browsers?

MR. HEINER: Objection. Asked and answered.

THE WITNESS: Our goal was to raise the usage share of our Internet Explorer technologies in Windows and that's the reason we did the agreement with AOL.

Q. BY MR. BOIES: Now, when you refer to gaining things in Windows, the documents that talk about browser share don't talk about gaining share

for Windows, do they, sir?

A. They talk about gaining share for the IE part of Windows.

Q. Well, they don't even talk about gaining share for the IE part of Windows. Have you seen any documents that talk about gaining share for the IE part of Windows?

A. Well, certainly if you're talking about e-mail within Microsoft, we all know that IE is a part of Windows and so we don't bother, for any feature that we're studying usage of, to restate "and that feature is a part of Windows." We simply refer to the feature.

Q. IE is distributed other than as part of Windows, is it not, sir? It's distributed separately?

A. It's a different thing we do, which is we create an IE for Macintosh that shares some of the same code as the IE capabilities that are in Windows.

MR. BOIES: Would you read back the question, please.

(Record read.)

Q. BY MR. BOIES: Can you answer that question, sir?

A. We take a subset of the IE technologies

that are in Windows and create something independent, which is the IE for Macintosh, although there is a lot of unique code that is written for that work. And we also create it for Unix as well.

Q. When you look at your browser share, do you include in your browser share the usage of IE browsers that are used on Macintosh?

A. Sometimes yes and sometimes no. You can add those numbers together and sometimes we do that. You can track the numbers separately and we've certainly done that as well.

Q. When you talk about your IE browser share without further elaboration, is that including your IE usage on Macintosh or not?

A. Highly ambiguous.

Q. When you receive discussion of Microsoft's browser share without further elaboration, how do you understand those references? Do you understand those references to include your usage on Macintosh or not to include IE's Macintosh usage?

A. I'd have to look at the reference. If they say Windows, then they don't include Macintosh. If they just say it without mentioning Windows, it's not clear whether they're including the Macintosh

usage or not.

Q. Have you ever asked someone who wrote you just talking about browser share whether they were talking about browser share including Macintosh or not?

A. Yes, I believe I have.

Q. Who did you ask that of?

A. I'm sure I sent mail and probably included Brad Chase as one of the people I would have, in responding to something like that, included.

Q. What was the response?

A. I'm sure they clarified which numbers referred to the IE usage from within Windows 95 and which referred to the IE offering we make on the Macintosh.

Q. And with respect to Exhibit 381, the January, 1996 message from Mr. Maritz to you where he is talking about gaining share versus Netscape, does that include usage share on Macintosh or not?

A. It's not clear at all.

Q. Do you have any understanding as to what he meant by that?

A. Whether he included the Macintosh share or not, is that the question?

Q. Yes.

A. No, I don't know.

Q. When IE share is discussed within Microsoft, that share is discussed as a share of browsers, is it not, sir? Those are the words that are used? Whatever they may mean, whatever you say they may mean, that's the words that are used; is that correct, sir?

A. We're talking about --

MR. HEINER: Objection. Sorry. Go ahead.

THE WITNESS: We have data about the usage levels of various browsers and we look at those.

MR. BOIES: Could I have the question read back, please.

(Record read.)

THE WITNESS: I've never heard anyone say it's discussed as a share of browsers. What the heck would that mean?

Q. BY MR. BOIES: Well, if your answer is that you have never heard of that, that's your answer, Mr. Gates.

A. I don't know what you mean "as a share of browsers." I've never heard of anybody use the phrase "as a share of browsers." I don't know what

it would mean.

Q. So it's your testimony as you sit here under oath that if somebody asked you that question or said something like that within the course of your business, you just wouldn't have any idea what it meant? That's your testimony?

A. I would certainly seek clarification of what they were trying to say. I'd have an idea they were referring to something to do with the Internet, something to do with browsers, so I'd certainly have some idea, but I'd seek clarification before I could communicate effectively with them.

Q. Have you ever sought clarification from anyone on that?

A. I told you I've never heard that term used in my recollection.

Q. When you said in the exhibit we were talking about that browser share was a very very important goal -- do you remember that document?

A. Which exhibit are you referring to? Is there a number?

Q. I'm sure we can find the number, but since I know you have very good memory about these exhibits since you remembered Exhibit 353 from several days ago, do you remember the document we

were talking about this morning?

A. I remember many documents that we were talking about this morning.

Q. Do you remember a particular document in which you were writing that browser share is a very very important goal for Microsoft?

A. Yes.

Q. Let me see if I can get you to look at Exhibit 358. Now, when you personally were talking about winning Internet browser share, Mr. Gates, what were you talking about there?

A. I'm not sure. If I had to guess, I'd say this e-mail appears to be in the context of Windows.

Q. So what you're saying is that in this context you were including only usage share on Windows; is that what you're saying?

A. Well, it's interesting because I say here, "I would like to understand what we need to do to convince OEMs to focus on our browser. Is our problem proving our technology and its capability? Is our problem that they are getting bounty fees by having Internet Service providers pay them a sum or a royalty on the business they get? Is a 3.1 browser a key issue for them?" So except for that sentence, I

would have thought it was mainly Windows 95 share of browser usage, but when I say "Is a 3.1 browser a key issue for them," I'm talking about something else.

Q. So is it your testimony you're just, as you sit here now, confused as to what you were talking about?

A. I think it's likely I was referring to usage on Windows 95, but that one sentence throws me off.

Q. Prior to the time that Windows 98 -- not Windows 95 -- Windows 98 came out, what was it called internally within Microsoft?

A. Most commonly it was called Memphis.

Q. Was there also a period of time where it was referred to as Win 97?

A. It's possible. It's also possible it would have been called Win 96 at some point, but the primary term, the one I remember being used, was Memphis.

Q. When you talked about in January of 1996 that "Winning Internet browser share is a very very important goal for us," are you saying it was limited to Windows 95 and perhaps earlier Windows operating systems, that it did not include Memphis or Windows 98?

A. Now you're trying to get me to indicate whether I was talking about future products in this mail?

Q. Well, what you talk about is winning Internet browser share, and as I understood what you said was that you thought that you were probably talking about share of usage on Windows 95. Did I understand you correctly?

A. I think you're making a good point that the future products that -- innovations that we were doing in the IE thing, depending on the time frame you look at, are key in -- I don't think I'm referring to future products here. Do you think I am?

Q. I don't have a view on that, Mr. Gates.

A. Okay.

Q. I'm not entitled to at this stage.

MR. HEINER: You certainly expressed a lot of views in the papers yesterday.

MR. BOIES: That is where we are entitled to express views, in the papers we file.

Q. Let me approach it a little more generally. In a number of questions I've asked you about whether Microsoft wanted to gain browser share, and you have said, well, we want to have more

exposure for our innovations. Are you aware of any effort within Microsoft, for purposes of this litigation, to sort of change the way you and others use terms?

A. No.

Q. None at all, sir?

A. Changing the way I use terms? No.

Q. How about changing the way others in Microsoft use terms?

A. I'm not aware of that, no.

Q. Are you aware of any discussions within Microsoft about changing the way terms are used in order to advance your interests in the litigation?

A. No.

Q. In your answers you refer often to browser technologies or browsing technologies as opposed to answering a question simply about browsers. Is that related at all to avoid using a term that you think connotes a separate product?

A. It's all done with the goal of making sure you're not confused about what I'm referring to.

Q. Well, is it part of the goal to try to advance a particular point of view in this litigation, is that part of why you don't want to use in this deposition words like browser that are

throughout the documents of the Microsoft Corporation?

A. I'm glad to use the term browser and I've used the term many times in this deposition and in many other cases.

Q. And when you use the term browser, you know what it means, do you not, sir?

A. When I use terms in general, I do it in a context where it's clear what they mean. In the case of browser, as we've discussed, sometimes it might include what we're doing on Macintosh, sometimes it might include one version of Windows, sometimes it might include other people's products that include those capabilities. Isolated by itself are you saying does the word browser without any context mean something that is evident to me? No, but in a specific context, I freely use the word without any difficulty.

Q. And, for example, in writing to your top officers in January of 1996, you talk about winning Internet browser share and you believed you were being understood; correct, sir?

A. Are you referring to an e-mail to a single person, to Joachim Kempin?

Q. The one I have in front of me is

addressed to Mr. Kempin with copies to Mr. Silverberg, Mr. Chase, Mr. Ludwig, Mr. Ballmer, and a number of other people.

A. But I think in terms of understanding the context of the message, the fact that it is directed to Joachim Kempin and talks about OEMs helps establish what I probably meant when I talked about browser share here and browsers.

Q. Let me just be clear. When you sent a copy -- I don't want to go through all the names here, but two of the people you sent copies to were Mr. Ballmer and Mr. Maritz; is that fair?

A. Yes.

Q. And they were two of the very top officers of Microsoft; correct?

A. Yes.

Q. Now, let me go back to what I was pursuing before. Is there an effort at all on your part or insofar as you are aware on other people's parts, to change the way words are used so as to, from your standpoint, clarify what is meant for purposes of this litigation?

A. I've told you I'm not aware of an effort to change the use of terminology related to the purposes of this litigation.

Q. Let me ask you to look at a document that has been marked as Government Exhibit 393. The first e-mail here -- and there's an e-mail from you later on, but the first e-mail here is an e-mail to you and others dated February 15, 1998; is that correct?

A. To me?

Q. Yes.

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 393 for identification and is attached hereto.)

Q. BY MR. BOIES: And the subject is "Re: Browser in the OS." Do you see that subject of the February 15, 1998 e-mail to you?

A. Yes.

Q. And is it fair to say that that e-mail is a response to an e-mail from you dated February 14, 1998 at 10:42 a.m.?

A. It appears to be.

Q. And the subject of your e-mail was "Browser in the OS;" is that correct?

A. Yes.

Q. Now, the next to last paragraph on the first page of the memo to you -- and this memo goes

to you and to a large number of other people; is that correct?

A. I'm sorry? I just wasn't listening carefully.

Q. Sure. The February 15th, 1998 memo that is addressed to you also goes to four other addressees and a large number of additional copies; correct?

A. 13, yes.

Q. And this includes, together with yourself, the top executives of the company; correct?

A. Not all the top executives, no.

Q. Well, it includes Mr. Ballmer?

A. It includes some of the top executives.

Q. And it includes Mr. Maritz; correct?

A. Yes.

Q. And it includes yourself; correct?

A. Yes, in the "To" line.

Q. And it says in the next to last paragraph "Saying 'put the browser in the OS' is already a statement that is prejudicial to us."

A. Where are you looking? I thought you said the next to last paragraph.

Q. Next to last paragraph on the first page.

A. Oh, okay.

Q. It says -- and this is a quotation from the memo to you and the others, "Saying 'put the browser in the OS' is already a statement that is prejudicial to us. The name 'browser' suggests a separate thing."

Do you remember being told that in or about February of 1998?

A. No.

Q. Do you remember receiving this e-mail?

A. I don't remember receiving it, but I have no reason to doubt that it was a piece of e-mail that was sent.

Q. Does this in any way refresh your recollection that within Microsoft there were discussions as to what words should or should not be used?

A. I don't know what you mean refresh my recollection.

Q. That is, having seen this, does this make you remember something that you didn't remember before?

A. No.

Q. Are you aware, Mr. Gates, of any documents that were destroyed or disposed of relating

to the subject matter of this litigation?

MR. HEINER: Objection. Vague and ambiguous in view of the Antitrust Division's view of the subject matter of the litigation, apparent view.

THE WITNESS: Yeah, help me out with that.

Q. BY MR. BOIES: Okay. In the last three years, are you aware of any documents that have been destroyed or disposed of that relate to the issue of Microsoft's conduct with respect to competitors or agreements that Microsoft has entered into with customers or others that restrict the ability of those customers or others to deal with competitors of Microsoft?

MR. HEINER: I'd like that pretty long question read back.

MR. BOIES: Sure, absolutely.
(Record read.)

THE WITNESS: No.

Q. BY MR. BOIES: Microsoft has a public relations firm; correct? Maybe more than one?

A. Yes.

Q. Does it have a main public relations firm?

A. Yes.

Q. What is that firm?

A. Waggoner Edstrom is the name they go by, I think.

Q. Are you aware of any document destruction by or involving Waggoner Edstrom in the last three years?

A. No.

Q. Are you aware of any destruction or disposal of documents relating to DR DOS?

MR. HEINER: Objection. Vague and ambiguous.

THE WITNESS: It's possible somebody once upon a time sent an e-mail message to somebody else that DR DOS was part of the subject of that e-mail and then the person deleted that message.

Q. BY MR. BOIES: When you say it's possible that someone did that, were you involved in that, Mr. Gates?

A. I doubt that every e-mail message I ever received that had the word DR DOS in it, that I choose to preserve forever after.

Q. I'm not really asking that question. I'm asking whether there was ever an instance involving you that met the description that you put in your answer about how it may have been possible

that someone who sent a message that somehow related to DR DOS thereafter deleted a portion of the message? Do you remember saying that just a minute ago?

A. I said nothing about a portion of the message. That's a completely false thing.

Q. Let's read back your answer so that we don't get distracted about what the words are.

(The record was read as follows:

"Q. Are you aware of any destruction or disposal of documents relating to DR DOS?

MR. HEINER: Objection. Vague and ambiguous.

THE WITNESS: It's possible somebody once upon a time sent an e-mail message to somebody else that DR DOS was part of the subject of that e-mail and then the person deleted that message.")

Q. BY MR. BOIES: So rather than deleting a portion of the e-mail, you're talking about the whole message being deleted; is that the point you're making?

A. That is the words I used and that's my objection to your mischaracterization of what I said.

Q. You said it's possible that once upon a

time somebody sent an e-mail, part of the subject of which was DR DOS, and then this someone unidentified deleted the e-mail. Was that you, sir? Was this someone that you're referring to you?

A. I think it's true in general that not every message that everyone here ever received about DR DOS would have necessarily been preserved by them because most people here delete most of the e-mail they receive every day.

In terms of me in particular, it's possible that sometime in history -- I'd say it's even likely -- I received a message about DR DOS that I didn't choose to keep. I don't keep most e-mail I receive.

Q. Is there a message relating to DR DOS that not only did you choose to delete, but did you ask somebody else to delete?

A. No.

Q. Is there any message relating to DR DOS that you recall deleting?

A. Well, since I delete 98 percent of my e-mails, I think it's likely that once there was a message about DR DOS that I deleted, but I don't recall any specific message.

Q. That's what I'm asking. I'm not asking

what was likely. I'm asking whether there was any message, in whole or in part, relating to DR DOS that as you sit here now under oath you can tell me that you remember deleting or causing to be deleted?

A. No.

Q. When was the last time you think it is likely that you deleted a message relating to DR DOS?

A. Well, I don't think I've gotten a message that related to DR DOS in the last five years.

Q. Have you deleted messages not only that you have received with respect to DR DOS but also messages that you have sent?

A. I don't preserve messages that I send, so there's no --

Q. You never preserve messages that you send?

A. I don't preserve them. There is the extremely rare case, which I've done almost never, where you copy yourself on the e-mail.

Q. And you don't either copy yourself or copy some file or something like that?

A. No.

Q. I just want to be sure of your testimony. Your testimony is you have never asked

somebody to delete a message that you have sent them relating to DR DOS?

A. That's right.

Q. And that although you believe that you have deleted messages related to DR DOS that you have received, you can't remember actually having done that and you don't remember any specific message or type of message; is that correct?

A. That's right.

Q. When was the last time that you deleted e-mail messages concerning Netscape?

A. I'm not sure.

Q. Approximately.

A. I think there was a press article about Netscape that I got a message on recently that I deleted.

Q. How recently?

A. In the last few months.

Q. Who was the message from?

A. The New York Times syndicate.

Q. Other than that instance, can you recall any instance in which you deleted e-mail messages relating to Netscape in the last year?

A. No.

Q. Do you believe that there have been

such instances or there have not been such instances or you simply don't know?

A. Are you including the attorney-client privileged e-mail?

Q. I will for purposes of this question, yes.

A. I don't think I've deleted, other than press articles, e-mail messages related to Netscape during the last year.

Q. Are you aware of anyone else within Microsoft who has deleted e-mail messages relating to Netscape in the last year?

A. No.

Q. Have you ever had any discussions with anyone concerning whether or not any e-mail messages relating in any way to Netscape have been deleted in the last year?

A. No.

Q. Did Microsoft, insofar as you are aware, make an effort to go back and research its e-mails in order to find particular e-mails that might be useful to it in this litigation?

A. I'm not aware of what might or might not have been done in that connection. I know people have come in and looked at my e-mail and whether

that's just for a request from the governments or also things that they're looking for, I'm not sure.

Q. Would it be fair to say that no one has ever communicated with you about any effort to go back and research particular kinds of e-mails or e-mails related to a particular subject?

A. You're including attorney-client discussions in that?

Q. I am just for purposes of a yes or no answer.

MR. HEINER: Objection.

MR. BOIES: All I want is yes or no.

Last time I asked him I said include attorney-client and the answer was still no.

MR. HEINER: But it's a different question.

Can I have the question read back.
(Record read.)

MR. HEINER: I don't think you should include the substance of attorney-client in that question.

MR. BOIES: I'll take the attorneys out. I think -- I'll take the attorneys out.

Q. Other than conversations that you've had solely with your attorneys, have you ever had any

discussions with anyone or have you ever received any communications that indicated that there had been any effort to go back and search e-mail messages or files for purposes of this litigation?

A. No.

What time is it?

MR. HEINER: It's noon. Do you want to take a break?

THE WITNESS: Probably.

MR. HEINER: Okay.

MR. BOIES: Absolutely.

VIDEOTAPE OPERATOR: The time is 12:00 noon. We're going off the record.

(Lunch recess.)

VIDEOTAPE OPERATOR: The time is 12:38.

We are going back on the record.

Q. BY MR. BOIES: Good afternoon, Mr. Gates. Let me show you Government Exhibit 382 and I would ask you if that is a document that you've ever seen before?

A. No.

(The document referred to was marked by the court reporter as Government Exhibit 382 for identification and is attached hereto.)

Q. BY MR. BOIES: There is a reference in

this document to "Fiscal Year 1998 WWSMM Attendees."

Do you see that?

A. Yes.

Q. Do you know what that is?

A. Yes.

Q. What is it?

A. World-wide sales and marketing meeting,
otherwise known as the WWSMM.

Q. Did you attend the fiscal year 1998
WWSMM?

A. No, I don't attend that. I come in and
speak usually at the end of it, but I don't attend
it.

Q. The subject matter of this is the
"Fiscal Year 1998 Planning Memo 'Preserving the
desktop paradise.'"

Are you familiar with that?

A. I don't know what you mean am I
familiar with that. I know fiscal year '98.

Q. Have you ever seen the Fiscal Year 1998
Planning Memo?

A. The one from Brad Chase? No.

Q. Have you seen a Fiscal Year 1998
Planning Memo from somebody else?

A. There's a lot of these. Each group

writes planning memos. I'm not copied on most of them.

Q. Are there planning memos from some of the groups that you recall receiving for fiscal year 1998?

A. I think there's a memo Steve wrote that was probably sent to me.

Q. And by Steve you're referring to Mr. Ballmer?

A. Yes.

Q. In the third paragraph of this memo on the first page it says "Our competitors are still hard at work trying to obsolete Windows. More people than ever now believe they will. Netscape and Sun endeavor to commoditize the OS."

Do you know what is meant by "commoditize the OS" in this context?

A. In the context of this memo?

Q. Yes.

A. I'd need to read the memo.

Q. Have you ever heard anybody say that Netscape or Sun threatened to commoditize the operating system?

A. Yes.

Q. Have you ever said that?

A. Those words?

Q. Yes.

A. I don't think so.

Q. When other people have said those words, what have you understood them to mean?

A. I think the first time I heard that was from Marc Andreessen. And I never had a chance to ask him what he meant.

Q. Have you heard those words from people within Microsoft?

A. Subsequently to Andreessen using those words, I know they were repeated inside the company quite a bit.

Q. Did you understand that some people within Microsoft were saying that they believed that Netscape or Sun were threatening to commoditize the operating system?

A. I don't know of anybody using that terminology before Andreessen did. I don't think it was used before he used it.

Q. My question is not whether it was used before or after Mr. Andreessen's statement. My question is whether people within Microsoft communicated with you that they believed that Netscape or Sun threatened to commoditize the

operating system?

A. It says "endeavor" here and you're switching?

Q. I was asking a question that was not necessarily tied to the document. My question is whether anyone within Microsoft told you that they believed that Netscape or Sun threatened to commoditize the operating system?

A. Those specific words?

Q. Yes, the same words we've been using in the last previous series of questions, Mr. Gates, those words.

A. I think that most of the time when people use those words, they were repeating what Andreessen had said.

Q. My question is not what they meant most of the time or what they were doing most of the time. My question is whether people within Microsoft ever communicated to you that they believed that Netscape or Sun were threatening to commoditize the operating system?

A. Well, they certainly communicated to me that Netscape was communicating that they were on a path to, in Netscape's words, commoditize the operating system.

Q. Have you finished your answer?

A. Yes.

Q. Now, my question is whether anyone within Microsoft ever communicated to you that they believed that either Netscape or Sun were threatening to commoditize the operating system?

A. I think after Andreessen said it, some people suggested they agreed with Andreessen's sentiment that Netscape was trying to reduce Windows sales.

Q. When people used the word with you "commoditize" as in the statement that Netscape was threatening or endeavoring to commoditize the operating system, what did you understand commoditize to mean?

A. That they were creating a product that would either reduce the value or eliminate demand for the Windows operating system if they continued to improve it and we didn't keep improving our product.

Q. Did you have any other understanding of the term "commoditize" in that context?

A. Well, it was a word that was used to refer to Andreessen's comment.

Q. Other than that, did you have any understanding of the meaning of the term

"commoditize" in that context?

A. Other than those two things?

Q. Yes.

A. No.

Q. Let me show you next a document that has been marked as Exhibit 383. This purports to be an e-mail from Mr. Maritz to you and others with charts attached to it.

(The document referred to was marked by the court reporter as Government Exhibit 383 for identification and is attached hereto.)

Q. BY MR. BOIES: First, have you seen this e-mail before?

A. I think Mr. Houck showed it to me.

Q. You may be right in a sense, Mr. Gates, in the sense that I think that your counsel has produced to us various versions of documents. I do not believe that this particular version, which was produced to us stapled this way, was shown to you by Mr. Houck.

A. When you ask me whether I'd ever seen the e-mail before, I wasn't referring to the way it was stapled.

Q. This happens to have various charts attached to it. Have you ever seen this e-mail with

these charts attached to it?

A. Can I look back through the old exhibits?

Q. What I'd -- yes, you can. You can do whatever you want to answer the question, but what I'd like you to do is I'd like to get an answer to this question with respect to Exhibit 383. If you need to look back at the other exhibits to answer this question, then you can do whatever you need to.

A. You've asked me if I've ever seen something before and I'm thinking maybe a previous exhibit had some or part of this. And therefore, to answer your answer question, I need to look at the exhibits to see if that's the case or not.

Q. Let me see if I can move things along.

Did you receive this e-mail in or about January, 1997, this e-mail being a message from Paul Maritz to you and others dated January 5, 1997?

A. I don't remember receiving it, but I don't have any reason to doubt that it was sent.

Q. Did you see this e-mail at any time prior to the commencement of your deposition last week?

A. I don't remember seeing it.

Q. The subject of this e-mail is "Overview

slides for Billg/NC & Java session with 14+'s on Monday." Do you see that?

A. Yes.

Q. And I think you identified the 14+'s as the -- some group of executives; is that correct?

A. No.

Q. What is the 14+'s?

A. It's people above a certain level, primarily engineers. Also executives, but mostly engineers.

Q. It's all the people in the company above a certain level, the 14 level?

A. Which are mostly engineers and not executives.

Q. How many people are there in the 14+'s group?

A. It's a good question. I think around 200 to 300.

Q. And these would be the people in the 200 or 300 top rated jobs in the company; is that correct?

A. If top means the best compensation, yes.

Q. Now, do you recall the slides that are attached to this e-mail?

A. I remember when I testified earlier seeing these and saying that I was pretty sure that I never presented these slides.

Q. Do you recall whether someone else presented these slides in January of 1997?

A. I'm not sure. I remember looking at the slides and thinking probably not.

Q. Let me ask you to look at the third page of the exhibit, which is headed "Key Platform Challenge." It is page 2 of the charts and page 3 of Exhibit 383, in which it says "NC & Java are platform challenges." Do you see that?

A. Uh-huh.

Q. Did you believe in January of 1997 that Java was a platform challenge?

A. Not Java the language, but some of the Java runtime APIs that were being promoted to ISPs in the way that Sun and others were talking about enhancing them were platform challenges.

Q. When reference is made here to Java, do you understand that to refer to what you refer to as Java runtime APIs?

A. I'm not sure.

Q. Are you aware of people asserting that Java runtime APIs were a platform challenge in or

about January of 1997?

A. I just told you that we looked at what was going on in terms of the plans of Sun and other people with Java runtime APIs as being a platform challenge.

Q. Are you aware of any other platform challenge represented by Java other than Java runtime APIs?

A. No.

Q. So would it be fair to say that you believe that when reference is made here to Java, the reference means Java runtime APIs since it asserts here that Java is a platform challenge?

A. It's the best way to make sense of a document that I haven't seen until my deposition, as far as I know.

Q. Let me show you a document that has been marked as Exhibit 397. This purports to be a message to you and others from Brad Chase dated March 13, 1997.

Did you receive this message in or about March of 1997?

A. I don't remember receiving it. In fact, it's very strange that the e-mail names aren't expanded. But I probably received it.

(The document referred to was marked by the court reporter as Government Exhibit 397 for identification and is attached hereto.)

Q. BY MR. BOIES: Let me go down to the third paragraph of the document and the fifth sentence that says "Browser share needs to remain a key priority for our field and marketing efforts." Do you see that?

A. In the third paragraph?

Q. Yes.

A. Okay, the third sentence, the third paragraph. Yeah.

Q. Were you told in or about March of 1997 that people within Microsoft believed that browser share needed to remain a key priority for your field and marketing efforts?

A. I don't remember being told that, but I wouldn't be surprised to hear that people were saying that.

Q. Immediately before that sentence there is a statement that Microsoft needs to continue its jihad next year. Do you see that?

A. No.

Q. The sentence that says "Browser share needs to remain a key priority for our field and

marketing efforts," the sentence right before that says "we need to continue our jihad next year."

That's the way it ends. Do you see that?

A. Now I see -- it doesn't say Microsoft.

Q. Well, when it says "we" there, do you understand that means something other than Microsoft, sir?

A. It could mean Brad Chase's group.

Q. Well, this is a message from Brad Chase to you, Brad Silverberg, Paul Maritz and Steve Ballmer; correct?

A. As I say, it's strange that this -- if this was a normal piece of e-mail, it wouldn't print like that. I'm not aware of any way -- maybe there is some way -- that e-mail ends up looking like this when you print it out.

Q. I wasn't the one that was asserting it was an e-mail. I don't know whether it is an e-mail or memo or what it is. All I know is it was produced to us by Microsoft. And the first line of it says "To" and the first name there is "BradsI." Do you see that?

A. Uh-huh.

Q. Does that refer to Brad Silverberg?

A. Usually you can use that shorthand in

typing in someone's name, but when you print out e-mail, it doesn't come out that way.

Q. Do you believe that the reference here to "Brads" is a reference to Brad Silverberg, sir?

A. Yes.

Q. The next addressee is "Paulma." Do you believe that that is Paul Maritz?

A. Yes.

Q. And the next addressee is "Steveb". Do you believe that that is Steve Ballmer?

A. Yes.

Q. The next addressee is "Billg" and do you believe that that is yourself?

A. Yes.

Q. And it says it's from "Brad" and do you believe that is Brad Chase?

A. Yes.

Q. Now, when Brad Chase writes to you and the others "we need to continue our jihad next year," do you understand that he is referring to Microsoft when he uses the word "we"?

A. No.

Q. What do you think he means when he uses the word "we"?

A. I'm not sure.

Q. Do you know what he means by jihad?

A. I think he is referring to our vigorous efforts to make a superior product and to market that product.

Q. Now, what he says in the next sentence is, "Browser share needs to remain a key priority for our field and marketing efforts;" is that correct?

A. Yes.

Q. The field and marketing efforts were not involved in product design or making an improved browser, were they, sir?

A. No.

Q. Let me show you next a document that has been marked as Exhibit 384.

MR. HEINER: Which number is this now?

MR. BOIES: 384.

(The document referred to was marked by the court reporter as Government Exhibit 384 for identification and is attached hereto.)

Q. BY MR. BOIES: I want you to look at the second message that is on this exhibit. In the middle of the first page is a message from Steven Sinofsky. Do you see that?

A. Uh-huh.

Q. And it is dated June 10, 1994. There

is one name that it's hard to read on the copy that we were produced, but I don't believe that you were shown as receiving a copy of this exhibit, at least back in 1994.

Have you seen this message before, sir?

A. Not before this lawsuit.

Q. When did you first see it?

A. I think sometime during the course of the lawsuit.

Q. That is, sometime in the last six months?

A. That's right.

Q. Have you discussed this with anyone in Microsoft, other than your counsel?

A. Yeah, I think I had a short conversation with Mitch Matthews on the general topic, not on this specific message.

Q. What was the general topic that you refer to?

A. The history of our decision to put browsing functionality into Windows.

Q. There is a reference here to Chicago. Is that a reference to Windows?

A. It's a code name that was used for what became Windows 95.

Q. The third paragraph of this e-mail says
"We do not currently plan on any other client
software, especially something like Mosaic or Cello."
Do you see that?

A. I see it.

Q. You've identified Mosaic as a browser;
correct, sir?

A. Yes.

Q. Do you know what Cello is?

A. No.

Q. Were you informed in or about June of
1994 that people within Microsoft did not currently
plan on including something like Mosaic or Cello in
Windows 95?

A. Quite the opposite.

Q. So it's your testimony that this is
just not accurate, is that what you're saying?

MR. HEINER: Objection.

THE WITNESS: What are you referring
to?

Q. BY MR. BOIES: Well, I'm referring to
this document. And what this document says is, "We
do not currently plan on any other client software,
especially something like Mosaic or Cello." And you
understand this to mean that you're not currently

planning on including something like Mosaic or Cello in Chicago; correct, sir?

A. I guess I'd read the whole e-mail message if I was really interested. And I've gone ahead and done that. So you're trying to take that sentence just out by itself or you're trying to get me to talk about what the e-mail itself is saying?

Q. What I'm trying to do is get you to tell me whether, as you understand it, Mr. Sinofsky is writing here on June 10, 1994, that at least insofar as he is concerned, there is not a plan to include something like Mosaic or Cello in Chicago? Is that what he is saying here?

A. No.

Q. That's not what he is saying.

Let's go to the previous paragraph.

He says, "I think it is really important that we stick to the basic facts of the situation and not over commit Chicago or Microsoft in any way. The Chicago message is 'all the plumbing you need to connect to the Internet,' which translates to TCP/IP stacks, SLIP and PPP, and the basic FTP and TELNET clients. Our built-in client (and our NT server) will also support Internet protocols such as SMTP and MIME."

He then continues in the very next sentence "We do not currently plan on any other client software, especially something like Mosaic or Cello."

Are any of the things that Mr. Sinofsky indicates here are going to be included in Chicago software that you would consider to be browser software?

A. The e-mail I'm looking at talks about the Chicago message and this is -- he seems to be talking about what we're saying externally about the Chicago project. This e-mail doesn't include anyone who is involved in deciding what's in Chicago, and so he is talking about the Chicago message here.

Q. Mr. Gates, my question is whether any of the software that Mr. Sinofsky identifies here as being included in Chicago is software that you considered to be browser software?

A. Where do you see the phrase "included in Chicago"?

Q. Well, sir, when he says "The Chicago message is 'all the plumbing you need to connect to the Internet,' which translates to TCP/IP stacks, SLIP and PPP and the basic FTP and TELNET clients. Our built-in mail client (and our NT server) will

also support Internet protocols such as SMTP and MIME," when he says those things, do you believe he is saying that those are going to be included in Chicago?

A. No. He is saying the Chicago message is...

Q. So what you're saying is that when he says the Chicago message is that, he doesn't mean that you're going to include in Chicago what he then lists; is that what you're saying?

A. He is saying that the Chicago message may imply that.

Q. But that's what I'm asking you. What I'm asking you is whether you read this document as saying that TCP/IP stacks, SLIP and PPP and the basic FTP and TELNET clients are going to be included in Chicago? Do you read it that way?

A. No.

Q. Okay. And when he says "Our built-in mail client and our NT server will also support Internet protocols such as SMTP and MIME," do you believe that he is saying that your built-in mail client and your NT server are going to come out with Chicago?

A. Certainly not.

Q. And when he says, "We do not currently plan on any other client software, especially something like Mosaic or Cello," and then in the next sentence says "Chicago is investigating possibilities, but nothing at all is public and DRG should not be talking to anyone with the thought of including them in the box or resource kit -- that is purely for Chicago/NT to deal with -- though any interesting packages should, of course, be brought to everyone's attention. Our plans for offering any sort of connection to the Internet are highly confidential and merely speculative."

Do you think when he talks about Mosaic and Cello he is talking about something for Chicago?

A. He is talking about the Chicago message. The definition of what would and wouldn't be in Chicago wasn't finally known until Chicago shipped. Certainly at this time we had made the decision to do our best to include the browsing functionality if we could. We weren't saying that as part of the Chicago message.

Q. Mr. Gates, you've testified that you never saw this until the last six months; correct?

A. That's right.

Q. Who showed you this?

A. I'm not sure. I think maybe the government cited it. I'm not sure.

Q. Well, who showed it to you?

A. I'm not sure anyone showed it to me. I think the government cited it in something.

Q. Well, the government cited it. Do you read through the government's papers and pick out cites and go find them for yourself?

A. No.

Q. Didn't think so. So somebody had to go pick this out and show it to you; correct, sir?

A. I'm not sure, other than attorney-client meetings, when I've seen the entire mail message.

Q. Have you -- and this only calls for a yes or no answer -- seen this in attorney-client discussions, the whole message just like we have here?

MR. HEINER: Objection. I think it intrudes on the privilege and work product. I think that's a common objection to assert as well.

MR. BOIES: It is a common objection to assert. Ordinarily I, you know, I don't press the question. Here, this is something that he is now testifying as to what it means and I think the only

way that he has any knowledge about this, he says, is something that has happened in the last six months. And so I think at least in terms of knowing where that information comes from, I'm entitled to know on a yes or no basis, even if I may not be entitled to find out what he was told.

MR. HEINER: Yeah, I don't think that's right. I don't think you should ask that precise question.

MR. BOIES: I'll press the question. Are you going to instruct him not to answer? This time I'm going to press the question.

MR. HEINER: I'd like to have it read back then.

(The record was read as follows:

"Q. Have you -- and this only calls for a yes or no answer -- seen this in attorney-client discussions, the whole message just like we have here?")

MR. HEINER: Just a minute.

We're going to stand on the instruction not to answer that question.

MR. BOIES: Okay.

Q. Have you ever seen this document, the whole message, other than in an attorney-client

conversation, prior to your deposition?

A. I'm not sure.

Q. Let me show you a document marked as Exhibit 385, which is a copy of an article from Computer World dated January 16, 1995. And under the column "News Shorts" there is a heading that says "Microsoft licenses Mosaic Internet browser" and it says "Microsoft Corp. chairman Bill Gates said last week that his company has licensed Mosaic software for browsing the World-Wide Web."

Did you so state in or about January of 1995, Mr. Gates?

A. I don't know.

(The document referred to was marked by the court reporter as Government Exhibit 385 for identification and is attached hereto.)

Q. BY MR. BOIES: Later on it says that Microsoft will "incorporate the technology into The Microsoft Network. Mosaic support will arrive in the fourth quarter, a few months after The Microsoft Network debuts, Gates said." Do you see that?

A. Yes.

Q. Did you say that, Mr. Gates, in or about January of 1995?

A. It doesn't make sense to say

"incorporate the technology into The Microsoft Network," so I'm pretty sure I didn't say that.

Q. Let me show you a document that has been marked as Exhibit 386. The second item here purports to be a message from you to a number of people dated April 6, 1995. Do you see that?

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 386 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you send this message on or about April 6, 1995?

A. I don't remember sending it, but I don't have any reason to doubt that I did.

Q. Now, attached to this message, as it was produced to us, I believe, by Microsoft, is a two-page document headed "Netscape as Netware." Do you see that?

A. I see a three-page document, yes.

Q. Yes, three pages. Pages 3558 through 3560.

Have you seen this before?

A. I don't remember seeing it before.

Q. Now, the title of this three-page attachment is "Netscape as Netware" and there is a

footnote that says, "The analogy here is that the major sin that Microsoft made with Netware was to let Novell offer a better (actually smaller and faster with simpler protocol) client for networking. They got to critical mass and can now evolve both client and server together."

Do you see that?

A. Uh-huh. Yes.

Q. In or about April of 1995, was Microsoft concerned with Netscape getting to what is referred to here as critical mass?

A. I don't know what Paul meant in using that word.

Q. Do you have any understanding at all about what Mr. Maritz meant when he referred to a competitor getting "to critical mass"?

A. He seems to be using that phrase with respect to Netware or Novell, but I'm not sure what he means by it.

Q. He is also using it with respect to Netscape in the analogy, is that not so?

A. It's not clear that the term "critical mass" is part of the analogy, is it? It's not to me.

Q. Okay. This document is about Netscape, it's not about Novell; correct, sir?

A. I didn't write the document. The document appears to refer to "Netscape as Netware" as its title, so Novell is talked about in this document and a lot of things seem to be talked about here. Do you want me to read it?

Q. If you have to to answer any of my questions.

Netware is something from Novell; correct, sir?

A. Fact.

Q. What?

A. Fact.

Q. Does that mean yes?

A. Yes.

Q. And what Mr. Maritz here is doing is analogizing Netscape to Netware; correct?

A. It's kind of confusing because Netscape is the name of a company and Netware is the name of a product and so I'm not sure what he is doing.

Usually you think of analogizing two products to each other or two companies to each other, but he appears to be analogizing a company to a product, which is a very strange thing.

Q. Well, sir, in April of 1995, insofar as Microsoft was concerned, was Netscape primarily a

browser company?

A. No.

Q. It was not?

A. No.

Q. All right, sir.

In this document do you understand what

Mr. Maritz is saying is that Microsoft should not make the same mistake with Netscape's browser as it did with Novell's Netware?

A. I'd have to read the document. Do you want me to?

Q. If you need to read the document to answer that question, Mr. Gates, go ahead and do so. And when you've finished, if you have the question in mind, please answer it. If you don't have the question in mind, we'll read it back.

And the question is, do you understand that what this document is saying is that Microsoft should not make the same mistake with Netscape's browser as it did with Novell's Netware? And you can read any portion that you want, but I am particularly interested the heading which says "Netscape as Netware" and the footnote right off that heading, "The analogy here is that the major sin that Microsoft made with Netware was to let Novell offer a

better (actually smaller and faster, with simpler protocol) client for networking. They got to critical mass and can now evolve both client and server together."

A. Are you asking me a question about the whole document?

Q. No, I didn't think I was. I thought it was possible for you to answer the question by looking at the title and first footnote.

A. I thought you were asking me what the document is about.

Q. I think it's possible to answer the question by looking at the heading and that footnote.

My question is whether, as you understand it, what Mr. Maritz is saying here is that Microsoft should not make the same mistake with Netscape's browser as it did with Novell's Netware?

A. Does it say "mistake" somewhere?

Q. All I'm asking you is whether you interpret this that way?

A. Does it say "mistake" somewhere?

Q. Mr. Gates, we have had a conversation about how I ask the questions and you give the answers. I think --

A. I don't see where it says "mistake."

Q. It doesn't say "mistake." It says "major sin." If you think major sin is something different than mistake, you can answer the question no, that's not what you think Mr. Maritz means. My question is clear. You can answer it yes, no, or you can't tell.

A. What is the question?

Q. My question is whether -- as you understand what Mr. Maritz is saying here, is he saying that Microsoft should not make the same mistake with Netscape's browser as it did with Novell's Netware?

A. No, I think he is saying something else.

Q. Okay. Do you think that when Mr. Maritz uses the term "major sin" that Microsoft made, he is referring to what he thinks is a mistake?

A. Probably.

Q. Okay. Let me ask you to look next at a document marked as Exhibit 387. This is an e-mail from Brad Silverberg, or it's a message from Brad Silverberg -- I don't know whether it's an e-mail or not -- dated April 12, 1995 at 12:53 p.m.

(The document referred to was marked by the court reporter as Government Exhibit 387 for

identification and is attached hereto.)

Q. BY MR. BOIES: Have you ever seen this message before, sir?

A. No.

Q. The first paragraph says, "I have spoken with Paul Maritz and he is in agreement that we should get our Internet client distributed as broadly as possible as soon as possible."

Did you understand that that was the view of Mr. Maritz in April of 1995?

A. I think -- I think it probably was.

Q. And when reference is made here to Microsoft's Internet client, do you understand that to be Internet Explorer?

A. I think at the time of this document it meant O'Hare.

Q. And what did O'Hare become?

A. It became Internet Explorer plus some other things.

Q. Let me ask you to look next at a document marked Exhibit 388. The second e-mail or message here is a message dated April 12, 1995 at 12:54 p.m. from Paul Maritz to you and a number of other people; correct, sir?

A. That's what it appears to be.

(The document referred to was marked by the court reporter as Government Exhibit 388 for identification and is attached hereto.)

Q. BY MR. BOIES: And the subject is the "3 year plan thoughts - draft;" correct?

A. That's, yes, the subject.

Q. Did you receive this message on or about April 12, 1995?

A. I don't remember receiving it, but I have no reason to doubt that I did.

Q. Now, attached here is something that is titled "3 year plan follow-up (draft)." Do you see that?

A. Yes.

Q. Did you receive this at or about the time indicated of April 12, 1995?

A. I'm not sure.

Q. Let me ask you to look at the page that bears in the bottom right-hand corner the Microsoft document production stamp ending 7193. And in particular the portion that is under the heading "Shell/Browser." Do you have that?

A. Yes.

Q. And it says here, "We should get a view as to what will be handled by the 'Win97' Shell, and

what will not - and if not, how is the needed extension integrated into the Win97 environment."

Do you see that?

A. Uh-huh.

Q. Were you told in or about April of 1995 that one of the issues in terms of planning that was needed to be decided was what would be handled by the Win97 shell and what would not be?

A. I'm not sure -- I'm not sure what is meant by Win97 shell here. I don't remember seeing that at the time.

Q. Well, you know what a shell is in this context, do you not, sir?

A. Yes.

Q. And you recognize Win97 as a reference to what ultimately became Windows 98, do you not, sir?

A. No. The fact that we use a name like that before we have decided what's in a product doesn't mean that when we used that name back then it references what eventually got into the product.

Q. Let me make sure I understand that last answer.

Was Win97 a reference that was used within Microsoft to refer to what ultimately became

Windows 98?

A. It was a term that was used to refer to a project. When it was used, none of us knew either what would be in the project or what it would be called. So any time you see that reference, you can't assume it's a reference to the things that eventually became Windows 98. All you know is they're referring to the next project related to enhancing Windows.

Q. Let me ask the question this way. Was the project that was internally described within Microsoft as Win97 the project that ultimately resulted in Windows 98?

A. I believe so.

MR. HEINER: Would you like to take a break now?

MR. BOIES: Sure.

VIDEOTAPE OPERATOR: The time is 1:33.
We are going off the record.

(Recess.)

VIDEOTAPE OPERATOR: The time is 1:48.
We're going back on the record.

Q. BY MR. BOIES: Mr. Gates, let me show you a document marked as Government Exhibit 390. The first message here purports to be a message to you

and Mr. Maritz and Mr. Allchin on February 24, 1997 at 11:07 p.m. Do you see that?

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 390 for identification and is attached hereto.)

Q. BY MR. BOIES: And it talks about a focus group report and it says that most of the people in the focus group were Navigator users. And then it goes on to say about those Navigator users, "They said they would not switch, would not want to download IE 4 to replace their Navigator browser. However, once everything is in the OS and right there, integrated into the OS, 'in their face' so to speak, then they said they would use it because there would be no more need to use something 'separate.'" Do you see that?

A. Yes.

Q. Do you recall being told that in or about February, 1997?

A. No.

Q. Let me ask you to turn to the fifth page of this exhibit. And this is an original message dated February 24, 1997 at 10:38 a.m. also relayed into the Memphis focus group's report.

A. It's an enclosure to the message above.

Q. It's an enclosure to the message above.

That is what you have is first a message dated February 24, 1997 at 11:07 p.m. that went to you and Mr. Maritz and Mr. Allchin, and then you have another message that was an enclosure that went to you and others; correct?

A. Yes.

Q. So you would have received the second message when you received the message that was addressed to you; correct?

A. If I did, which I told you I don't remember, but I have no reason to doubt that I did.

Q. Right. The next to last paragraph on the fifth page of the exhibit, the one that ends with the Microsoft document production stamp 8179, do you have that page?

A. Yes.

Q. The next to last paragraph of this material that was sent to you on February 24th, '97 if in fact it was, on page 5 says "It seems clear that it will be very hard to increase browser market share on the merits of IE 4 alone. It will be more important to leverage the OS asset to make people use IE instead of Navigator."

Do you see that?

A. Yes.

Q. Were you told that in or about February of 1997?

A. Out of the context of this memo?

Q. Well, first let's ask were you told that in the context of this memo?

MR. HEINER: Objection. Is your question if he received the memo?

Q. BY MR. BOIES: Well, I don't know what he meant by his statement. He simply was asking me whether I was asking him if he was told outside of the context of the memo, and I want to know if he was told that inside the context of this memo.

MR. HEINER: Objection.

THE WITNESS: Those sentences seem to appear in this memo that's talking about some features. It wasn't a product demo but some features, including WebView, that they showed to some end users.

Q. BY MR. BOIES: Let me try to break the question down. First, do you recall being told in any context in or about February of 1997, "It seems clear that it will be very hard to increase browser market share on the merits of IE 4 alone. It will be

more important to leverage the OS asset to make people use IE instead of Navigator"?

A. Those words?

Q. Let me begin with that. Do you recall being --

A. No.

Q. -- communicated those words in or about February of 1997?

A. I said no.

Q. Do you recall being communicated those words at any time, whether in or about February of 1997 or any other time?

A. Isn't that what I just answered?

Q. Perhaps you did. I thought the first answer related to February, 1997, but if you're telling me you don't recall ever being told that, I just want that clarified for the record.

A. Those words, no.

Q. Do you recall being told in substance what is stated here at any time in the language that I've just quoted?

A. That's a self contradictory question. You can't say you're asking me something in substance and then say in the language you just quoted. That's completely contradictory.

Q. Sir, if you don't understand the question and you can't answer it, all you have to do is say so.

A. I understand that the question is contradictory to itself.

Q. Well, Mr. Gates, the memo says --

MR. HEINER: There is no problem there.

You just made a mistake on that question. It's okay.

Why don't you just state a new question.

MR. BOIES: Well, Mr. Heiner, I frankly think -- I won't debate with the witness, I will debate with you.

MR. HEINER: Be my guest.

MR. BOIES: I think the question was actually quite clear, but what I was about to do is put a new question.

MR. HEINER: Okay.

Q. BY MR. BOIES: This document that purports to have gone to you, sir, says "It seems clear that it will be very hard to increase browser market share on the merits of IE 4 alone. It will be more important to leverage the OS asset to make people use IE instead of Navigator."

Do you recall ever being told or ever receiving a communication that said in substance what

is reflected there?

A. No.

Q. Let me show you Exhibit 591 -- or I guess it's Exhibit 391. This purports to be a message to you dated April 18, 1995, to you and other people.

(The document referred to was marked by the court reporter as Government Exhibit 391 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you receive this message in or about April of 1995?

A. I don't remember receiving it, but I have no reason to doubt that it was sent to me.

Q. Let me ask you to look at the bottom of the first page, next to last paragraph, the sentence that begins "This does not mean that Netscape needs to be a direct competitor." Do you see that?

A. Yes.

Q. Do you recall discussions in or about April of 1995 about whether or not Netscape would or would not be a direct competitor of Microsoft?

A. I'm sure there was some discussion about Netscape and the whole Internet phenomenon, and particularly what that meant about the business Nathan was in charge of, which was Marvel. I don't

remember specifically if we figured out whether they would or wouldn't be a competitor or what they were doing.

Q. Do you recall communications within Microsoft in or about April of 1995 about what might be done to be sure that Netscape did not become a direct competitor of Microsoft?

A. No.

Q. Do you recall any communications within Microsoft in or about April of 1997 relating to what Microsoft might do to influence whether or not Netscape became a direct competitor of Microsoft?

A. No.

Q. Do you recall any discussions within Microsoft at any time or any communications within Microsoft at any time relating to what Microsoft might do to influence whether Netscape became a direct competitor of Microsoft?

A. No.

Q. Let me ask you to look next at an exhibit marked Government Exhibit 392. The second item here purports to be a message from you to Paul Maritz and Brad Silverberg with copies to a number of other people dated January 28, 1997, at 10:34 a.m. Do you see that?

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 392 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you send this message to Mr. Maritz and Mr. Silverberg and others on or about January 28, 1997?

A. I don't remember doing so, but I have no reason to doubt that I did.

Q. You say that there has been -- the beginning of the document, the very beginning of the document you say, "There has recently been an exchange on e-mail with people in the Office group about Office and HTML. In one piece of mail people were suggesting that Office had to work equally well with all browsers and that we shouldn't force Office users to use our browser. This is wrong and I wanted to correct this."

Do you see that?

A. Yes.

Q. Did you send that message to Mr. Maritz and Mr. Silverberg and others in or about January of 1997?

A. You already asked that and I told you I don't remember sending it.

Q. Did you convey the substance of what is here to Mr. Maritz and Mr. Silverberg in or about January of 1997?

A. I don't know the time frame, but there was a question for very advanced features in Office that had to do with the fact that older browsers, including our own older browsers, couldn't display the information and should we therefore display it to no one or what should we do about advance display semantics. And I know in that case the issue came up about should we support the advanced display semantics at all.

Q. Is it your testimony, Mr. Gates, that that is what you were talking about here?

A. Absolutely. That's what this message -- I mean if you read it, that's what it is about.

Q. This is a message that you don't recall sending; is that correct?

A. I've read it today, but I don't recall sending it, that's right.

Q. But what you're doing is you're testifying under oath that when you say that you should force Office users to use Microsoft's browser, you were talking about what you just described; is

that your testimony?

A. I don't see that in the message.

Q. Well, you're saying here that Microsoft should force Office users to use Microsoft's browser, are you not, sir?

A. No.

Q. Well, sir, you say "In one piece of mail people were suggesting that Office had to work equally well with all browsers and that we shouldn't force Office users to use our browser. This is wrong and I wanted to correct this."

Is it your testimony under oath that you are not saying that the assertion that you had heard that Microsoft shouldn't force Office users to use Microsoft's browser was wrong?

A. There's a sentence there that talks about whether Office has to work equally well with all browsers and because I'm talking about Trident here, Trident was a set of technologies we were doing to extend things so that you could work with Office documents that are very rich documents in a new way that no previous browser, including our own previous browsers, was willing to display. And there was a question of whether they should take advantage of those Trident things or not. Some people were

questioning whether we should take advantage of those Trident things and here I'm making very clear, and all you have to do is read the complete e-mail, I'm saying we should go ahead and take advantage of those Trident things. Now, that is very different than saying people are forced to use any browser. It's just if you want the best experience in terms of seeing those rich documents, what we're doing in Trident I thought we should take advantage of.

Q. Now, sir, is it your testimony sitting here under oath that when in the language that I have quoted you wrote "This is wrong and I wanted to correct this" relating to the previous sentence, which had said "In one piece of mail people were suggesting that Office had to work equally well with all browsers and we shouldn't force Office users to use our browser," you were talking about Trident? Is that your testimony?

A. Well, I think you've mischaracterized my testimony.

Q. All I'm asking is whether that is your testimony. If you tell me that's not your testimony, we go on. Is that what you're telling me, sir?

A. Are you trying to characterize my previous testimony?

Q. I was trying to see whether we understood your previous testimony.

A. Your characterization was wrong.

Q. Okay. In the second paragraph of this exhibit you write "In one piece of mail people were suggesting that Office had to work equally well with all browsers and that we shouldn't force Office users to use our browser. This is wrong and I wanted to correct this." Does that statement relate to Trident, sir?

A. I explained how it relates to Trident.

Q. So your answer is that that relates to Trident; is that your testimony?

A. In order to know that, I read the entire piece of e-mail and upon reading it, I know that what that relates to is whether we should exploit the advanced features of Trident so that Office works particularly well with the new browser from us with those Trident features.

Q. Mr. Gates, isn't it clear that the discussion at the end of the memo about Trident is about a different point than the point we've been talking about?

A. Absolutely not.

Q. Well, sir, immediately after the

paragraph we've been talking about don't you write, "Another suggestion in this mail was that we can't make our own unilateral extensions to HTML. I was going to say this was wrong and correct this also." And then you go on to talk about Trident. Isn't that what you wrote here?

A. I think you've correctly read some of the words in the e-mail. We could go on and read more of the words so you could understand why what I've told you is correct.

Q. Is there anything in here that asserts that forcing Office users to use Microsoft's browser is limited to the Trident situation?

A. It's clearly about whether Office should exploit HTML that takes advantage of Trident and whether that's a good idea or not. That's what this piece of e-mail is about.

Q. If that's all it's about, Mr. Gates, why do you introduce the Trident discussion by saying "Another suggestion in this mail is that we can't make our own unilateral extensions to HTML. I was going to say this was wrong and correct this also"? Aren't you clearly saying this is an additional point?

A. No. You're just trying to misread my

e-mail. It talks about Office.

Q. Yes, it certainly does talk about Office. And it talks about forcing Office users to use your browser; correct, sir?

A. No.

Q. It doesn't? When you say that somebody is saying -- that you've seen an e-mail of people saying "we shouldn't force Office users to use our browser" and that this is wrong, you're not saying that you should use Office to force users to use your browser; is that what you're saying?

A. That was the most circular thing I've ever heard.

Q. I think it was pretty circular because --

A. You continue to not read the sentence and look at the piece of e-mail. The question in this e-mail is whether Office should work equally well with all browsers. And it's talking about --

Q. Now, sir --

A. If you want to look further to understand it --

Q. How about let me put a question.

MR. HEINER: Let me --

MR. BOIES: May I ask the witness what

question is he answering?

MR. HEINER: Whatever the last question that was posed.

MR. BOIES: I want to know if he knows what question he is answering.

THE WITNESS: Can you read back the question?

Q. BY MR. BOIES: No. Can you tell me, Mr. Gates, what question you're purporting to answer?

A. Your last question.

Q. Do you know what it is?

A. Could I make it as convoluted as you did? No.

Q. Can you tell me what question you're answering?

A. I can't repeat back that convoluted a question. I could ask the reporter to.

Q. Can you tell me the substance of the question you're answering?

MR. HEINER: Mr. Boies, pose the next question.

MR. BOIES: Okay.

MR. HEINER: Let me suggest one. Ask him about the first sentence, which is the subject matter being introduced.

Q. BY MR. BOIES: Okay. Actually, I've read the first sentence, but I'll read it again. The first sentence, which is one paragraph, says "There has recently been an exchange on e-mail with people in the Office group about Office and HTML." Second paragraph says "In one piece of mail people were suggesting that Office had to work equally well with all browsers and that we shouldn't force Office users to use our browser. This is wrong and I wanted to correct this." Third paragraph says "Another suggestion in this mail was that we can't make our own unilateral extensions to HTML. I was going to say this was wrong and correct this also." Now, have I read correctly the first three paragraphs of this memo, Mr. Gates?

A. Yes.

Q. And is it your testimony that when you said that the e-mail suggesting that Office had to work equally well with all browsers and that Microsoft shouldn't force Office users to use Microsoft's browser was wrong, that all you were talking about there was Trident; is that your testimony?

A. I'm not sure what you mean all I was

talking about. This e-mail is about Office and HTML.

Q. Yes.

A. There is a new extension to HTML being created in Trident. There was a question of whether Office could take advantage of it, which meant that it would take advantage of those new browsers in a better way than it would take advantage of our old browsers or other people's browsers without those extensions. I was suggesting here, and it's totally a mischaracterization to suggest that that third paragraph isn't totally in line with it, that we should take advantage of those Trident HTML extensions and, therefore, Office documents would look better, at least for those users.

Q. And is it your testimony -- and all I'm trying to do is clarify your testimony, Mr. Gates, because once the testimony is done, then the trier of fact can decide what credibility to give it. All I'm trying to do is identify it. And you have said that the extensions to HTML relates to Trident; correct?

A. Yes.

Q. Now, what I'm trying to find out is whether these extensions to HTML that relate to Trident is also the only point of your statement that you should force Office users to use your browser?

A. That's a sentence fragment here. What people were saying was if we took unique advantage of Trident, wouldn't people feel like they needed to upgrade to Trident. And I said, hey, if that's the only way they can see the advanced document capability, then fine.

Q. Mr. Gates, I mean that's not what this e-mail says.

A. We certainly know what the e-mail says.

Q. Yes, exactly. And I don't mean to be disrespectful here, but aren't you doing what we talked about before here, just trying to substitute different words for the words that you actually wrote that you think will sound better in the context of this litigation?

A. I've explained to you what this e-mail is about. You don't seem to like the facts.

Q. Mr. Gates, my question, and if the answer is yes or no or I don't understand your question, you can give me that testimony. But is the explanation that you're giving me now of this document an explanation where you're trying to use words differently now because of the litigation than you used them back in 1997?

A. No.

Q. Not at all, sir?

A. No.

Q. Do you feel more uncomfortable admitting in a deposition in this case that you were trying to force Office users to use your browser than you did back in January of 1997?

A. You're mischaracterizing the e-mail.

Q. Well, let me ask you a question independent of the e-mail.

Do you feel more uncomfortable with the characterization that Microsoft is forcing Office users to use Microsoft's browser today than you did back in January, 1997?

A. I've never been comfortable with lawyers mischaracterizing the truth.

Q. Well, Mr. Gates, could I have my question answered?

A. I answered it.

MR. BOIES: Would you read the question back, please.

(Record read.)

Q. BY MR. BOIES: Could I have an answer to that question, sir?

MR. HEINER: Objection.

THE WITNESS: My view of lawyers

mischaracterizing something has not changed.

Q. BY MR. BOIES: Mr. Gates, I'm not talking about your view of lawyers mischaracterizing things. I'm talking about your view of the use of language. You've got a document in here in which you talk about forcing Office users to use your browser. You say "In one piece of mail people were suggesting that Office had to work equally well with all browsers and we shouldn't force Office users to use our browser." You go on to say to the top executives of your company, "This is wrong."

Now, my simple question is whether you're more concerned about the use of those words today than you were back in January of 1997, whether this litigation is influencing the care and precision, if you want to put it that way, with which you are determined to use words?

A. I'm not sure what I'm comparing to what.

Q. Okay, let me try to be clear. In January of 1997 you wrote this e-mail --

A. In total.

Q. In total. And at the time you wrote this e-mail, you didn't have any expectations it was going to show up in this litigation, did you?

A. I'm not sure what you mean by that.

Q. What I mean is you thought this was a private e-mail. You thought you were writing to your executives and you didn't think anybody outside the company was going to review this and do what I'm doing now, which is asking you questions about it, right?

A. Oh, I think the general notion that any e-mail I write might be reviewed at some point is one that I've understood certainly since 1990.

Q. So it is your testimony that taking this e-mail in its entirety, that you today are entirely comfortable that the memo, the e-mail in its entirety, is a fair and accurate statement of your views; is that correct?

A. If somebody takes the trouble to understand it, yes.

Q. That is, if somebody reads this document all the way through, takes the trouble to figure out what is here, you say that's a fair and accurate statement of your views; correct?

A. Views on what?

Q. Views on the things that you're talking about in the memo.

Let me try to approach it a different

way. Sometimes when people write things after the fact, they say "I wish I hadn't written it that way, that just isn't accurate." Or "I overstated it," or "I got it wrong." Are you saying that about this document?

A. I guess I can say that if I realized how you might misinterpret the thing, I would have put a little footnote in here for you to help make sure you didn't misinterpret it.

Q. And that's because you think that what I'm doing, as you've said before, is mischaracterizing what's here; correct?

A. Several of your questions I believe have mischaracterized it.

Q. Now, suppose, Mr. Gates, that you have to worry not about what I think about this memo, which is really irrelevant, but only about what the trier of fact thinks about this memo. Assume that a neutral trier of fact is going to look at this memo in a fair and balanced way. Would you say to that neutral trier of fact "I really shouldn't have written this. This really doesn't reflect my views. I made a mistake"? Or would you say "If you read the whole thing and read it fairly, that's what I believe"?

A. If they understood what it was about, I wouldn't feel any need to amend or change it.

Q. Okay, sir, that's -- I mean on that basis, I think we can leave it to the trier of fact to determine what it means. Because I think the one thing -- you believe this memo is clear, don't you?

A. I don't know what you mean by that.

You've made it clear that somebody can misinterpret this memo. Whether that is being done maliciously or not, I don't know. So now I understand that somebody who doesn't understand the subject matter of the memo can misinterpret it. In particular you can misinterpret what is meant there.

Q. Well, you've told us that extensions to HTML that you are referring to here were the Trident extensions, haven't you, sir? That's what you've said?

A. And general principals about HTML extensions, yes.

MR. HEINER: Will the Antitrust Division of the United States, when it tries this case, present information to the trier of fact so that the trier of fact understands what HTML is, what Trident is and so forth, or will it present snippets and fragments as it did in the fall in the consent

decree case?

MR. BOIES: I believe the trier of fact will have this entire document and we will ask the trier of fact to read this entire document and we will present to the trier of fact -- and if we don't, you will -- everything that either of us can think of that relates to the subject matter of this.

One of the things about a trial is we both get our shot and if you think there is anything that you can say to the trier of fact that will get the trier of fact to interpret this differently than I have, take your best shot.

MR. HEINER: All I'm saying is that even the plaintiff in an action has an obligation as an officer of the court to present facts in a summary judgment motion, in a complaint, in a motion for preliminary injunction or at the trial so that the court can understand the full set of facts.

MR. BOIES: We will continue to do that.

Q. Let me show you a document marked as Government Exhibit 394. This purports to be an e-mail dated February 4, 1995, or at least a message dated February 4, 1995 at 12:04 p.m. regarding "Frosting and O'Hare."

(The document referred to was marked by the court reporter as Government Exhibit 394 for identification and is attached hereto.)

Q. BY MR. BOIES: Have you ever seen this document before, sir?

A. I think Mr. Houck showed it to me.

Q. Other than whatever was shown at your deposition, have you ever seen this document before?

A. No.

Q. All right. Let me ask you to look next at Government Exhibit 395. This purports to be a memo or message from you dated February 19, 1997, to Mr. Allchin with copies to Mr. Maritz, among others.

(The document referred to was marked by the court reporter as Government Exhibit 395 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you send this message on or about February 19, 1997?

A. I don't remember sending the message.

Q. The second message here in this exhibit is a message from Mr. Allchin to you dated February 18, 1997, at 5:17 p.m. with a copy to Mr. Maritz. Do you see that?

A. Yes.

Q. And am I correct that when you sent

your message, you enclosed this earlier message from Mr. Allchin with your message?

A. That's right. The default reply command does the enclosure.

Q. Let me ask you to look at the second page, the first full paragraph in which Mr. Allchin writes to you "I am convinced the path we're on is the wrong one. We are playing into Netscape's strengths and against our own. I hear lots of words about how the software will of course be 'better' on Windows because we have more people working on Windows, but I can't sell abstract statements like this."

Do you see that?

A. Uh-huh.

Q. He then goes on in the very next sentence to say "We focus attention on the browser battle where we have little marketshare instead of focusing the battle at integrating things into Windows where we have marketshare and a great distribution channel."

Did Mr. Allchin write this to you on February 18, 1997?

A. I'm not sure.

Q. Did Mr. Allchin communicate that to you

at some point, whether in February, 1997 or some other time?

A. I know Jim was a big advocate of increasing the integration features to make them even stronger.

MR. BOIES: May I have the question read back, please.

(Record read.)

Q. BY MR. BOIES: May I have an answer to that question, sir?

A. That's what I answered.

Q. I'm not asking you what Mr. Allchin was a big advocate of. I'm asking whether he communicated this to you at some point?

A. Those specific words?

Q. Or what you understand to be the substance of those words.

A. In looking at the substance of those words, I can say the one part I do remember him communicating is that he was a big advocate of strengthening even further the integration benefits of the browser technology in Windows.

Q. Well, sir, when he talks about integrating the browser technology into Windows, which he does a little later, what he says is,

"When IE 4 was first discussed, we were 'integrating the browser into Windows.' That is what we told everyone. That was a strong message for Windows. That message is now gone since IE 4 is going onto all platforms. It won't be as 'integrated' (whatever they means technically) but all the words about WebPC and the like convince me we are determined to put a gun to our head and pull the trigger."

Now, did he tell you that, Mr. Gates, in or about February of 1997?

A. I don't remember him using those words. They're colorful enough. Sometimes I might remember that, but I don't remember that.

Q. All right, sir. Let me ask you to look at a document that has been marked as Government Exhibit 396. And this purports to be some questions and answers on "The Use and Misuse of Technology" by Bill Gates dated October 24, 1995, copyrighted 1992 to 1995 by the Microsoft Corporation.

(The document referred to was marked by the court reporter as Government Exhibit 396 for identification and is attached hereto.)

Q. BY MR. BOIES: Do you recall preparing these questions and answers, sir?

A. I know I was at a meeting where this

was worked on.

Q. And did the statements set forth here reflect your views at the time?

A. I don't remember specifically these sentences, but I have no reason to doubt this is what was discussed and put into the column.

Q. And you understood that when this was prepared and, as you put it, put into the column, that it was going to be published, did you not, sir?

A. Yeah, the column is published.

Q. Where is the column published?

A. A number of newspapers.

Q. Now, when you refer here on the second page, fourth line, to "winning for Microsoft a larger share of the market for Internet browsers," do you see that?

A. No.

Q. It's on the second page, fourth line --

A. Oh, you're on the second page. Let me just read this.

Okay, go ahead.

Q. When you refer in here to "winning for Microsoft a larger share of the market for Internet browsers," do you see where you say that?

A. Yes, it's part of a sentence here.

Q. What did you mean by "the market for Internet browsers," sir?

A. I assume I meant usage share of browsers on the World-Wide Web.

Q. You then go on in parens to say "An Internet browser is software that lets an individual roam the worlds of information available on the Internet. Microsoft's browser is called the Internet Explorer."

Do you see that?

A. Close paren. Yeah.

Q. Close paren and then close quote, since I'm quoting it.

Did you believe that was an accurate statement at the time that you made it and published it?

A. In trying to give an explanation to the broad audience that the column was aimed at, yes, I thought it was a good way of describing it to that audience.

Q. Let me ask you to look at a document that's been previously marked as Government Exhibit 398. The first message here is one from Brad Silverberg to you and others including Mr. Maritz and Mr. Allchin dated October 3, 1994 at 6:42 p.m.

Do you see that?

A. Say again.

Q. The first message here is a message to you and others, including Mr. Allchin and Mr. Maritz, from Mr. Silverberg dated October 3, 1994, at 6:42 p.m., correct?

A. It appears to be.

(The document referred to was marked by the court reporter as Government Exhibit 398 for identification and is attached hereto.)

Q. BY MR. BOIES: And he references Marvel and Capone. Do you see that?

A. Yes.

Q. Marvel is a code word for what became MSN; is that correct?

A. Not the way he uses it here.

Q. Oh, what does Marvel refer to here?

A. Blackbird.

Q. So here Marvel refers to Blackbird. And what does Capone refer to?

A. I think an e-mail client that was a feature of Windows.

Q. And it also refers to Chicago.

A. In the next sentence.

Q. Next sentence of Mr. Silverberg's

message to you. What is Chicago, as you understand it here?

A. The name for the project that resulted eventually in the product Windows 95.

Q. And Mr. Silverberg writes you and Mr. Maritz and others that "There is no one in the world outside of Microsoft who will buy the argument that Marvel and Capone are 'part of Chicago.'"

A. No, that's not --

Q. That's not so?

A. No.

Q. Well, let me see. He says "I will jump in -- yes, we have to take them out of Marvel and Capone too. There is no one in the world outside of Microsoft who will buy the argument that they are 'part of Chicago' so get the interfaces while others don't. This is an impossible sale."

As you read this -- do you recall receiving this?

A. No.

Q. Did you ever discuss it with Mr. Silverberg?

A. I'm not sure.

Q. Did you ever discuss with Mr. Silverberg or anyone else what he meant by "part

of Chicago"?

A. I'm not sure. It's clear -- it's very clear that they're not referring to what you asked about.

Q. All right, sir. Let me ask you about the third message down. That is a message from you dated October 3, 1994 at 5:18 p.m. Do you see that?

A. Yes.

Q. You write in the first line "It's time for a decision on ShellBrowser." Do you see --

A. "iShellBrowser."

Q. "iShellBrowser." And in the third sentence you say "It's hard to know how much actual market benefit iShellBrowser integration would bring."

A. Third paragraph?

Q. Of your message.

A. Not sentence.

Q. Third paragraph of your message.

A. Right.

Q. First sentence.

A. Right.

Q. "It's hard to know how much actual market benefit iShellBrowser integration would bring." Do you see that?

A. I see it.

Q. Do you recall writing that in or about October, 1994?

A. I don't recall the specific message. I recall the general issue about the iShellBrowser APIs.

Q. The next paragraph, the first line you talk about how Microsoft is in "a real struggle versus Notes." Do you see that?

A. Yes.

Q. What do you mean by "Notes" when you say that Microsoft is in a real struggle against notes?

A. I mean Notes.

Q. Can you explain what Notes is?

A. It's a product called Notes.

Q. Produced by whom, sir?

A. You can say Lotus or IBM or there's actually the company who wrote it, I forget their name.

Q. But in any event, not Microsoft; correct, sir?

A. That's right, not Microsoft.

Q. And is it true that Microsoft in or about October of 1994 was in a real struggle against

Notes?

A. I think some people would say yes and some people would say no.

Q. You said yes, though, right?

A. Apparently in an e-mail in 1994, I said "we are in a real struggle versus Notes."

Q. And in the next paragraph, the fifth paragraph of your message, you say "I have decided that we should not publish these extensions. We should wait until we have a way to do a high level of integration that will be harder for the likes of Notes, Wordperfect to achieve, and which will give Office a real advantage."

Do you see that?

A. Yes.

Q. Did that reflect your views in October of 1994?

A. That sentence taken out of context or the whole e-mail?

Q. That sentence in the context of this e-mail.

A. I don't think -- in the context of the e-mail, I have no reason to think that it didn't.

Q. What I'm asking again is, fairly read in its entirety, does this message from you reflect

your views at the time that you wrote it?

MR. HEINER: The question assumes --

MR. BOIES: That he wrote it.

MR. HEINER: Okay.

THE WITNESS: If you're asking about the whole message, I have no reason to think I didn't write that message or that it didn't reflect my thinking at the time. I haven't actually read the whole message, but I'll still say that.

Q. BY MR. BOIES: Okay. Let me ask you to look at a document marked as Government Exhibit 399. This purports to be a message from you to Brad Silverberg with a copy to Paul Maritz and others dated January 8, 1996.

(The document referred to was marked by the court reporter as Government Exhibit 399 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you send this message, sir?

A. I don't remember it specifically. Do you want me to read it?

Q. If you need to to answer my questions. This is on a subject of Steve Case of America Online; is that correct?

A. Yes.

Q. In the second paragraph you write that Mr. Case said that he viewed Microsoft as "technically behind Netscape but credible enough to do a very good job." Do you see that?

A. Uh-huh.

Q. Did Mr. Case tell you that?

A. With respect to IE 2, the product we were shipping. But later they had a chance to see the work we were doing and changed that view.

Q. Is there a document that you're aware of which reflects their changed view?

A. Almost certainly.

Q. Have you seen that document in the last six months?

A. No.

Q. Do you know who that document was from?

A. Oh, I think -- I know there are technical discussions subsequent to this where AOL came away impressed with the componentization work we were doing and how it was superior technically with what they had seen anyplace else.

Q. My question right now is not what AOL's view was. You told me that and I asked you if there was a document that reflected that they changed their position?

A. Yes. So I should have gone on to say that after they came out and saw that technology, it's likely that somebody -- either in e-mail -- recorded their impressions at that time.

Q. Do you recall actually seeing such a document, sir, ever?

A. I recall being told that they were impressed that we had the best technology.

Q. Do you recall ever seeing a document that reflected that?

A. I'm not sure if it was verbal or e-mail, but I remember being told that after they had come out and seen the componentization technology as part of IE 3, they viewed it as the best technology.

Q. When you say verbal there, you mean oral, not written down in e-mail or written memo form; is that correct?

A. Yes.

Q. Let me ask you to look at a document previously marked as Government Exhibit 400. The second item here is a message from you to Steve Ballmer, Paul Maritz, Jim Allchin, Christine Turner on the subject of IBM dated October 30, 1997; is that correct?

A. It appears to be.

(The document referred to was marked by the court reporter as Government Exhibit 400 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you send this message, sir?

A. Let me look at it.

I don't remember specifically, but this kind of topic was being discussed, so I have no reason to doubt this is a piece of e-mail I wrote.

Q. This relates to a conversation you had with Gary Stimac, is that correct?

A. Not strictly.

Q. Does it relate in part to that?

A. Yes.

Q. And did Mr. Stimac tell you that he was thinking about taking a job with IBM?

A. I think he did.

Q. And did he tell you that one of his concerns was whether IBM's relationship with Microsoft would be a problem?

A. I see that in the e-mail. I don't remember it specifically.

Q. Do you remember people at IBM being concerned about IBM's relationship with Microsoft being a problem?

A. No.

Q. Do you remember Mr. Stimac telling you that he was concerned about whether IBM's relationship with Microsoft would be a problem either here or -- or at any other time?

A. No, I don't remember that.

Q. In response to that you say that you told him that "The Java religion coming out of the software group is a big problem." Do you see that?

A. Uh-huh.

Q. Did you tell Mr. Stimac that?

A. I don't remember telling him that.

Q. Now, when you talk about the Java religion coming out of the software group, you're talking about IBM's software group; correct, sir?

A. I'm not sure.

Q. Well, this sentence immediately follows Mr. Stimac purporting to be concerned about whether IBM's relationship with Microsoft would be a problem and immediately precedes a sentence in which you say you told him that IBM refused to big anything related to Backoffice.

A. Yeah. That doesn't relate to the IBM software group.

Q. But it relates to IBM; correct, sir?

A. Yes.

Q. This whole paragraph relates to IBM; correct, sir?

A. Primarily.

Q. So when you say that you told Mr. Stimac that the Java religion coming out of the software group is a big problem, do you really have any doubt that you were talking about IBM's software group?

A. Well, there was a lot of joint work between IBM people and Sun's people and other companies, and so it's very hard to draw a line between the IBM software groups and other people's software groups.

Q. Does that mean that it is your testimony here under oath that when you refer to the software group in this sentence, you don't know whether you were talking about the IBM software group?

A. I'm certainly talking about software groups that IBM is at least a part of.

Q. You go on to say that "they continue to use their PCs to distribute things against us." Is the "they" that you are referring to there IBM?

A. I think so.

Q. And is the "us" there Microsoft?

A. I think so.

Q. And next sentence says you told

Mr. Stimac that "they are dabbing in NCs in a way we don't like."

Is the "they" there again IBM?

A. Apparently. I don't know what dabbing is.

Q. I was going to ask you that.

The next paragraph you say, "Overall we will never have the same relationship with IBM that we have with Compaq, Dell and even HP because of their software ambitions. I could deal with this just fine if they weren't such rabid Java backers." Now, when you refer in that sentence to "they" as in "I could deal with this just fine if they weren't such rabid Java backers," you're again talking about IBM; correct?

A. Parts of IBM. It's important to distinguish different groups in IBM.

Q. And the different groups in IBM would include perhaps, among others, the software group as one and the PC group as another; correct?

A. That's right.

Q. At the end of that you say that you are willing to take some risk in improving the relationship and you think that steps ought to be taken to approach them, and you end by saying "We should position it as let's do some things that are good for both of us but which require some of the rhetoric to be lowered on both sides. On their side I mean Java and NC."

And "their side" you're talking about IBM's side?

A. I think so.

Q. And what you're saying is that you want a message conveyed to IBM that in order to improve the relationship, you want some of their rhetoric lowered on Java and NC?

A. No.

Q. No? Did you want IBM to lower their rhetoric on Java?

A. I actually explain in this message that I thought the rhetoric was actually hurting IBM itself, independent of Microsoft.

Q. Did you think it was hurting Microsoft?

A. I wasn't sure. In terms of specifics, I wasn't sure.

Q. When you say that you could deal with

IBM's relationship just fine if IBM wasn't such rabid Java backers, weren't you saying that you thought that IBM's rabid backing of Java was bad for Microsoft?

A. I know at this time we thought some of the claims around Java were just plain false and weren't doing customers any favors by leading them down a belief that certain things were solved that were not solved.

Q. My question, Mr. Gates, is in October of 1997, did you believe that what you refer to here as IBM's rabid backing of Java was something that was hurting Microsoft?

A. I can't point to any particular hurting that it was doing. We didn't think it was accurate in terms of what technically could be achieved with Java.

Q. Let me put the question this way. In or about October of 1997, did you want to stop IBM from being what you refer to here as a rabid Java backer?

A. We thought some of the rabidness was hurting IBM as well as the industry as a whole.

Q. Did you believe it was hurting Microsoft, or were you just doing this as sort of a

public spirited company to try to help IBM from hurting itself?

A. I can't point to any particular damage, but we certainly would have preferred if the more extreme statements we didn't think were true, if they weren't pushing those forward.

Q. Mr. Gates, let me put it this way. In October of 1997, were you trying to get IBM to reduce its public support for Java?

A. I say in here that under some circumstance the rhetoric should be lowered on both sides and that I think that's -- you know, that makes sense in certain circumstances.

Q. I don't think you actually say in certain circumstances, do you, sir? You may have meant that, I'm not saying you didn't mean it, I'm just saying those words don't appear here, do they?

A. No. It's all about "I am willing to take some risk in improving the relationship and think you should approach them on steps for improvement." It's in that vein that I talk about rhetoric being lowered on both sides.

Q. And then you go on to say that you mean on IBM's side they lower the rhetoric on Java and NC; correct?

A. The rhetoric.

Q. And by rhetoric, you were talking about public rhetoric?

A. Definitely public rhetoric.

Q. And is it fair to say in October of 1997 you were trying to get IBM to reduce its public rhetoric in support of Java?

A. I don't know what you mean "trying." I talk about a circumstance in which both sides would lower their rhetoric.

Q. You were offering to lower your rhetoric if they would lower their rhetoric; is that fair? Isn't that what you say right here?

A. In the context -- this is about improving the overall relationship, which is not focused on the rhetoric. It says in the context of that improved relationship, I think both of us should lower our rhetoric.

Q. Indeed you say that the improved relationship will "require some of the rhetoric to be lowered on both sides."

A. That's a statement about human feelings that if our rhetoric is so high, it will be hard for them to do their side of improving the relationship and vice-versa.

Q. You then go on to say on their side, IBM's side, you mean Java and NC.

A. That's part of the rhetoric I'm referring to.

Q. Part of their rhetoric?

A. Yes.

Q. That you wanted them to lower; isn't that true?

A. No.

Q. Okay. Let me ask you to look at Exhibit 401. This is a message from you to Mr. Ballmer and Mr. Chase with a copy to Mr. Maritz and some other people also given copies dated August 15, 1997 at 4:07 p.m. on the subject of IBM and Netscape; correct?

A. Uh-huh

(The document referred to was marked by the court reporter as Government Exhibit 401 for identification and is attached hereto.)

Q. BY MR. BOIES: And you type in here "Importance: High."

A. No.

Q. No?

A. No, I didn't type that.

Q. Who typed in "High"?

A. A computer.

Q. A computer. Why did the computer type in "High"?

A. It's an attribute of the e-mail.

Q. And who set the attribute of the e-mail?

A. Usually the sender sends that attribute.

Q. Who is the sender here, Mr. Gates?

A. In this case it appears I'm the sender.

Q. Yes. And so you're the one who set the high designation of importance, right, sir?

A. It appears I did that. I don't remember doing that specifically.

Q. Right. Now, did you send this message on or about August 15, 1997?

A. I don't remember doing so.

Q. Now, you say that you had a meeting with Jeff Papows; is that correct?

A. I did have a meeting with Jeff Papows, yes.

Q. And the third paragraph from the bottom you write "He doesn't want anything attributed to me or he will get in trouble, but he says we can just

refer to all the rumors on the Web about what kind of deal is being done between Netscape and IBM."

Do you see that?

A. I do.

Q. At this point, that is, in or about August of 1997, were you aware prior to your conversation with Mr. Papows, that there was a prospect of a deal between Netscape and IBM?

A. There had been rumors of that, so yes.

In fact, there had been deals. There was rumors of a new deal.

Q. Let me ask you to look next at a document marked as Exhibit 402. The second message on this exhibit is a message from you to Mr. Ballmer and Mr. Maritz dated August 4, 1997 at 5:17 p.m.; correct?

A. It appears to be, yes.

Q. Did you send this, Mr. Gates?

A. I don't remember sending it, but I have no reason to think that I didn't.

(The document referred to was marked by the court reporter as Government Exhibit 402 for identification and is attached hereto.)

Q. BY MR. BOIES: Okay. Let me ask you to look at Exhibit 403.

MR. HEINER: What was this last one?

MR. BOIES: 403. 402 was the one just before this one. This one is 403.

MR. HEINER: Right, okay.

Q. BY MR. BOIES: This is a message dated February 16, 1998, from Laura Jennings to you and a number of other people, including Mr. Allchin, Mr. Ballmer and Mr. Maritz.

Do you see that?

A. Yes.

(The document referred to was marked by the court reporter as Government Exhibit 403 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you receive this e-mail in or about February of 1998, sir?

A. I don't remember receiving it, but I have no reason to think that I didn't.

Q. Let me take you down to the next to last paragraph on the first page. The first sentence says "One potential concern: Brad mentioned to me late Friday that there may be new concerns about our plan to make Start a requirement for being in the IE referral server, or at least there may be timing issues related to your appearance at Senator Hatch's hearings."

Do you see that?

A. Yes.

Q. Do you recall a discussion of this in or about February of 1998?

A. Not with Laura. But on the general subject, yes.

Q. Did Microsoft in fact make Start "a requirement for being in the IE referral server"?

A. No, I don't think we did.

Q. Why not?

A. I think the PR group thought it would be controversial and we didn't see the benefit as being worth having that controversy.

Q. Let me ask you to look at a document that has been marked as Exhibit 404. The first message here is a message to you and Mr. Ballmer with copies to other people dated March 23, 1994 at 9:13 a.m. on the subject of "IBM helps Lotus."

(The document referred to was marked by the court reporter as Government Exhibit 404 for identification and is attached hereto.)

Q. BY MR. BOIES: Did you receive this message in or about March of 1994, sir?

A. I don't know.

Q. The message begins by describing how

IBM is helping in the selling of Notes. Do you see that?

A. Yes.

Q. And at the end Mr. Kempin, who is the author of this, says "I am unsure if we need to see this as an organizational issue or an OEM issue."

Do you know what he means by that?

A. What's he talking about?

Q. Do you know what he is talking about?

A. No.

Q. He then says "I am willing to do whatever it takes to kick them out, but strongly believe we need a WW hit team to attack IBM as a large account, whereby the OEM relationship should be used to apply some pressure."

Do you see that?

A. Uh-huh.

Q. You have to say yes for the record.

A. I see it.

Q. Do you know what Mr. Kempin means when he writes to you about a "WW hit team"?

A. He means a salesperson.

Q. If he means a salesperson, why doesn't he say salesperson, sir?

A. It clearly means salesperson.

Q. Are salespeople within Microsoft commonly referred to as WW hit teams?

A. If they're world-wide and if they're trying to sell to somebody who is a large account, you bet.

Q. And when your salespeople go out to sell large accounts, are they commonly referred to as needing a "WW hit team to attack IBM as a large account, whereby the OEM relationship should be used to apply some pressure"?

A. No.

Q. Did you say no?

A. I said no.

Q. Do you remember Mr. Kempin telling you in March of 1994 that he was proposing that the OEM relationship with IBM should be used to apply some pressure to stop IBM from promoting the sale of Notes?

A. No.

Q. Do you recall anyone ever telling you that, sir?

A. No.

Q. Did you ever respond to Mr. Kempin and tell him that no, you didn't think that Microsoft ought to apply OEM pressure to IBM?

A. I don't understand your question.

Q. Do you understand that Mr. Kempin is here proposing to you that Microsoft apply OEM pressure to IBM?

A. It doesn't say OEM pressure.

Q. I didn't say it said it, sir. It says he is proposing that the OEM relationship should be used to apply some pressure on IBM; correct, sir?

A. You're asking me to read it?

Q. I'm asking you if that's what you understand him to be saying.

A. What?

Q. That he is proposing that the OEM relationship should be used by Microsoft to apply some pressure on IBM.

A. No, I don't think he is proposing anything.

Q. You don't think he is proposing anything. When he says that he strongly believes that there needs to be a "WW hit team to attack IBM as a large account, whereby the OEM relationship should be used to apply some pressure," you don't think that he is suggesting that Microsoft apply pressure on IBM?

A. I don't think he is making a proposal.

It is one of the things he mentions, but it's not a proposal.

Q. Now, Mr. Kempin's message was a response to a message from you to Mr. Kempin and Mr. Ballmer dated March 20, 1994 at 11:29 p.m., correct?

A. It appears to be, yes.

Q. And you write him in the first paragraph "This is one topic I really want to try to get to the bottom of. Why does IBM help Lotus so much? Is there anything we can do about this? Should it become an issue in our global relationship with IBM?"

Did you send this message to Mr. Kempin and Mr. Ballmer in March, 1994?

A. It appears I did. I mean that's part of the message I sent, it appears.

Q. Now, when Mr. Kempin replied saying "We need a WW hit team to attack IBM as a large account, whereby the OEM relationship should be used to apply some pressure," did you understand him to be responding to your questions?

A. I don't remember receiving his mail.

Q. All right.

I have no more questions at this time.

It's 3:15.

VIDEOTAPE OPERATOR: The time is
3:16 p.m. We're going off the record.
* * *

I hereby declare, under penalty of
perjury, that the foregoing answers are true
and correct to the best of my knowledge and
belief.

EXECUTED AT _____, WASHINGTON,
this _____ day of _____, 1998.

BILL GATES

STATE OF CALIFORNIA)

) ss.

COUNTY OF LOS ANGELES)

I, Kathleen E. Barney, CSR 5698, a
Certified Shorthand Reporter in and for the State of
California, do hereby certify:

That, prior to being examined, the
witness named in the foregoing deposition was by me
duly sworn to testify the truth, the whole truth, and
nothing but the truth;

That said deposition was taken down by
me in shorthand at the time and place named therein
and was thereafter reduced to typewriting under my
supervision; that this transcript is a true record of
the testimony given by the witness and contains a
full, true and correct record of the proceedings
which took place at the time and place set forth in
the caption hereto as shown by my original
stenographic notes.

I further certify that I have no
interest in the event of the action.

EXECUTED this _____ day of _____,
1998.

Kathleen E. Barney, CSR #5698